

IPO

The Complete Guide to Going Public in India

Eligibility, structuring, pricing, bidding, documents, regulation and life after listing — for founders, finance teams, students and professionals.

Based on the *Handbook on Listing in India* (3rd edition, updated to 31 July 2019) by Cyril Amarchand Mangaldas, re-organised, explained and extended with worked examples, diagrams, checklists and practice problems.

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The Complete Guide to Going Public in India

Initial public offerings, qualified institutions placements,
rights and preferential issues, listed debentures, REITs and InvITs

About the source

This book is an independent study guide built from the *Handbook on Listing in India*, 3rd edition, published by Cyril Amarchand Mangaldas and updated until 31 July 2019. The structure, explanations, worked examples, diagrams, checklists, practice problems and commentary are new. The rules described come from the handbook; where the book adds material from outside the handbook, it is labelled (for example, “Since 2019” boxes and Chapter 29). The book is not endorsed by, and is not affiliated with, the original publisher.

Not legal advice

Securities law changes frequently. Almost every rule in this book is stated as it stood on 31 July 2019, and several have since been amended. Use this book to understand concepts and structure. Before taking any decision on a real transaction, check the current text of the SEBI (Issue of Capital and Disclosure Requirements) Regulations, 2018, the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Companies Act, 2013, the relevant circulars, and consult qualified legal, tax and financial advisers. The author and publisher accept no liability for any loss arising from use of this book.

Amounts and conventions

The handbook states monetary thresholds in millions of rupees. This book gives them in rupees and converts to **crore** and **lakh**, which Indian readers use daily: **₹1 crore = ₹10 million = ₹100 lakh**, and ₹1,000 million = ₹100 crore. “Fiscal” means the twelve months ending 31 March. “Working day” follows the usage in the SEBI regulations. Defined terms such as BRLM, DRHP, RHP, QIB, NII and ASBA are explained when first used and collected in the glossary in Appendix D.

Illustrations

All company names, prices, share counts and timelines used in worked examples and practice problems are hypothetical and are included only to show arithmetic and procedure.

Preface

For most founders, an initial public offering is the most consequential financial event in the life of a company. It converts a private business into a public one: its accounts, promoters, litigation, related-party dealings and strategy are laid open in a document that investors, regulators and the courts will read closely. It also opens a far larger pool of capital, gives shareholders a way to realise value, and imposes a permanent discipline of disclosure and governance.

In India that journey is governed by a dense mesh of statutes, SEBI regulations, stock-exchange requirements and market practice. The rules are not secret, but they are scattered, written for lawyers, and full of cross-references, thresholds and exceptions. The handbook that this book draws on does something valuable: it answers the practical questions in a short question-and-answer format. This book keeps that substance and turns it into a structured, teachable narrative.

What this book does

- **Explains the logic, not only the rule.** Every threshold is accompanied by the reason for it and the practical consequence.
- **Shows the arithmetic.** Minimum dilution, promoters' contribution, lock-ins, anchor allocations, allotment splits and price discovery are worked through with numbers.
- **Draws the process.** Diagrams show the six IPO stages, the intermediary ecosystem, the allocation structure, the flow of money in ASBA/UPI bidding, and the timeline of an offer.
- **Covers the whole family of offerings.** Besides IPOs, it treats offers for sale, QIPs, rights issues, preferential issues, listed non-convertible debentures, REITs and InvITs, and helps you choose between routes.
- **Flags what has moved on.** Boxes marked "Since 2019" and a dedicated chapter point out the main changes after the handbook's cut-off, so you know where to verify.
- **Lets you test yourself.** Practice problems with solutions and checklists turn knowledge into skill.

How to read it

Readers new to the subject should read Parts I to V in order; they follow the life of an IPO. Practitioners can jump straight to the chapter they need, and use Appendix B as a one-page numbers sheet. Students preparing for an examination will find the chapter summaries, the practice problems in Chapter 30, and the glossary the most useful.

COLOUR CODE OF THE BOXES

Key facts (teal) summarise the numbers and rules. **Worked examples** (green) show arithmetic. **Practical notes** (amber) give commentary that goes beyond the text of the rules. **Since 2019** (purple) flags later developments. **Warnings** (red) highlight common mistakes and serious consequences.

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PART I

Foundations



Why capital markets matter, what “listing” really means, and the legal architecture that every Indian public offering sits inside.

CHAPTER 1

India's Capital Markets and the Case for Listing

Why capital markets matter, how India's market has evolved, and what a company gains and gives up by going public.

IN THIS CHAPTER

- The economic role of capital markets and why India's have deepened
- Recent equity capital market activity: fiscal 2018 and fiscal 2019
- The regulator's direction: SEBI ICDR Regulations 2018 and the Kotak Committee
- Why companies list — and what listing costs
- A readiness self-assessment before you begin

What capital markets do

A capital market is the machinery through which savings become investment. Households, insurers, pension funds and foreign investors hold money they do not need today; businesses need money to build factories, hire people and develop products. Capital markets connect the two, and in doing so perform three jobs that no bank loan can perform alone.

First, they **mobilise savings into productive assets**, raising the long-term growth prospects of the economy. Second, they **price risk continuously**: the share price of a listed company is a running vote on its future, which allocates capital towards businesses investors believe in. Third, they **give investors an exit**. Because a share can be sold on an exchange, investors accept the risk of funding a business that will not return their money on a fixed date. That liquidity is the reason equity capital is available at all for long, uncertain projects.

India's journey: from a closed economy to a deep market

The Indian economy changed fundamentally over a few decades. The 1980s were a closed economy; the 1990s were a decade of liberalisation; the 2000s saw unprecedented growth. The capital markets grew with the economy and, in the post-liberalisation era, became one of the primary destinations for domestic and global businesses seeking expansion capital. In fiscal 2019, Indian markets delivered double-digit returns despite global and domestic headwinds, outperforming developed markets such as the United States and the United Kingdom and developing economies such as China and Brazil.

The handbook attributes the strengthening of the markets to a cluster of mutually reinforcing factors:

- a stable central government and certainty in policy making;
- rising domestic savings and a growing economy;
- a transparent and increasingly efficient regulatory system;
- liberalised investment guidelines for banks, insurers, retail institutions and other sectors, which widened the range of investment choices;
- growing foreign portfolio investor (FPI) participation, which added confidence; and
- rising retail participation, much of it *indirect* through mutual funds and life insurance companies.

Large IPOs marketed to domestic investors played their own part: each successful large offering deepened the investor base and made the next issuer's task easier.

Equity capital market activity in recent years

KEY FACTS — FISCAL 2018 AND FISCAL 2019

- **Fiscal 2018** was a record year: the highest ever resource mobilisation through IPOs and rights issues. Financial-services companies led, including the first issue by a re-insurance company, issues by insurers (including the first by a general insurer), asset management companies, commercial banks and non-banking finance companies.
- **2018** also saw the listing of the first privately placed infrastructure investment trust (InvIT), followed by two public InvITs, creating a yield-focused asset class.

- **Fiscal 2019** was comparatively subdued. Market corrections, global volatility, trade wars, lender liquidity stress triggered by defaults and currency volatility all weighed on issuance.
- Fiscal 2019 nevertheless produced **India's first listed real estate investment trust** (the largest in Asia by office portfolio area), **the first IPO by an asset management company**, and offer documents for two of the largest rights issues ever.

The lesson for an issuer is that the market is cyclical. Windows open and close, and the timetable of an IPO — typically many months from kick-off to listing — must be planned so that a filed offer can use a favourable window when it appears. The validity of SEBI's final observation (twelve months, covered in Chapter 18) is one of the tools that makes this possible.

The regulator's direction of travel

Disclosure that looks international

A glance at a recent Indian offer document shows a close resemblance to international prospectuses. The Securities and Exchange Board of India (SEBI) notified the **SEBI (Issue of Capital and Disclosure Requirements) Regulations, 2018** (the "ICDR Regulations"), effective **10 November 2018**, replacing the 2009 regulations. They reflect changes in market practice and in the regulatory environment in India and abroad. Two themes stand out:

- **Rationalised disclosure.** SEBI adopted a *materiality-based* approach for items such as pending litigation and government approvals, so that disclosure is concise and meaningful rather than exhaustive.
- **Transparency throughout.** SEBI emphasises transparency both in what the company and its promoters disclose and in the bidding process itself.

Stronger corporate governance

SEBI has also strengthened the governance framework for listed companies through a series of amendments. In June 2017 it constituted a committee under Mr Uday Kotak, which submitted its report in October 2017 with recommendations to revamp India's corporate governance regime for listed companies. SEBI has been giving effect to these re-

commendations in phases, bringing more transparency, less concentration of power, fewer conflicts of interest and a broader disclosure regime. For an aspiring issuer this has a direct consequence: governance must be built *before* filing, not after listing (Chapter 20).

Why companies list

Companies go public for a mix of reasons. The handbook is neutral on motive, so the following is a practical summary rather than a restatement of the rules.

Motive	What listing provides
Growth capital	A fresh issue raises equity for expansion, debt reduction or working capital — subject to the objects being clearly disclosed (Chapter 16).
Liquidity for shareholders	An offer for sale lets promoters, private-equity funds and early investors sell part of their holding (Chapter 8).
Valuation and currency	A traded share price gives an objective valuation and a currency for acquisitions and employee stock plans.
Access to further capital	Listed companies can later use QIPs, rights issues, preferential issues and debt listings (Part VI).
Credibility and brand	Regulated disclosure and independent oversight raise trust with customers, lenders and partners.
Regulatory compliance	For some regulated sectors, public shareholding is itself a regulatory objective.

What listing costs

- **Disclosure and scrutiny.** Quarterly results within 45 days, annual accounts within 60 days of year end, and disclosure of price-sensitive events (Chapter 21).
- **Loss of privacy and some control.** Related-party dealings, litigation, remuneration and shareholding are public. Special rights of select shareholders may have to be removed.
- **Governance obligations.** Independent directors, committees, policies and a compliance calendar.
- **Lock-ins and dilution.** Promoters must keep a minimum stake locked in, and a minimum percentage must be offered to the public.

- **Liability.** Civil and criminal liability for misstatements in the offer document (Chapter 17).
- **Direct and indirect costs.** Fees to advisers and intermediaries, management time, and the market's short-term expectations.

PRACTICAL NOTE — IS THE COMPANY READY?

Before engaging bankers, a founder can ask ten blunt questions. **(1)** Do we have three years of clean, auditable financials that can be restated? **(2)** Do we meet one of the two eligibility routes (Chapter 4)? **(3)** Is the promoter group clearly identified and are all promoter shares dematerialised? **(4)** Is the capital structure free of outstanding convertibles and special rights? **(5)** Are litigation, tax and regulatory matters mapped? **(6)** Do we have independent directors and a functioning audit committee? **(7)** Are related-party transactions at arm's length and documented? **(8)** Is the use of proceeds specific and defensible? **(9)** Can management live with quarterly disclosure? **(10)** Is there a credible equity story? A “no” is not fatal, but each one is a workstream with a lead time.

Chapter summary

- Capital markets turn savings into investment, price risk and give investors an exit.
- India's markets deepened on the back of policy stability, rising savings, regulatory efficiency, FPI and retail participation.
- Fiscal 2018 was a record year for fundraising; fiscal 2019 was subdued but produced important firsts (first REIT, first AMC IPO).
- SEBI's ICDR Regulations 2018, effective 10 November 2018, favour materiality-based, international-standard disclosure; the Kotak Committee reshaped governance.
- Listing brings capital, liquidity and credibility, at the cost of disclosure, governance obligations, lock-ins and liability.

CHAPTER 2

Listing Basics: Securities, Public Issues and the Vocabulary of an IPO

What “listing” and “public issue” mean, which securities can be offered, and the shorthand every IPO professional uses.

IN THIS CHAPTER

- Listing, listed companies and the difference between equity and debt listing
- What makes an offer “public”
- Kinds of securities that can be issued to the public
- Dematerialisation and the depositories
- The offer documents: DRHP, RHP and Prospectus
- The routes to raise capital at a glance

What is “listing”?

Listing means admission of securities to dealings on a recognised stock exchange. A **listed company** is one whose securities — including its debt securities — are listed on a recognised stock exchange. In India the principal exchanges are **BSE Limited** and the **National Stock Exchange of India Limited (NSE)**.

The handbook draws a distinction that is easy to miss and important in practice:

KEY FACTS — HOW AN UNLISTED COMPANY CAN LIST

- **Equity shares** (or securities convertible into equity shares): an unlisted company can list them **only pursuant to a public issue**.

- **Debt securities:** may be listed whether issued through a public issue **or** by way of a private placement (Chapter 25).

This book concentrates on equity listing. Unless stated otherwise, “listing” means listing of equity shares.

What is a public issue?

Under the SEBI regulations, a **public issue** is an offer of equity shares, or securities convertible into equity shares, to the public. It takes one of two forms:

- an **initial public offer (IPO)** by an *unlisted* company; or
- a **further public offer (FPO)** by an already *listed* company.

A public issue may also be made through an **Offer For Sale (OFS)** of existing securities by their holders, subject to conditions (Chapter 8). Whether an offering is “public” depends on the **number of potential investors** to whom shares are offered and on the **nature of the offer document** prescribed under the Companies Act. This is the reason the Companies Act caps private placements at 200 persons in a financial year (QIBs excluded — Chapter 22); beyond that, the offer is treated as public and the full public-issue regime applies.

What can be issued to the public?

A company can issue to the public equity shares, preference shares, debt instruments, or other instruments convertible into equity. Non-convertible debt securities of an Indian company can also be issued to the public and listed. Each category has its own rule book:

Instrument	Main rule book
Equity IPO / FPO	SEBI ICDR Regulations 2018; Companies Act 2013 (Chapter III and rules); SCRA and SCRR
Listed NCDs	SEBI Debt Regulations; Companies Act 2013; stock exchange requirements
REIT / InvIT units	SEBI REIT Regulations 2014 / InvIT Regulations 2014

Securities in dematerialised form

Every issuer making a public offer must issue securities **in dematerialised (electronic) form only**. Two depositories hold the records: **National Securities Depository Limited (NSDL)** and **Central Depository Services (India) Limited (CDSL)**. Investors hold shares through a depository participant. In practice this means that an issuer must, before filing, arrange demat accounts for the company and ensure promoters' holdings are already dematerialised (a condition that also appears in the fast-track rights issue criteria, Chapter 23).

The three offer documents

Three documents carry the same issuer through the IPO, becoming progressively more complete. Their abbreviations are used everywhere.

Document	Filed with	Contains	Purpose
DRHP Draft Red Herring Pro- spectus	SEBI (and ex- changes)	Everything except com- plete price and size par- ticulars	To obtain SEBI's observa- tions before the offer is launched
RHP Red Herring Prospectus	Registrar of Companies (RoC)	Updated DRHP; still without final Issue Price and issue size	To market the issue; filed at least three days before the issue opens
Prospectus	RoC	Final Issue Price, size and remaining details	Legal document on which allotment is made

The word “red herring” comes from the cautionary red legend printed on the cover of a preliminary prospectus: the document is not yet an offer to sell. In a *fixed-price* issue there is no RHP, because the price is already known (Chapter 11).

The family of offerings



Figure. The main routes to raise equity in India, distinguished by the issuer and the audience.

The IPO is the headline event, but the same vocabulary and similar machinery apply to the other routes. A **Rights Issue** offers new shares to existing shareholders in a fixed ratio. A **Qualified Institutions Placement (QIP)** issues to institutions only on a private-placement basis. A **Preferential Issue** allots to a chosen group. Part VI treats each in depth, and Chapter 28 helps choose among them.

A short vocabulary

Term	Meaning in one line
BRLM	Book Running Lead Manager — SEBI-registered merchant banker that runs the IPO
QIB	Qualified Institutional Buyer — mutual funds, insurers, banks, FPIs, AIFs and similar institutions
NII	Non-Institutional Investor — a bidder that is neither a QIB nor a retail individual investor
RII	Retail Individual Investor — individual bidding for up to ₹2 lakh (₹0.2 million) in any bidding option
ASBA	Application Supported by Blocked Amount — the money stays in the investor's account until allotment
Price Band	Range between the Floor Price and Cap Price within which investors may bid
Promoter	The person (or persons) who control the issuer — see Chapter 6
Fresh Issue	New shares issued by the company; money goes to the company

Term	Meaning in one line
OFS	Offer For Sale — existing shareholders sell; money goes to them

Chapter summary

- Listing is admission of securities to a recognised exchange; unlisted companies can list *equity* only through a public issue, but can list *debt* by private placement.
- A public issue is an IPO (unlisted issuer) or FPO (listed issuer), possibly with an OFS component.
- Public-offer securities must be dematerialised; NSDL and CDSL are the depositories.
- The DRHP, RHP and Prospectus are successive versions of the offer document.

CHAPTER 3

The Regulatory Architecture

Who regulates an Indian public offering, which laws apply, and how the pieces fit together.

IN THIS CHAPTER

- The four layers of regulation: statute, SEBI regulations, exchange rules and market practice
- The role of SEBI, the stock exchanges, the Registrar of Companies, the RBI and sector regulators
- A map of the key statutes and regulations
- The sections of the Companies Act most often cited in an IPO

Four layers of rules

An Indian IPO is not governed by a single code. It sits inside four layers, and a transaction team has to satisfy all of them at once.

1. **Statute.** The Companies Act, 2013 (and its rules), the Securities Contracts (Regulation) Act, 1956 (SCRA), the SEBI Act, 1992 and, for foreign money, the Foreign Exchange Management Act, 1999 (FEMA).
2. **SEBI regulations and circulars.** Above all the SEBI (ICDR) Regulations, 2018; the SEBI (LODR) Regulations, 2015; and regulations covering insider trading, takeovers, research analysts, merchant bankers and bankers to an issue.
3. **Stock-exchange requirements.** Listing conditions, in-principle and final approvals, bidding platform rules and the format of listing agreements.
4. **Market practice.** Not law, but expected by intermediaries: comfort letters, due-diligence back-up certificates, standard agreements, roadshow protocols.

The regulators and what each one decides

Body	Role in an IPO
SEBI	Reviews the DRHP and issues observations; may reject an offer document if disclosure is inadequate; enforces misstatement and fraud provisions (power conferred through Section 24 of the Companies Act in respect of listed or to-be-listed companies); registers and supervises intermediaries.
Stock exchanges (BSE / NSE)	Grant in-principle approval on the DRHP and final listing and trading approval after allotment; run the electronic bidding system and the designated-exchange role in the basis of allotment.
Registrar of Companies (RoC)	Registers the RHP and the Prospectus under the Companies Act; no Prospectus is valid without registration.
Reserve Bank of India	Foreign-exchange aspects: issues to non-residents, and approvals where sector rules require them.
Sector regulators and ministries	Additional approval in regulated industries — for example, the Insurance Regulatory and Development Authority of India for an insurer's IPO.
Depositories (NSDL, CDSL)	Dematerialise the securities and credit them to investors' accounts.

A map of the legislation

The handbook's glossary lists the instruments below. Knowing which short name refers to which law will save a great deal of confusion when reading offer documents.

Short name	Instrument	Used for
Companies Act	Companies Act, 2013 and rules	Prospectus, allotment, private placement, advertising, liability
PAS Rules	Companies (Prospectus and Allotment of Securities) Rules, 2014	Private placement offers; certain prospectus disclosures
Debenture Rules	Companies (Share Capital and Debenture) Rules, 2014	Debenture trust deed format and debenture trustees

Short name	Instrument	Used for
SCRA / SCRR	Securities Contracts (Regulation) Act, 1956 and Rules, 1957	Listing conditions; minimum public shareholding; minimum offer to public
SEBI Regulations (ICDR)	SEBI (Issue of Capital and Disclosure Requirements) Regulations, 2018	IPO, FPO, rights, QIP, preferential issues
SEBI Listing Regulations	SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015	Governance and continuing disclosure
SEBI Takeover Regulations	SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011	Promoter identity, control, inter-se transfers
SEBI Insider Trading Regulations	SEBI (Prohibition of Insider Trading) Regulations, 2015	Price-sensitive information; codes of conduct
SEBI Research Analysts Regulations	SEBI (Research Analysts) Regulations, 2014 (in force from 30 November 2014)	Research on issuers; black-out periods
SEBI Merchant Banker Regulations	SEBI (Merchant Bankers) Regulations, 1992	Who may act as BRLM
SEBI Debt Regulations	SEBI (Issue and Listing of Debt Securities) Regulations, 2008	Listed NCDs
SEBI REIT / InvIT Regulations	SEBI (Real Estate / Infrastructure Investment Trusts) Regulations, 2014	REIT and InvIT listing
SEBI AIF / FPI / FVCI / VCF	Investor-category regulations	Definitions of QIB-eligible and lock-in-exempt investors
FEMA	Foreign Exchange Management Act, 1999 and the 2017 non-resident securities regulations	Foreign investment in public issues
Depositories Act	Depositories Act, 1996	Dematerialisation
Fugitive Economic Offenders Act	Fugitive Economic Offenders Act, 2018	Eligibility bar on promoters and directors

The Companies Act sections you will keep meeting

Section	Subject	Where in this book
24	SEBI's powers over issue and transfer of securities by listed and to-be-listed companies	Ch. 17
26	Matters to be stated in a prospectus	Ch. 16, 25
28	Offer for sale — expenses borne by selling shareholders	Ch. 8
30	Advertisement of the prospectus	Ch. 19
32	Red herring prospectus	Ch. 2, 18
34, 35	Criminal and civil liability for misstatements in a prospectus	Ch. 17
42	Private placement	Ch. 22, 25
180(1)(a), 180(1)(c)	Shareholder approval to borrow beyond limits and to create security	Ch. 25

PRACTICAL NOTE — READING REGULATIONS BY FUNCTION

When you meet a new rule, ask four questions: **Which regulator wrote it? Who does it bind — the issuer, promoters, intermediaries or investors? At what stage — before filing, between filing and opening, during the issue, or after listing? What is the consequence of breach?** This habit stops you treating every rule as equally important and makes the structure of the whole IPO visible.

SINCE 2019

Instruments cited in this book have been amended repeatedly. The ICDR Regulations 2018 have been amended many times, SEBI now consolidates many circulars into master circulars, and the exchange-based rules have evolved. Always work from the current consolidated text. Chapter 29 lists the changes that matter most.

Chapter summary

- Four layers apply simultaneously: statute, SEBI regulations, exchange requirements and market practice.
- SEBI reviews the offer document; the exchanges grant in-principle and final listing approvals; the RoC registers the RHP and Prospectus; the RBI and sector regulators add approvals where relevant.
- Learn the short names — ICDR, LODR, SCRR, PAS Rules — because offer documents and advisers use them constantly.

PART II

Can You List? Eligibility and Structure

Who is allowed to do an IPO, how large the offer must be, who counts as a promoter, and how lock-ins and offers for sale work.

CHAPTER 4

Eligibility: Who Can Do an IPO

The disqualifications that bar an issuer outright, and the two routes through which an eligible company may list.

IN THIS CHAPTER

- Five disqualifications that bar an unlisted issuer from an IPO
- The track-record route: net tangible assets, operating profit and net worth
- The effect of a recent name change
- The alternative route for issuers that miss the track-record tests
- A worked eligibility test

Eligibility has two parts. First, the issuer must *not* fall into any of the categories that bar it from the market altogether. Second, it must *satisfy* one of the tests on financial track record. This chapter takes them in that order.

Part 1: Who is barred?

An unlisted issuer covered by **any one** of the following cannot undertake an IPO:

1. **Debarment of the issuer or its people.** The issuer, any of its directors, its promoters, its promoter group, or any selling shareholder is debarred from accessing the capital markets by SEBI.
2. **Contagion through directorships.** A director or promoter of the issuer is also a promoter or director of another company that is debarred from the capital markets under a SEBI order or direction.
3. **Wilful default.** The issuer, or any of its directors or promoters, has been declared a **wilful defaulter** by a bank or financial institution (or a consortium of them) in accordance with the Reserve Bank of India's guidelines.

4. **Fugitive economic offender.** Any director or promoter has been declared a fugitive economic offender under the Fugitive Economic Offenders Act, 2018.
5. **Outstanding convertibles or option rights.** There are outstanding convertible securities, or any other right that gives any person an option to receive equity shares of the issuer.

The fifth bar is the one that most often surprises companies, because it is a matter of capital-structure housekeeping rather than of reputation. Convertible preference shares, convertible debentures, warrants and similar rights must be resolved *before* the offer document is finalised. Two exceptions soften the rule:

- outstanding options granted to employees (whether still employed or not) under a stock-option scheme; and
- fully paid-up convertible securities that will be converted *before filing of the Red Herring Prospectus* (in a book-built issue) or the Prospectus (in a fixed-price issue).

WARNING

Items (a) to (d) look at **people**, so a problem with any one director or promoter can make the whole company ineligible. Screen every director, promoter, promoter-group entity and selling shareholder early, including their directorships in *other* companies. A problem found in the middle of the process costs months.

Part 2: The track-record route

An unlisted issuer may undertake an IPO if it satisfies **all four** of the conditions below. They are tested on a **restated and consolidated basis** — that is, on the figures as adjusted for consistent accounting policies and presentation in the offer document, covering the issuer and its subsidiaries.

Track-record conditions (as at 31 July 2019)

Condition	Requirement	In ₹ crore
Net tangible assets	At least ₹30 million in each of the preceding three full years (12 months each), of which not more than 50% may be held in monetary assets	₹3 crore

Condition	Requirement	In ₹ crore
Operating profit	Average of at least ₹150 million over the preceding three full years, with operating profit in each of those years	₹15 crore
Net worth	At least ₹10 million in each of the three full years	₹1 crore
Name change	If the name changed within the last one year, at least 50% of revenue for the preceding full year (restated, consolidated) must come from the activity indicated by the new name	—

Understanding the monetary-assets limit

Net tangible assets are meant to represent real, operating substance. A company that holds most of its net tangible assets as cash and cash-like items could look eligible without having a business behind the numbers. The 50% cap addresses that. If more than 50% of net tangible assets are held in monetary assets, the issuer must have made **firm commitments to utilise the excess monetary assets** in its business or project. And if the entire IPO is an **Offer For Sale**, the 50% limit does not apply, because no fresh money is going into the company.

Why “each year” matters

Three conditions use the words “in each” of the three years. A single weak year can disqualify a company even when the three-year average is comfortable. Operating profit is the strictest: the *average* must reach ₹15 crore *and* every year must be positive.

WORKED EXAMPLE — TESTING A COMPANY AGAINST THE TRACK-RECORD ROUTE

Nova Components Ltd is preparing an IPO. Its restated, consolidated figures for the three preceding full years (₹ crore) are:

	Year 1	Year 2	Year 3
Net tangible assets	5.2	6.8	9.1
of which monetary assets	1.8	2.5	5.0
Operating profit	12.0	16.0	20.0

	Year 1	Year 2	Year 3
Net worth	4.0	6.0	9.0

Net tangible assets: all years exceed ₹3 crore ✓. **Monetary share:** $1.8 \div 5.2 = 34.6\%$; $2.5 \div 6.8 = 36.8\%$; $5.0 \div 9.1 = 54.9\%$. Year 3 exceeds 50%, so the company must have **firm commitments to use the excess** (here about ₹0.45 crore above the 50% mark: $5.0 - 4.55$) in its business — or make the IPO entirely an OFS.

Operating profit: average = $(12 + 16 + 20) \div 3 = ₹16.0$ crore $\geq ₹15$ crore ✓, and every year is positive ✓.

Net worth: all years exceed ₹1 crore ✓.

Conclusion: Nova qualifies, provided it documents firm commitments for the excess monetary assets (unless the issue is a pure OFS).

Part 3: What if the issuer does not meet the track-record tests?

A growing company may fail the three-year profit test — because it is young, investing heavily in growth, or loss-making — and still be a serious business. The regulations do not close the door. The handbook's answer appears in its allocation rule: an issuer that **does not meet** the track-record conditions can still undertake a book-built IPO, but the share of the offer that must go to institutions rises sharply.

KEY FACTS — THE TWO REGIMES

- **Meets the track-record conditions:** not less than 35% to retail individual investors, not less than 15% to non-institutional investors, not more than 50% to QIBs.
- **Does not meet them:** not more than 10% to retail, not more than 15% to non-institutional investors, **not less than 75% to QIBs.**

The logic is investor protection. Retail investors are the least equipped to assess an unproven business, so the regulator steers the bulk of such an offer to sophisticated institutions that can analyse the risk. Chapter 9 explains the allocation mechanics in detail.

PRACTICAL NOTE — CHOOSING BETWEEN THE TWO REGIMES

Even a company that meets the track-record tests may *choose* its allocation structure within the permitted bands, and a company that cannot meet them must plan its marketing around institutional demand: roadshows, anchor investors and a strong equity story matter more. Bankers will usually test institutional appetite informally before the DRHP is filed.

SINCE 2019

The core track-record thresholds (₹3 crore net tangible assets, ₹15 crore average operating profit, ₹1 crore net worth) have remained recognisable in later amendments. The institutional route has been used extensively by loss-making and high-growth businesses. Verify the current text before relying on any figure.

Eligibility checklist

- ☐ No SEBI debarment against issuer, directors, promoters, promoter group or selling shareholders
- ☐ No director or promoter linked to another debarred company
- ☐ No wilful-defaulter declaration against issuer, directors or promoters
- ☐ No fugitive-economic-offender declaration against directors or promoters
- ☐ No outstanding convertibles or option rights (except permitted ESOPs and convertibles to be converted before RHP/Prospectus)
- ☐ Net tangible assets, operating profit and net worth tests met in each required year, or institutional route chosen
- ☐ Monetary assets $\leq$ 50% of net tangible assets, or firm commitments made, or issue is a pure OFS
- ☐ If the name changed within the last year: 50% revenue test satisfied

Chapter summary

- Five disqualifications bar an issuer completely — debarment, contagion through directorships, wilful default, fugitive-economic-offender status and outstanding convertibles or option rights.

-
- The track-record route needs ₹3 crore NTA ($\leq 50\%$ monetary), ₹15 crore average operating profit (each year positive) and ₹1 crore net worth, each over three years on a restated, consolidated basis.
 - A name change within the last year triggers a 50% revenue test.
 - Issuers outside the track-record route may still list, but with at least 75% of the offer reserved for QIBs.

CHAPTER 5

Offer Size, Minimum Dilution and Approvals

How much of the company must be offered to the public, what a pre-IPO placement is, and which approvals must be in place.

IN THIS CHAPTER

- Fresh issue, offer for sale or a combination
- The sliding scale of minimum public offer, with worked examples
- The three-year route to 25% public shareholding
- Pre-IPO placements
- Board, shareholder, regulatory and third-party approvals

What is being sold?

An IPO can consist of three kinds of offer, each with a different destination for the money.

Structure	Who sells	Where the money goes	Effect on shareholding
Fresh issue	The company issues new shares	To the company, for its stated objects	Total shares increase; existing holders are diluted
Offer for Sale (OFS)	Existing shareholders sell shares they already hold	To the selling shareholders	Total shares unchanged; holdings move from sellers to public
Combination	Both	Split between company and sellers	Both effects

The “minimum percentage offered to the public” rule below counts shares offered through a fresh issue, an OFS, or the two together.

Minimum dilution: how much must be offered?

A listed company should have a real public float. The regulations therefore require a minimum percentage of each class of equity shares to be offered to the public. The percentage depends on the size of the post-IPO equity capital, measured **at the IPO price** — in effect, the post-offer market capitalisation.

Minimum offer to the public (as at 31 July 2019)

Post-IPO equity capital at the IPO price	Minimum offered to the public
Up to ₹16,000 million (₹1,600 crore)	25% of each class of equity shares
More than ₹1,600 crore, up to ₹4,000 crore	Such percentage as equals ₹4,000 million (₹400 crore)
₹4,000 crore (₹40,000 million) or more	10% of each class of equity shares

“Public” means everyone other than the promoters, the promoter group, and the subsidiaries and associates of the issuer. Shares in the hands of those persons never count towards the public float.

WORKED EXAMPLE — THREE ISSUERS, THREE TIERS

Issuer A — post-IPO market value ₹1,000 crore. It is below ₹1,600 crore, so at least 25% must be offered: $0.25 \times 1,000 = \text{₹250 crore}$.

Issuer B — post-IPO market value ₹2,500 crore. It lies in the middle band, so the offer must be worth ₹400 crore. As a percentage: $400 \div 2,500 = 16\%$.

Issuer C — post-IPO market value ₹6,000 crore. It is above ₹4,000 crore, so 10% suffices: $0.10 \times 6,000 = \text{₹600 crore}$.

Notice that the rule does not make larger companies offer less in absolute terms. Issuer C offers ₹600 crore against Issuer A's ₹250 crore; only the *percentage* falls as size rises. The sliding scale recognises that a 25% sale of a very large company could be more than the market can absorb at one time.

If the initial public holding is below 25%

Companies in the second and third tiers will end up with public shareholding below 25%. The rule is that the issuer must **raise public shareholding to 25% within three years** from the date of listing, in the manner specified by SEBI. This ties the IPO to the continuing listing requirement of minimum public shareholding, discussed in Chapter 21.

Pre-IPO placement

Companies sometimes want to raise a final round of capital from selected investors before the public offer — to strengthen the order book, show market validation or reduce the size of the public issue. The handbook defines this precisely: a **pre-IPO placement** is an issuance of equity shares, or securities convertible into equity shares, **after filing of the DRHP with SEBI and before filing of the RHP**.

- The DRHP must disclose the **maximum number of shares** (including shares to be issued on conversion) or the **maximum amount** that may be raised in such a placement.
- Convertible securities issued in a pre-IPO placement must be **converted into equity before the RHP is filed** — consistent with the bar on outstanding convertibles (Chapter 4).

Corporate approvals

An IPO needs authority at several levels. Missing any one of them can delay the filing.

Level	What is needed
Board of directors	Authorisation to undertake the issue of equity shares (for a fresh issue) and to approve the offer documents. For an OFS, the issuer's board must approve it in addition to whatever the selling shareholders need.

Level	What is needed
Shareholders	A special resolution if the IPO involves a fresh issue of shares (a special resolution requires a 75% majority of votes cast).
Selling shareholders	Their own corporate authorisations under applicable law, where they are companies, funds or trusts.
Regulators and ministries	In certain cases, approvals from the RBI and relevant ministries for issues to non-residents; approval of a sector regulator (for example IRDAI for an insurer).
SEBI and exchanges	SEBI's observations on the DRHP; in-principle approval and then final listing and trading approval from the stock exchanges.
Third parties	Consents under financing documents, shareholder agreements and joint-venture agreements — often overlooked until a lender points out a negative covenant.

PRACTICAL NOTE — THE CONSENTS CALENDAR

Lender consents, JV partner consents and shareholder-agreement waivers are typically the slowest items because they depend on third parties. Start a “consents tracker” at the kick-off meeting. Also check whether any shareholder agreement terminates on listing, and whether special rights need to be deleted from the articles before filing (Chapter 20).

Chapter summary

- An IPO may be a fresh issue, an OFS, or both; only a fresh issue brings money to the company.
- Minimum offer: 25% up to ₹1,600 crore of post-IPO value; a fixed ₹400 crore between ₹1,600 and ₹4,000 crore; 10% at ₹4,000 crore and above.
- If the initial public stake is below 25%, it must be raised to 25% within three years of listing.
- A pre-IPO placement happens between DRHP and RHP, is capped by a disclosed maximum, and any convertibles must convert before the RHP.
- Approvals are needed from the board, shareholders (special resolution for fresh issues), sector regulators where applicable, SEBI, the exchanges and relevant third parties.

CHAPTER 6

Promoters, Promoter Group and Group Companies

Who counts as a promoter, why the label matters for life, and how the disclosure circles around the promoter are drawn.

IN THIS CHAPTER

- The three tests for being a promoter, and the persons exempted
- Promoter group for individuals and for companies
- Group companies and the “selected financials” disclosure
- Disclosures about promoters in the offer document
- Consequences of being named a promoter
- Can a company list without a promoter?

No concept in an IPO carries more consequences than “promoter”. Being named a promoter in an offer document affects lock-ins, liability, takeover obligations, disclosure and the ability to sell shares — and the label typically lasts long after the IPO. The regulations therefore define the term functionally, so that a person who in substance controls the company cannot avoid it.

Who is a promoter?

The SEBI Regulations and the Companies Act define a promoter in a deliberately **subjective** manner. A person is a promoter if they are any of the following:

1. identified as a promoter **in the offer document** or named as such by the issuer in the **annual return**;
2. a person who has **control over the affairs** of the issuer, directly or indirectly; or

3. a person **in accordance with whose advice, directions or instructions** the board of directors is accustomed to act.

Exceptions. The third test does not catch directors or officers who give advice purely in their professional capacity, and promoter status does not attach to certain regulated institutions: financial institutions, scheduled commercial banks, FPIs (other than Category III FPIs), mutual funds, venture capital funds, AIFs, FVCIs and insurance companies.

“Control” in this context includes the right to appoint a majority of the directors, or to control the management and policy decisions of the company, whether by shareholding, management rights, shareholders’ agreements or voting agreements. A company may also voluntarily name someone as a promoter even if they have no control.

Promoter group

The **promoter group** extends the circle beyond the promoter personally. It matters because many consequences — disclosure, shareholding aggregation, ineligibility tests, public-shareholding calculations — apply to the whole group.

Where the promoter is an individual

- The promoter’s **immediate relatives**: spouse, parent, brother, sister, child — of the promoter or of the spouse.
- Any **body corporate** in which 20% or more of the equity share capital is held by the promoter or an immediate relative, or by a firm or Hindu undivided family in which the promoter or relatives are members.
- Any body corporate in which a body corporate of the kind just described holds 20% or more of the equity capital.
- Any firm or HUF in which the aggregate shareholding of the promoter and immediate relatives is 20% or more of the total capital.
- All persons whose shareholding is aggregated under “shareholding of the promoter group” in the offer document.

Where the promoter is a body corporate

- Its subsidiary or holding company.
- A company in which it holds 20% or more of the equity share capital.

- A company that holds 20% or more of its equity share capital.
- Any body corporate in which a group of individuals or companies (or both), acting in concert, hold 20% or more of the equity — if that same group also holds 20% or more of the issuer.

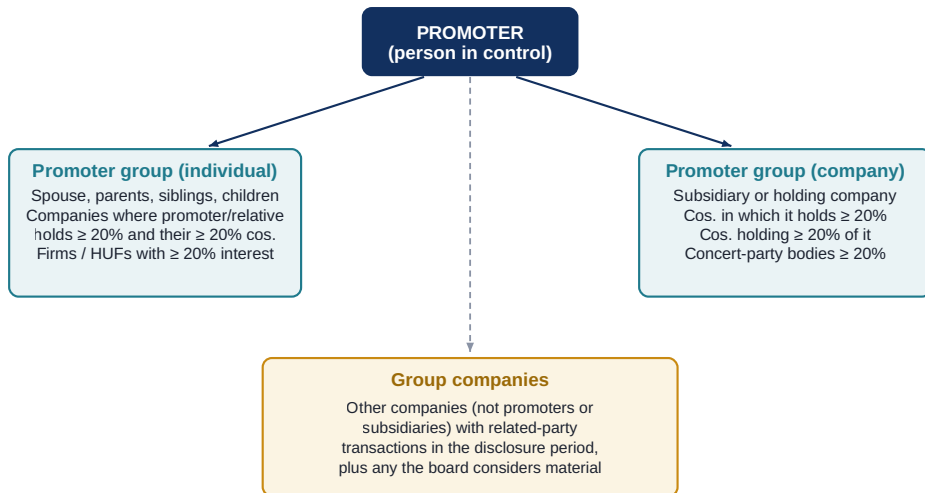


Figure. How the three disclosure circles relate: promoter, promoter group and group companies.

Group companies

The third circle is **group companies**. They are not the promoter's relatives or controlled entities; they are other companies the investor needs to know about. The regulations define them to include:

- companies (other than promoters and subsidiaries) with which the issuer had **related-party transactions**, as covered by the applicable accounting standard, during the period for which financial information is disclosed in the offer document; and
- other companies considered **material** by the issuer's board.

Because the first limb depends on actual transactions, a company can enlarge its group-company list simply by dealing with a related party. Plan related-party arrangements early.

What must be disclosed about group companies

- Date of incorporation and nature of activities, for **all** group companies.
- For **listed** group companies, selected financials for the last three years: equity capital, reserves (excluding revaluation reserve), sales, profit after tax, earnings per share and diluted earnings per share, and net asset value.
- If there are more than five listed group companies, the selected financials may be restricted to the **five largest by market capitalisation**.
- If fewer than five are listed, give them for all listed group companies **plus the largest unlisted ones by turnover**, so that the total does not exceed five.
- Pending litigation involving group companies that may materially affect the issuer.

Disclosure about promoters

The SEBI Regulations, the Companies Act and the rules require extensive information on promoters, including the securities they hold in the issuer and litigation involving them.

If the promoter is...	Typical disclosure
An individual	A complete profile: age, date of birth, educational qualifications, experience, past positions, other directorships, special achievements, financial activities, permanent account number, Aadhaar number and driving-licence number.
A company	A brief history (date of incorporation, changes in activities, present activities); history of the company's own promoters; names of natural persons in control (holding 15% or more of voting rights) or on the board of the promoter company; details of any change of control , including who held the controlling interest in the preceding three years, and compliance with the Takeover Regulations.

Disciplinary action — including penalties imposed by SEBI or the stock exchanges against promoters in the last five fiscals, and any outstanding action — must also be disclosed.

What follows from being a promoter

KEY FACTS — CONSEQUENCES OF PROMOTER STATUS

- **Permanence.** Once named a promoter in an offer document, an entity is treated as a promoter under the Takeover and Insider Trading Regulations, in annual reports and filings, and for later offerings, unless it is later “de-promoterised”.
- **Continuing disclosure.** Promoters must make regular and quarterly disclosures of their shareholding.
- **Inter-se transfers.** They may use the exemption for inter-se transfers between promoters if conditions are met.
- **Exit offer.** If the objects of the issue are changed, or the terms of a contract referred to in the offer document are varied, promoters or controlling shareholders must give an exit offer to dissenting shareholders (Chapter 21).
- **Lock-in.** Promoter shares are locked in (Chapter 7). Inter-se transfers and transfers to persons acquiring control under the Takeover Regulations are permitted; the lock-in continues in the new promoters’ hands.
- **Liability.** Promoters may be held liable for misstatements in the RHP and Prospectus and carry other obligations under the Companies Act (Chapter 17).

Can a company list without a promoter?

Yes, but it is a question of fact. The test of promotership is control. Where shareholding is so dispersed that no shareholder or group controls the company, there may be no identifiable promoter, and the company is described as **professionally managed**. The handbook notes that there have been recent precedents of IPOs by companies with no identifiable promoters, especially in regulated sectors, but the determination is made case by case.

A lack of an identifiable promoter has knock-on effects: promoter lock-in does not apply (Chapter 7), and SEBI may look unfavourably on companies with “unidentified promoters”. In fact, SEBI can **reject an offer document** where unidentified promoters are among the reasons the investor cannot assess the risks (Chapter 16).

PRACTICAL NOTE — DECIDE WHO IS A PROMOTER DELIBERATELY

The label should be assigned after analysis, not after a negotiation. Typical judgement calls: whether a financial investor with board seats and veto rights has “control”; wheth-

er a founder who has sold down still “controls”; whether a corporate parent’s ultimate individual owners must be named. These choices determine lock-ins, who signs the offer document, and who bears liability. Ask counsel for a written view early.

Chapter summary

- Promoter status is functional: named in the offer document or annual return, having control, or being someone the board is accustomed to follow.
- The promoter group captures relatives and entities within 20% ownership links; group companies capture related-party counterparties and material companies.
- Promoters face detailed disclosure, lock-in, continuing filings, exit-offer duties and liability for misstatements.
- A company with truly dispersed ownership may list without an identifiable promoter, but this is decided case by case.

CHAPTER 7

Promoters' Contribution and Lock-ins

How much skin in the game promoters must keep, which shares qualify, and who is locked in for how long.

IN THIS CHAPTER

- The 20% promoters' contribution and the shares that do not count
- Two kinds of lock-in: on the contribution and on all pre-IPO holders
- Exemptions for employee, venture capital and fund holdings
- A worked cap-table example showing who can sell on listing day

Investors in an IPO buy from a company whose founders know it best. The regulations insist that those founders stay invested after listing, and that other early holders do not exit the moment the shares begin trading. Two mechanisms achieve this: the **promoters' contribution**, which sets *how much* promoter stake must be put up, and **lock-ins**, which fix *how long* shares cannot be sold or transferred.

Promoters' contribution

Promoters must have contributed **not less than 20% of the post-IPO equity share capital, on a fully diluted basis**. “Fully diluted” means counting all shares that would exist if every outstanding option or convertible right were exercised — so the denominator includes the IPO shares and any such shares permitted to remain outstanding (for example, employee options).

Shares that do not count

Not every share held by a promoter qualifies. The following, among others, are **ineligible** for computing the promoters' contribution:

- **Non-cash shares.** Shares acquired in the last three years for consideration other than cash, or from a revaluation of assets or capitalisation of intangible assets.
- **Bonus shares from paper profits.** Shares issued as a bonus out of revaluation reserves or unrealised profits, or bonus shares issued on the basis of ineligible shares in the last three years.
- **Cheap shares bought recently.** Shares acquired in the preceding one year at a price lower than the IPO price (subject to other requirements and exceptions).
- **Pledged shares.** Shares pledged with any creditor.

The common thread is genuine commitment: shares that were bought with real money, at a real price, and are free of third-party claims. A promoter who received a large block of shares in a restructuring last year, or who pledged shares to a lender, may find the eligible pool smaller than the headline holding.

Two kinds of lock-in

The regulations impose two distinct lock-ins:

1. a lock-in on the **promoters' contribution**; and
2. a lock-in on **all pre-IPO shareholders** — including the promoters, for their holding above the minimum contribution.

Promoters

- **20% of post-IPO capital** (fully diluted) is locked in for **three years**. The lock-in starts from the *later* of the date of allotment in the IPO and the date of commencement of commercial production; the three years run from the date of allotment.
- The **remaining** promoter shareholding is locked in for **one year** from the date of allotment (or commencement of commercial production, whichever is later).
- The promoter lock-in does **not apply** to companies that have **no identifiable promoters**.

Everyone else who held shares before the IPO

The **entire pre-IPO equity share capital held by persons other than promoters** is locked in for **one year**. Three exemptions apply:

1. Shares allotted to employees (current or former) under a stock-option scheme before the IPO, provided disclosures are made in the offer document as required.
2. Shares held by an employee stock option trust, or transferred to employees by such a trust on exercise, under an ESOP or ESPS.
3. Shares held by a **VCF, Category I AIF, Category II AIF or FVCI** — but these shares are locked in for **one year from the date of purchase** by the fund. A fund that bought the shares three years ago therefore has nothing locked in; one that bought six months ago stays locked for another six months.

Anchor investors

Shares allotted to anchor investors are locked in for **30 days from the date of allotment** (Chapter 10).

Lock-in periods as described in the handbook (counted from allotment in the IPO)

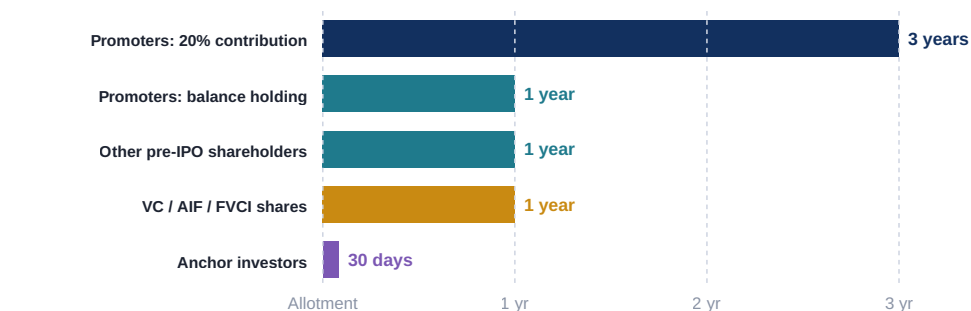


Figure. Lock-in periods applicable under the regulations as summarised in the handbook (position at 31 July 2019). See Chapter 29 for later changes.

WORKED EXAMPLE — WHO CAN SELL ON DAY ONE?

Orion Foods Ltd has 8 crore shares before its IPO: promoters hold 5 crore, a venture-capital fund (bought four years ago) holds 2 crore, and employees and others hold 1 crore (of which 0.2 crore were allotted under ESOPs). The IPO is a fresh issue of 2 crore shares and an offer for sale of 0.5 crore shares by the VC fund. Post-IPO share

capital: $8 + 2 = 10$ crore shares (fully diluted, ignoring unexercised options for simplicity).

Promoters' contribution: $20\% \times 10$ crore = **2 crore shares**, locked in for three years. (Assume all 5 crore promoter shares are eligible.)

Remaining promoter shares: $5 - 2 = 3$ crore, locked in for one year.

VC fund: $2 - 0.5$ (sold in the OFS) = 1.5 crore remain. Because the fund bought four years ago, the one-year lock-in from purchase has expired — **free to trade**.

Employees/others: 1 crore pre-IPO shares; the 0.8 crore not allotted under ESOPs are locked in for one year; the 0.2 crore ESOP shares are **exempt**.

Public shares from the IPO: $2 + 0.5 = 2.5$ crore, or 25% of 10 crore.

Freely tradable on listing day: 2.5 crore (IPO) + 1.5 crore (VC) + 0.2 crore (ESOP) = **4.2 crore shares (42% of capital)**, even though the public float created by the IPO is only 25%. The VC fund's residual block is the "overhang" the market will keep in mind.

PRACTICAL NOTE — PLAN THE CAP TABLE BEFORE FILING

Because lock-ins attach to particular shares, and because shares acquired too cheaply or too recently may be ineligible for the contribution, restructuring decisions — bonus issues, preferential allotments, pledges, intra-group transfers — should be reviewed for lock-in consequences at least twelve to eighteen months before the IPO. Inter-se transfers among promoters are permitted, and transfers to persons acquiring control under the Takeover Regulations too; the lock-in simply continues with the transferee.

SINCE 2019

SEBI has since **shortened** several of these lock-in periods — for the minimum promoters' contribution and the excess promoter holding, and for pre-IPO non-promoter shareholders (to six months) — with the applicable period depending on the objects of the issue, and has tightened the treatment of anchor-investor lock-ins (split into 30-day and 90-day tranches). The figures in this chapter reflect the 31 July 2019 position; confirm the current periods in the ICDR Regulations. See Chapter 29.

Chapter summary

- Promoters must contribute 20% of post-IPO fully diluted capital; non-cash, revaluation-based, recently cheap and pledged shares do not count.
- That 20% is locked in for three years; the rest of the promoters' shares for one year; all other pre-IPO shares for one year.
- Exemptions: ESOP shares and ESOP-trust shares; VCF/AIF/FVCI shares (locked one year from their *purchase*).
- Anchor investor shares are locked in for 30 days (at 2019).
- No promoter lock-in applies where no promoter is identifiable.

CHAPTER 8

Offer for Sale by Existing Shareholders

How existing shareholders can sell through an IPO, who qualifies, who pays, and where their liability stops.

IN THIS CHAPTER

- What an Offer for Sale is and how it combines with a fresh issue
- The one-year holding rule and its three exceptions
- Who pays the expenses — with a worked example
- Documents a selling shareholder must sign
- Extent of the selling shareholder's liability

What an Offer for Sale is

In an **Offer For Sale (OFS)**, existing shareholders offer shares they already own to the public for subscription, through the offer document in the IPO. Unlike a fresh issue, no new shares are created and the company receives no money: proceeds go to the sellers. An OFS can be the whole IPO, or can sit alongside a fresh issue in a single combined offer.

Typical sellers are promoters seeking partial liquidity, and private-equity or venture-capital investors who have held their stake for several years and want to realise the value they have built. For the issuer, an OFS can be attractive because it provides a wider shareholder base and a price-discovered listing without increasing the share count. For investors, an OFS-heavy IPO sometimes signals that insiders are selling, which is why the use of proceeds and the identity of the sellers are closely read.

Who can sell? The one-year rule

A selling shareholder must have **held the securities being offered for at least one year before the DRHP is filed with SEBI**. If the shares to be sold arise from the conversion or exchange of convertible instruments, the holding period of the convertible instruments is counted as well. This rule prevents someone from buying shares cheaply shortly before an IPO and immediately offloading them to the public.

KEY FACTS — EXCEPTIONS TO THE ONE-YEAR HOLDING RULE

1. **Government and infrastructure entities.** OFS of securities of a government company, statutory authority or corporation, or a special-purpose vehicle set up and controlled by them in the infrastructure sector.
2. **Scheme shares.** Securities acquired under a scheme approved by a High Court or a tribunal under the Companies Act, in exchange for business and invested capital that had existed for more than one year before the approval.
3. **Bonus shares.** Securities issued as bonus on securities that had themselves been held for at least one year before the DRHP, subject to conditions.

Separately, a selling shareholder must not be debarred from the capital markets (Chapter 4), and the issuer's board must approve the OFS in addition to any approvals the sellers need under their own constitutions or applicable law.

Who bears the expenses?

Section 28 of the Companies Act places the cost of an OFS on the **selling shareholders**. They must collectively authorise the issuer to take all actions required for the OFS and reimburse all the expenses the issuer incurs for it. When the IPO combines a fresh issue and an OFS, expenses are **shared in proportion to the number of shares offered by each side**.

WORKED EXAMPLE — SHARING OFFER EXPENSES

Atlas Logistics Ltd launches an IPO of 5 crore shares: 3 crore shares as a fresh issue and 2 crore shares as an OFS by existing investors. Total offer expenses (BRLM fees, legal, registrar, advertising, listing fees and so on) are ₹25 crore.

Company share = $3 \div 5 = 60\%$ → **₹15 crore**.

Selling shareholders' share = $2 \div 5 = 40\%$ → **₹10 crore** (split among the sellers according to the shares each sells).

Had the IPO been a pure OFS of 2 crore shares, the sellers would bear the whole ₹25 crore.

The practical consequence is that sellers do not receive the full IPO price per share: the net they receive is the price less their share of expenses (and any applicable taxes).

Documents the selling shareholder signs

- The **corporate authorisations** for the OFS.
- The **transaction agreements**: offer (issue) agreement, registrar agreement, cash escrow agreement, syndicate agreement, share escrow agreement and underwriting agreement (Chapter 15).
- Confirmation of the disclosures in the DRHP, RHP and Prospectus that relate to them and their shares.
- Additional **due diligence certificates** and documents requested by regulators or the BRLMs.

In an OFS, a separate **share escrow agreement** is signed among the issuer, the selling shareholders and an escrow agent, under which the offered shares are deposited — typically before the RHP is filed — so that they are available for delivery to successful bidders.

How far does the seller's liability go?

A selling shareholder may be held liable for misstatements and omissions in the Prospectus **to the extent of the disclosure made about themselves and about the shares they offer**, together with whatever further liabilities they assume towards the other intermediaries in the transaction documents (for example indemnities in the offer agreement). They are not, by virtue of being sellers, liable for every statement about the company's business — but statements about their identity, holding, title to the shares and similar matters are their responsibility.

WARNING

A seller who is also a promoter has both sets of obligations. A venture fund that has a nominee on the board may be asked to give wider confirmations. Sellers should negotiate the scope of their representations and indemnities in the offer agreement with advice; the template that the issuer's counsel circulates is a starting point, not the end of the discussion.

Chapter summary

- An OFS lets existing shareholders sell through an IPO; the money goes to them, not the company.
- Sellers must have held the shares for at least one year before DRHP filing, with exceptions for government/infrastructure entities, court-approved scheme shares and certain bonus shares.
- Selling shareholders bear the OFS expenses (Section 28), shared pro rata with the company in a combined offer.
- They sign the transaction agreements, including a share escrow agreement, and are liable for statements about themselves and their shares.

PART III

Investors, Pricing and Bidding

Who gets shares, how the price is discovered, how bids and money move, and how the offer is stabilised after listing.

CHAPTER 9

Investor Categories and Allocation

QIBs, non-institutional and retail investors — who they are, how much of the offer each gets, and how shares are allotted.

IN THIS CHAPTER

- Who is a QIB, a non-institutional investor and a retail individual investor
- The two allocation regimes, with worked numbers
- The mutual-fund reservation inside the QIB portion
- How allotment works in each category

An IPO is not sold to “the public” as a single pool. Investors are divided into three categories, and the offer is divided among them in fixed proportions. The division serves two purposes: it protects small investors by guaranteeing them a share of the offer, and it ensures that institutions with the ability to analyse a company are present in the book.

The three categories

Category	Who	Key feature
Qualified Institutional Buyers (QIBs)	Public financial institutions; FPIs; scheduled commercial banks; SEBI-registered mutual funds, VCFs, AIFs and FVCIs; state industrial development corporations; insurance companies registered with IRDAI; provident funds and pension funds with a corpus of at least ₹250 million (₹25 crore); multilateral and bilateral development financial institutions; the National Investment Fund; insurance funds of the armed forces and the Department of Posts	Sophisticated; may bid through the syndicate; only category that can be an anchor investor
Non-Institutional Investors (NIIs)	All bidders that are neither QIBs nor retail individual investors	High-net-worth individuals, companies, trusts and similar bidders above the retail limit
Retail Individual Investors (RIIs)	Individuals, including Hindu undivided families and non-resident Indians, who bid for a value of not more than ₹0.2 million (₹2 lakh) in any of the bidding options	Must apply through the ASBA process; guaranteed minimum share of the offer in the standard regime

Two allocation regimes

How the net offer is divided depends on whether the issuer meets the track-record eligibility conditions explained in Chapter 4.

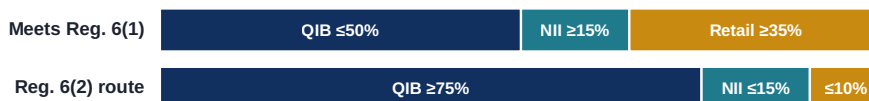
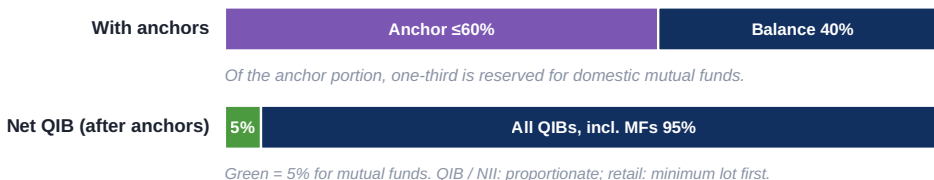
Net offer split by investor category (book-built IPO)**Inside the QIB portion (illustration: QIB share = 100 units)**

Figure. Allocation to investor categories under the two regimes in the SEBI (ICDR) Regulations, 2018, as described in the handbook.

	Retail (RII)	Non-institutional (NII)	QIB
Issuer meets the track-record conditions (book-built IPO)	Not less than 35%	Not less than 15%	Not more than 50%
Issuer does not meet them	Not more than 10%	Not more than 15%	Not less than 75%

Within the QIB category, 5% is allocated to registered mutual funds, and the balance is allocated to all QIBs, including mutual funds. Mutual funds can therefore compete for the balance, so their total share can exceed 5%.

WORKED EXAMPLE — SPLITTING A ₹1,000 CRORE NET OFFER

Regime 1 (meets track-record conditions), maximum QIB share. QIB 50% = ₹500 crore. NII at least 15% = ₹150 crore. Retail at least 35% = ₹350 crore. (50 + 15 + 35 = 100.)

Inside the ₹500 crore QIB portion. Up to 60% may go to anchor investors: $0.60 \times 500 = ₹300$ crore, of which one-third (₹100 crore) is reserved for Indian mutual funds. The remaining ₹200 crore is the net QIB portion. Of it, 5% (₹10 crore) is reserved for mutual funds, and the balance ₹190 crore goes to all QIBs including mutual funds.

Regime 2 (does not meet the conditions). QIB at least 75% = ₹750 crore. NII up to 15% = ₹150 crore. Retail up to 10% = ₹100 crore. (75 + 15 + 10 = 100.)

The one-third reservation for mutual funds in the anchor portion, and the 5% reservation in the net QIB portion, mean that mutual funds are structurally guaranteed access to the QIB category.

How shares are allotted within each category

- **QIBs and NIIs: proportionate.** If a category is oversubscribed, each valid bidder receives shares in proportion to the quantity bid.
- **Retail: minimum lot first.** Each retail bidder is allotted the **minimum bid lot, subject to availability, and thereafter the balance is allotted proportionately** to those who bid for more.

WORKED EXAMPLE — OVERSUBSCRIBED PROPORTIONATE ALLOTMENT (NII)

The NII portion is 30 lakh shares. Valid NII bids at or above the issue price total 90 lakh shares — a 3× subscription. A bidder who applied for 6,000 shares is allotted, on a proportionate basis, $6,000 \times (30 \div 90) = \mathbf{2,000 \text{ shares}}$. Final rounding is done by the registrar in consultation with the exchange as part of the basis of allotment.

PRACTICAL NOTE — WHAT RETAIL “MINIMUM LOT” MEANS IN PRACTICE

In a heavily oversubscribed retail category, there may be fewer shares than lots needed to give every applicant one lot. The detailed procedure for that situation is in the regulations’ allotment schedule, which is not summarised in the handbook; in practice successful applicants are chosen by a draw among valid applications. Retail investors should therefore expect all-or-nothing outcomes at high subscription levels, rather than a small partial allotment.

SINCE 2019

The non-institutional category has since been split into two sub-categories, by size of bid; the retail limit remains ₹2 lakh. Also, reservations for employees and for shareholders of a listed parent are common features of larger IPOs, though not covered in this handbook. See Chapter 29.

Chapter summary

- Investors fall into QIBs, NIIs and RIIs; retail means bids up to ₹2 lakh.
- Issuers meeting the track-record conditions give retail at least 35%, NII at least 15% and QIBs at most 50%; others give QIBs at least 75%, NII at most 15% and retail at most 10%.
- Inside the QIB category, 5% is for mutual funds, and up to 60% of the QIB portion may go to anchors.
- QIB and NII allotments are proportionate; retail gets minimum lots first.

CHAPTER 10

Anchor Investors

The pre-opening allocation to large institutions that gives an IPO its first signal of demand.

IN THIS CHAPTER

- What anchor investors are and why issuers use them
- The size, timing and mutual-fund reservation rules
- Minimum and maximum number of anchors at each size band
- Price differences, restrictions and the 30-day lock-in
- A worked allocation example

Purpose

An **anchor investor** is a QIB that commits to a large block of the offer *before* the issue opens to the public. Because anchors are large, experienced institutions, their participation tells the rest of the market that sophisticated investors have looked at the company and are willing to buy at the price. It also reduces execution risk for the issuer: a meaningful part of the QIB book is already placed before the retail and general bidding begins.

The handbook describes the option as follows: an issuer undertaking a public issue has the option of allocating **up to 60% of the portion available to QIBs** to anchor investors.

The rules

Element	Rule (as at 31 July 2019)
Who	A QIB making an application for a value of ₹100 million (₹10 crore) or more in a public issue
How much	Up to 60% of the QIB portion
When	Bidding opens one day before the Issue Opening Date; allocation must also be completed on the same day
Mutual funds	One-third of the anchor portion is reserved for Indian mutual funds
Allocation basis	Discretionary , within the numerical limits below
Payment	Through the escrow account (anchors do not use ASBA)
Lock-in	30 days from the date of allotment

How many anchors?

Anchor allocation	Number of anchor investors	Minimum per anchor
Up to ₹100 million (₹10 crore)	Maximum of two	—
Above ₹10 crore, up to ₹2,500 million (₹250 crore)	Minimum of two, maximum of 15	₹50 million (₹5 crore)
Above ₹250 crore	Minimum of five and maximum of 15 for allocation up to ₹250 crore, plus an additional 10 for every ₹250 crore (or part) above that	₹50 million (₹5 crore)

Pricing consequences

Anchors are allocated shares at a price fixed on the anchor day. The final IPO price is determined only after the public book closes, so the two prices may differ:

- **If the final IPO price is higher** than the anchor allocation price, anchors must **pay the difference**.

- **If the final IPO price is lower**, the excess is **not refunded**; the anchor receives shares at its allocation price.

This asymmetry means that anchors take the risk that the market will price below the anchor price. In practice the anchor price is usually the upper end of the price band or very close to it.

Who cannot be an anchor?

To keep anchor demand genuine, certain persons are excluded:

- the **BRLMs** and any **associate of a BRLM**; and
- any person **related to the promoter or promoter group** of the issuer.

The exclusion for BRLM associates has carve-outs for entities that are genuinely independent pools of money: mutual funds sponsored by associates of the BRLMs, insurance companies promoted by associates, and AIFs and FPIs (other than Category III FPIs) sponsored by entities associated with the BRLMs.

Confirmation of allocation note

At the end of the anchor bidding period, once the allocation is finalised, the anchors receive a **Confirmation of Allocation Note (CAN)** — an advice of allocation. Other investors receive an “allotment advice”. A CAN is not itself a share certificate; the shares are credited to the anchor’s demat account on allotment.

WORKED EXAMPLE — AN ANCHOR BOOK FOR A ₹500 CRORE QIB PORTION

Maple Healthcare Ltd has a QIB portion of ₹500 crore. It elects to allocate the maximum 60% to anchors: **₹300 crore**. One-third (**₹100 crore**) must be reserved for domestic mutual funds.

Number of anchors. ₹300 crore exceeds ₹250 crore, so the third row of the table applies. For the first ₹250 crore, the number of anchors must be between five and 15; for the remaining ₹50 crore (“part thereof”), up to ten more may be added. The number of anchors can therefore be up to **25**, with each allotted at least ₹5 crore.

Price. The anchors are allocated at ₹320 per share. After the public book closes, the issue is priced at ₹330. Anchors must pay the extra ₹10 per share. Had the issue been priced at ₹310, they would have kept their shares at ₹320 without any refund.

Lock-in. Anchor shares cannot be sold for 30 days after allotment.

PRACTICAL NOTE — WHAT THE ANCHOR BOOK SIGNALS

Market participants read the anchor list as a quality signal. A balanced list — long-only mutual funds, insurers, sovereign and pension funds — is better than a book dominated by one type of investor. Anchor allocation also determines how much of the QIB book is left for the open period, so the issuer must keep enough supply for institutions that prefer to bid on the main days.

SINCE 2019

The anchor regime has been refined since 2019: the single 30-day lock-in was later replaced by a split lock-in (a portion for 30 days and the rest for 90 days), and the reservation for domestic mutual funds has been broadened in some respects. Check the current rules before planning an anchor book; see Chapter 29.

Chapter summary

- Anchors are QIBs bidding at least ₹10 crore, up to 60% of the QIB portion, one day before the issue opens.
- One-third of the anchor portion is reserved for Indian mutual funds; allocation is discretionary within limits on the number of anchors and a ₹5 crore minimum each.
- Anchors pay any upward price difference; they receive no refund if the price falls.
- BRLMs, their associates (with limited exceptions) and promoter-related persons are excluded; the lock-in was 30 days at 2019.

CHAPTER 11

Pricing and Book Building

Fixed price versus book building, the price band, how bids are placed, and how the final price is discovered.

IN THIS CHAPTER

- The two pricing methods and the filing stages that go with them
- What book building is and who runs it
- Price band, floor price and cap price
- How bids work: three options per form, and what happens to the rest
- A worked price-discovery example with a demand curve

Two ways to price an issue

Under the SEBI Regulations an issuer may determine the price in consultation with the lead merchant banker in one of two ways: as a **fixed-price issue** or through the **Book Building Process**.

	Fixed-price issue	Book-built issue
Price	Fixed before the issue opens and stated in the offer document	Discovered from investors' bids within a price band (or at or above a floor price) after the issue closes
Investor's choice	Take it or leave it at the stated price	Bid at prices within the band; each bidder may specify up to three options
Filing stages	Two-stage: DRHP to SEBI; Prospectus (with the price) to the RoC	Three-stage: DRHP to SEBI; updated DRHP / RHP to the RoC; Prospectus (with the Issue Price) to the RoC

	Fixed-price issue	Book-built issue
Price announcement	Part of the offer document	Floor price or price band is advertised at least two working days before the issue opens

Book-built issue — three-stage filing



Fixed-price issue — two-stage filing



Figure. Filing stages for book-built and fixed-price public issues. After the Prospectus is registered, the issue is allotted and listed.

In practice, almost all significant IPOs in India are book-built, because price discovery lets the market, rather than the issuer and its bankers, set the valuation.

What is book building?

Book building is the process of eliciting and building up demand for the securities to be issued and assessing the price at which that demand can be satisfied. The “book” is the running record of all bids — how many shares are demanded at each price. The Book Running Lead Managers (BRLMs) maintain and analyse it.

The price band

For a book-built issue, the RHP states a **Price Band**: the range between the **Floor Price** (the lower end, below which the issue price will not be fixed and no bids will be accepted) and the **Cap Price** (the upper end, above which the issue price will not be fixed and no bids will be accepted). The issuer announces the floor price or price band in all the newspapers in which the pre-issue advertisement was published, **at least two working days before the issue opens** (Regulation 29(4)).

How a bid works

1. During the issue period, the investor submits a **Bid cum Application Form** to an SCSB, a BRLM, a syndicate member, a registered broker, a CDP or an RTA, indicating the number of shares and the price within the band at which the investor wants to subscribe. Retail investors can bid only through SCSBs; from **1 January 2019** they can also bid and block funds using a **UPI ID** (Chapter 12).
2. Each form allows the bidder to bid at **three optional prices** within the band, with a quantity against each.
3. The intermediary enters each bid option into the exchange's electronic bidding system as a **separate bid**.
4. The **Bid Amount** payable (and blocked) is the **highest value** among the optional bids.
5. After the Issue Price is determined, only the **maximum number of shares bid for at or above the Issue Price** is considered for allotment; the rest of the bids, irrespective of bid price, are automatically rejected.

WORKED EXAMPLE — ONE BIDDER, THREE OPTIONS

The price band is ₹190–₹200. A non-institutional bidder fills in three options:

Option	Price (₹)	Shares	Value (₹)
1	198	100	19,800
2	196	150	29,400
3	194	200	38,800

Amount blocked: the highest value — option 3, ₹38,800.

If the Issue Price turns out to be ₹196: options 1 and 2 are at or above ₹196 (option 3, at ₹194, is below it and is rejected). The maximum number of shares bid at or above ₹196 is 150. The bidder is considered for up to 150 shares at ₹196 = ₹29,400 (subject to the proportionate allotment for the category); ₹9,400 (38,800 – 29,400) of the blocked money will be released.

If the Issue Price turns out to be ₹194: all three options qualify; the maximum is 200 shares at ₹194 = ₹38,800.

Who fixes the price?

After the issue closes, the BRLMs, the issuer and any selling shareholder analyse the demand generated at each price level. The issuer, in consultation with the selling shareholder (if any) and the BRLMs, then finalises the **Issue Price** and the number of shares to be allotted to each category of investors. The date on which this is done is the **Pricing Date**. Immediately after, the **Underwriting Agreement** is signed and the **Prospectus** with the Issue Price is filed with the Registrar of Companies.

Price discovery in practice

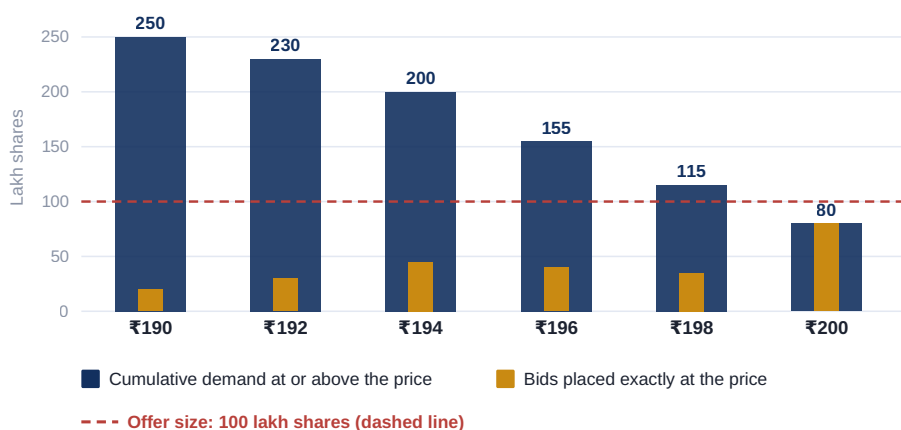


Figure. Illustrative demand curve for a price band of ₹190–₹200 and an offer of 100 lakh shares (see Chapter 11). All numbers are hypothetical.

WORKED EXAMPLE — READING THE BOOK

Zenith Auto Ltd offers **100 lakh shares** in a price band of ₹190–₹200. At the close of bidding, the cumulative demand at or above each price is:

Price (₹)	Bids at this price (lakh)	Cumulative demand at or above (lakh)	Coverage of the offer
200	80	80	0.80×
198	35	115	1.15×
196	40	155	1.55×

Price (₹)	Bids at this price (lakh)	Cumulative demand at or above (lakh)	Coverage of the offer
194	45	200	2.00×
192	30	230	2.30×
190	20	250	2.50×

Reading: At the cap price of ₹200 the offer is not fully covered (0.80×). The **highest price at which the entire offer is covered is ₹198** (1.15×). The issuer could price there, maximising proceeds, or accept a lower price to leave a larger cushion: ₹194 gives 2× coverage.

Money raised: at ₹198, $100 \text{ lakh} \times ₹198 = ₹198 \text{ crore}$; at ₹194 = ₹194 crore — a difference of only ₹4 crore (about 2%). Many issuers prefer the deeper book, because a price that leaves investors with a better chance of a gain tends to support aftermarket trading.

PRACTICAL NOTE — PRICE DISCOVERY IS A JUDGEMENT, NOT A FORMULA

The “highest price at which the book is covered” is a ceiling, not an instruction. Bankers look at the **quality** of demand (long-only institutions versus short-term traders), the **distribution** across categories, how many bids sit exactly at the cap, and how the book developed day by day. A book with demand concentrated in one price point or one type of investor is weaker than the same headline subscription spread widely. Retail and employees can also bid at a “cut-off” price (the final price, whatever it turns out to be) — a feature of the mechanism in practice that the handbook does not describe.

Chapter summary

- Price is either fixed (two-stage filing) or discovered by book building (three-stage filing).
- A price band — floor and cap — is advertised at least two working days before the issue opens.
- A bidder can specify three options; the largest value is blocked, and only the maximum quantity bid at or above the Issue Price is considered.

- After the issue closes, the issuer, selling shareholders and BRLMs analyse the book and fix the Issue Price and category-wise allocation.

ASBA, UPI and the Mechanics of Bidding and Allotment

How money is blocked, how bids reach the exchange, and the days between closing and listing.

IN THIS CHAPTER

- ASBA: the blocked-amount mechanism and why it is mandatory
- UPI-based bidding for retail investors
- Who may collect bids and where bids are entered
- Escrow, the Public Issue Account and the Designated Date
- The post-closing timeline: allotment, credit and listing

ASBA: Application Supported by Blocked Amount

ASBA is a mechanism prescribed by SEBI for applying in an IPO. Instead of handing over a cheque or draft with the application, the investor authorises their own bank to **block** the application money in their account until just before allotment. The money does not leave the investor's account — and continues to belong to them — until the shares are actually allotted.

The benefits are substantial. The investor keeps the money earning interest while the issue is open, the issuer does not hold large sums that must be refunded, and refunds for unsuccessful bids become simple unblocking. For these reasons, **all investors other than anchor investors must participate in an IPO only through ASBA**. Anchors, who bid on a separate day with large amounts, pay through the escrow account.

An ASBA application can be made in one of two ways — as the handbook’s diagram shows, an **online process** (the investor’s bank or broker platform, or a UPI ID) and an **offline process** (a physical form submitted to a bank branch or intermediary).

UPI for retail investors

With effect from **1 January 2019**, retail individual investors may also bid and block funds using a **UPI ID**. In this version a **Sponsor Bank** — a banker to the issue appointed by the issuer — acts as the conduit between the stock exchanges and the National Payments Corporation of India (NPCI): it pushes the mandate request to the investor’s UPI app, and the investor approves the blocking of funds. The money remains in the investor’s account until allotment.

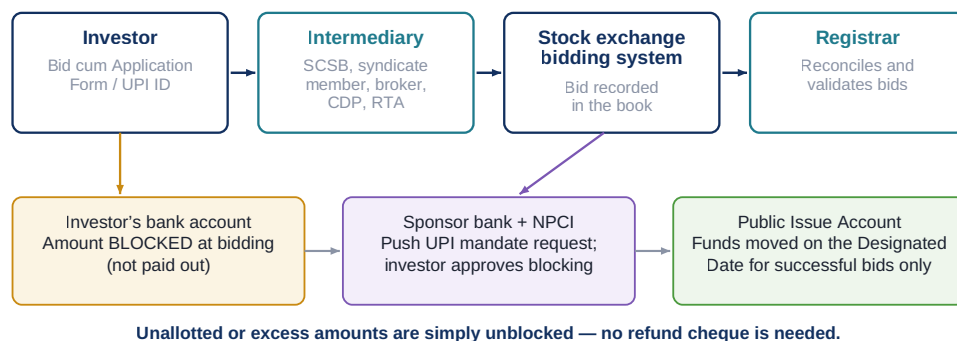


Figure. ASBA with UPI: money stays in the investor’s account until allotment. Anchor investors are the exception — they pay through escrow.

Who can collect bids?

Application forms in a public issue can be collected by a range of designated intermediaries:

Intermediary	What it does
SCSBs (Self-Certified Syndicate Banks)	Banks that offer the ASBA facility; the only channel for retail bids in the handbook’s description (plus UPI from 2019)

Intermediary	What it does
Syndicate members	SEBI-registered intermediaries (who can also act as underwriters) that collect bids from applicants other than retail investors and deposit them with SCSBs
Registered brokers	Stock brokers with nationwide terminals, other than syndicate members
CDPs (Collecting Depository Participants)	Depository participants eligible to collect bids at designated locations
RTAs (Registrar and Share Transfer Agents)	SEBI-registered agents eligible to collect bids at designated locations

Each of them enters the bid details into the **electronic bidding system of the stock exchanges** and carries out a preliminary verification. The issuer does not sign separate agreements with SCSBs, RTAs, CDPs and registered brokers; their obligations are “deemed agreements” arising from SEBI circulars and are recognised in clauses of the issue agreement.

The flow of money

- **Anchor investors** pay their bid amounts into the **Escrow Account** held with an Escrow Collection Bank.
- **ASBA bidders** have an equivalent amount blocked in their own accounts by the SCSB (and, for UPI, by the Sponsor Bank mechanism).
- After the Prospectus is filed with the RoC, funds are transferred from the Escrow Account and the ASBA accounts to the **Public Issue Account** on the **Designated Date**. Only then does the Board allot the shares.
- Excess money, and money for unsuccessful bids, is refunded (escrow) or unblocked (ASBA).

From closing to listing

Once the issue closes, a tightly sequenced set of actions takes place. Delay at any step postpones listing.

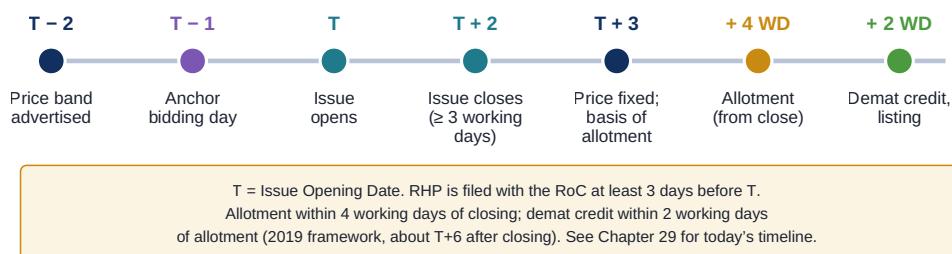


Figure. Offer-period timeline under the 2019 framework (working days).

1. The registrar obtains the **electronic bid details** from the stock exchange and reconciles them with the physical and electronic forms.
2. The Issue Price is finalised and the **underwriting agreement** is executed.
3. The **Prospectus** is filed with and registered by the RoC.
4. The registrar submits the final **Basis of Allotment** to the designated stock exchange for approval.
5. The registrar and BRLMs issue **funds-transfer instructions** to the collecting banks and SCSBs to credit funds to the Public Issue Account.
6. The issuer **allots** the shares. Under the 2019 framework, allotment must be done within **four working days** of the Issue Closing Date.
7. Successful bidders' demat accounts are **credited within two working days of allotment**.
8. The issuer makes the **listing and trading application**; the exchanges grant final listing and trading approval and trading begins.

Within **ten days** of completing various post-issue activities, the BRLMs must ensure that an advertisement giving details of subscription, the basis of allotment, the number, value and percentage of applications and of successful allottees, the date of dispatch of refunds

or instructions to SCSBs, the date of credit of securities and the date of the listing application is released in the newspapers in which the pre-issue advertisement appeared (Regulation 51).

SINCE 2019

The post-closing timeline has been compressed dramatically since 2019. Listing within **three working days** of the issue closing date (“T+3”) was introduced as an option and later made mandatory; UPI-based bidding has been extended and standardised for retail and, later, for other investor categories with caps; and the process has moved towards 100% digital. The sequence of steps remains similar, but the days are fewer. See Chapter 29.

Chapter summary

- ASBA blocks application money in the investor’s own bank account until allotment; all investors except anchors must use it.
- From 1 January 2019, retail investors can use UPI via a Sponsor Bank; SCSBs, syndicate members, brokers, CDPs and RTAs collect and enter bids on the exchange system.
- Funds move to the Public Issue Account on the Designated Date, after the Prospectus is registered.
- Under the 2019 framework allotment is within four working days of closing and demat credit within two working days of allotment; a post-issue advertisement follows.

CHAPTER 13

The Green Shoe Option and Price Stabilisation

How an IPO can be supported in the first 30 days of trading, step by step.

IN THIS CHAPTER

- What the Green Shoe Option is and why it exists
- The decision points: filing, pricing and stabilisation
- The mechanics of borrowing, over-allotting, buying back and returning shares
- A worked numerical example

The problem it solves

Newly listed shares can be volatile. A sudden wave of selling in the first days can push the price below the IPO price, hurting the investors who have just bought and damaging confidence in the issuer. The **Green Shoe Option** is a mechanism in the SEBI Regulations designed to ensure price stability for a limited period — **30 days after listing** — and to protect both the issuer and the investors from price volatility immediately after listing. (The name comes from the first company that used such an option, which was the Green Shoe Manufacturing Company.)

How it works

1. **Decision at filing.** The decision to have a Green Shoe Option must be taken when the **DRHP is filed**.
2. **Decision at pricing.** The actual decision to *exercise* the option is taken at the time of pricing the IPO.

3. **Borrowing the shares.** Additional equity shares — **up to 15% of the IPO size** — are borrowed from a promoter or a pre-issue shareholder (the “lender”) and allotted to investors at the time of allotment. This over-allotment is the “Green Shoe Option Portion”.
4. **Stabilisation.** After listing, the **stabilising agent**, which must be one of the BRLMs, may support the price for 30 days by buying shares from the market if the price falls below the IPO price.
5. **Returning the shares.** The shares bought in the market are returned to the lenders at the end of the stabilisation period.
6. **Shortfall.** If the shares bought back are fewer than those borrowed — for example, because the price rose and no support was needed — the shortfall in shares lent is met by **issuing fresh equity shares** to the lender.
7. **Consideration.** The lender receives consideration for lending its shares.

KEY FACTS — GREEN SHOE OPTION

- Maximum over-allotment: **15% of the IPO size**.
- Stabilisation period: **30 days** after listing.
- Stabilising agent: **one of the BRLMs**.
- Source of borrowed shares: a **promoter or pre-issue shareholder**.
- The handbook notes that the option **has been used in very few IPOs in India**.

WORKED EXAMPLE — TWO OUTCOMES

Delta Foods’ base IPO is 100 lakh shares at ₹200. It has a Green Shoe Option, so the BRLMs over-allot **15 lakh additional shares** (15% of 100 lakh), borrowed from the promoters, bringing the shares sold to investors to 115 lakh. Cash raised: 115 lakh × ₹200 = ₹230 crore, of which ₹30 crore (15 lakh shares) is held in a special account pending stabilisation.

Case A — price falls. After listing, the stock drifts to ₹185. The stabilising agent buys 15 lakh shares in the market using the ₹30 crore, at an average price of ₹190 — ₹28.5 crore. The 15 lakh shares are returned to the promoters. Any surplus left in the stabilisation account (₹1.5 crore here, the difference between ₹30 crore and ₹28.5 crore) is dealt with as the regulations prescribe — it is not a profit for the stabilising agent. Market buying has supported the price, and no new shares are issued.

Case B — price rises. The stock rises to ₹230 and the agent never needs to buy. At the end of 30 days, the 15 lakh borrowed shares cannot be returned from the market, so the issuer allots **15 lakh fresh shares** to the lender (a shortfall issue) and the ₹30 crore stays with the issuer. The issuer ends up having raised ₹230 crore, and the promoters' stake is diluted by only those fresh shares.

The mechanism has two elegant properties. If the price falls, the stabilisation buying supports it, and the borrowed shares are returned from the market. If the price rises, the issuer raises more money through fresh shares. In both cases investors have received the shares they bought at the IPO.

PRACTICAL NOTE — WHY IS IT RARELY USED?

The handbook notes that the Green Shoe Option has been used in very few Indian IPOs. Reasons include procedural complexity (an escrow of the stabilisation money, a share lending arrangement, bookkeeping of stabilisation purchases), the fact that most Indian IPOs list at a premium, and the cost of a stabilising arrangement. Still, for large offerings where aftermarket volatility could damage the issuer's reputation, it remains a useful tool.

Chapter summary

- The Green Shoe Option allows up to 15% over-allotment, supported by borrowed shares, to stabilise price for 30 days after listing.
- Decided at DRHP filing; exercised at pricing; run by a BRLM acting as stabilising agent.
- Borrowed shares are returned after market purchases; any shortfall is made up by fresh issue.
- Used in very few Indian IPOs.

PART IV

The Team and the Paper

The intermediaries, the contracts that bind them, the offer document itself, and the liability that sits behind every statement in it.

The Intermediaries

Who does what in an IPO: bankers, registrars, banks, auditors, agencies and the networks that collect bids.

IN THIS CHAPTER

- Intermediaries the issuer appoints and those it does not
- The BRLM: structuring, due diligence and continuing responsibility
- Registrar, escrow collection bank, sponsor bank and public-issue banks
- Monitoring agency, advertising agency and syndicate members
- The statutory auditor's role, including restatement and comfort letters

An IPO is a team effort. SEBI-registered intermediaries run the process, verify the disclosures, handle the money and carry the application forms to the stock exchange. Understanding each role helps an issuer allocate responsibility, manage cost and recognise where legal exposure lies.

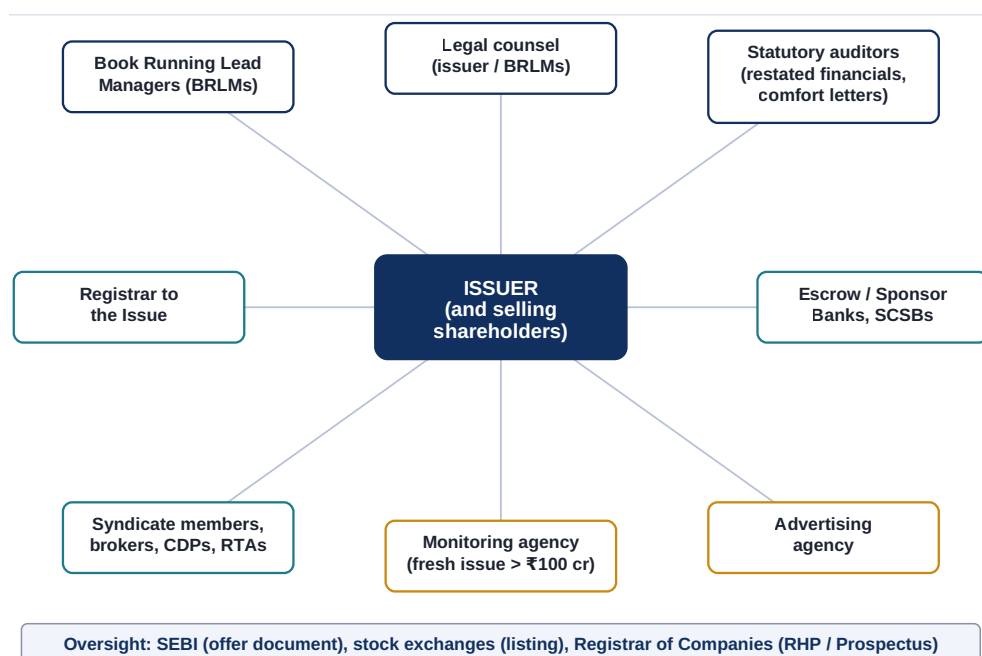


Figure. The IPO ecosystem. Blue boxes are advisers and verifiers, teal boxes handle the money and applications, amber boxes are conditional or supporting roles.

Intermediaries appointed by the issuer

Book Running Lead Managers (BRLMs)

The issuer must appoint **one or more merchant bankers registered under the SEBI (Merchant Bankers) Regulations, 1992** as BRLMs, and at least one of them must be the **lead merchant banker**. Their role is central.

- **Gatekeeping.** A DRHP can be filed with SEBI **only through a BRLM**.
- **Independence.** If a BRLM is an **associate of the issuer**, its role is limited to marketing the IPO. At least one BRLM must *not* be an associate of the issuer.
- **Due diligence.** BRLMs are expected to exercise due diligence and must file a **due diligence certificate** with SEBI along with the DRHP and at later stages.
- **Structuring and drafting.** They help structure the transaction, draft the DRHP, RHP and Prospectus, and advise on the appointment of the other intermediaries.

- **Interface.** They deal with SEBI and the stock exchanges throughout — receiving SEBI’s observations and the in-principle and final listing approvals — and help the issuer organise roadshows.
- **Continuing responsibility.** Responsibility continues until completion of the IPO and afterwards for IPO-related matters, such as handling of investor grievances (share certificates, credit to demat accounts, refunds), and monitoring the flow of applications from syndicate members, collecting banks and SCSBs.

Registrar to the IPO

The Registrar, an entity registered with SEBI, **processes and reconciles the application forms** received from the syndicate, SCSBs and other intermediaries, and coordinates allotment and refunds. It must accurately maintain physical and electronic bid data, including the forms received. In practice the registrar prepares the basis of allotment, runs the allotment process and deals with investors’ queries after the issue.

Escrow Collection Bank(s)

A scheduled bank registered under the SEBI (Bankers to an Issue) Regulations, 1994, it acts as **escrow agent** for the application money received from **anchor investors**. The issuer opens the Escrow Accounts with it. It also handles refunds of excess amounts. The Escrow Account is the account from which money is either refunded to applicants or transferred to the Public Issue Account.

Sponsor Bank(s)

Appointed by the issuer, a Sponsor Bank is a banker to the issue that acts as the **conduit between the stock exchanges and the National Payments Corporation of India** to push the mandate-collect request and payment instructions in the UPI mechanism (Chapter 12).

Advertising agency

It provides advertising and public-relations services for the IPO and gives the BRLMs the information they need to submit a **compliance certificate to SEBI** on certain news reports, as required under Regulation 42 read with Schedule IX of the SEBI Regulations (Chapter 19).

Monitoring agency

If the size of the IPO, **excluding the Offer For Sale component, exceeds ₹1,000 million (₹100 crore)**, the proceeds must be monitored by a **public financial institution or a scheduled commercial bank** named as banker to the issuer in the DRHP, RHP and Prospectus. It submits reports to the issuer in the prescribed format at prescribed intervals. The point is to make sure the money is actually spent on the stated objects.

Syndicate members

SEBI-registered entities permitted to carry on business as **underwriters**. They collect application forms from applicants (other than retail individual investors) during the IPO period and are bound by the syndicate agreement with the BRLMs.

Statutory auditors

The issuer's auditors play a distinctive role in an IPO, going beyond the annual audit.

- They **audit and restate** the issuer's financial statements and deliver a report for the offer documents. The financial statements are prepared under the Companies Act and applicable accounting standards, and are **restated** as required by the SEBI Regulations so that all periods are comparable.
- They prepare a **statement of special tax benefits**, if any, available to the issuer, its material subsidiaries and its shareholders.
- Under market practice they deliver **comfort letters** to the BRLMs at various stages. These give “negative assurance” (nothing has come to their attention suggesting adverse changes) on line items after the date of the last audit, and confirm financial and operating data in the offer documents.
- The statutory auditors are required to be **peer reviewed**.

Legal counsel

Though not a regulated intermediary, legal counsel is indispensable. The issuer's counsel and the BRLMs' counsel run legal due diligence, draft and negotiate the agreements and advise on structuring. Legal counsels also pre-clear advertisements and research reports (Chapter 19).

Intermediaries not appointed by the issuer

SCSBs, registered brokers, CDPs, RTAs and syndicate members collect application forms from applicants during the issue period, enter details into the exchange's electronic bidding system and do a preliminary verification. Retail individual investors could, in the handbook's framework, submit bids only with the SCSBs (with UPI added from 2019). The issuer does not enter into agreements with these intermediaries; deemed agreements arise from SEBI circulars and are recognised in the issue agreement (Chapter 15).

Summary of intermediaries

Intermediary	Registered under	Key duty
BRLM	Merchant Bankers Regulations, 1992	Due diligence, drafting, structuring, regulatory interface
Registrar	SEBI (registrar to an issue)	Reconcile applications; basis of allotment; refunds
Escrow Collection Bank	Bankers to an Issue Regulations, 1994	Hold anchor money; refunds; transfer to Public Issue Account
Sponsor Bank	Banker to an issue	UPI mandate conduit
Monitoring agency	Public financial institution / scheduled bank	Monitor use of proceeds if fresh issue > ₹100 crore
Syndicate member	SEBI registered; may underwrite	Collect bids (non-retail); underwrite
Statutory auditor	Peer-reviewed chartered accountant	Restated financials; tax-benefit statement; comfort letters
Advertising agency	—	Publicity; supports advertisement compliance certificate

PRACTICAL NOTE — CHOOSING AND MANAGING THE TEAM

Typical selection factors for BRLMs are sector experience, distribution strength with domestic and foreign institutions, research reach and the quality of the individual deal team. Fees are not fixed in the regulations; they are set in separate **engagement letters**, and the obligations of BRLMs under the issue agreement are typically *several and not joint* — each BRLM answers for its own obligations. Appoint a coordinating BRLM

and a clear working-group structure; a transaction with six banks and four law firms needs explicit ownership of every deliverable.

Chapter summary

- BRLMs (SEBI-registered merchant bankers) run the IPO and certify due diligence; at least one must not be an associate of the issuer; their duty continues after listing.
- The registrar reconciles applications and runs allotment; escrow and sponsor banks hold anchor money and enable UPI; a monitoring agency is required where fresh issue size exceeds ₹100 crore.
- Statutory auditors restate the accounts, prepare the tax-benefit statement and deliver comfort letters.
- SCSBs, brokers, CDPs and RTAs collect bids but are not appointed by the issuer.

The Transaction Documents

The agreements that bind issuer, sellers, bankers and agencies — who signs what, and when.

IN THIS CHAPTER

- Each agreement: the Issue Agreement, escrow agreements, syndicate, underwriting, registrar, service-provider and monitoring-agency agreements
- The timing of each agreement against the IPO stages
- Deemed agreements with SCSBs, RTAs, CDPs and brokers
- Certificates and comfort letters that back up the offer document

Besides the offer document, an IPO is held together by a series of contracts. They allocate responsibilities, define conditions under which bankers will go ahead, fix indemnities and describe how money moves. Knowing what each does — and when it is signed — is essential for managing the timetable.

The agreements, one by one

1. Issue Agreement (offer agreement)

Entered into among the **BRLMs, the issuer and the selling shareholders (if any), before the DRHP is filed with SEBI**. It sets out:

- the roles and responsibilities of the BRLMs;
- conditions precedent to the BRLMs' obligations;
- representations and warranties from the issuer, the selling shareholders and the BRLMs;
- the **indemnity** given by the issuer (and sellers) to the BRLMs; and

- termination rights.

The BRLMs' obligations are typically **several and not joint**. Fees are not in this agreement; they sit in separate engagement letters. If the IPO has an OFS component, selling shareholders are also parties.

2. Escrow agreements

Agreement	Parties	Purpose
Cash escrow agreement	Issuer, selling shareholders (if any), BRLMs, Escrow Collection Banks, Registrar	Governs collection of application money from anchor investors ; arrangement for moving funds from the Escrow Account to the refund account, the Public Issue Account or the sellers' account
Share escrow agreement (OFS only)	Issuer, selling shareholders, escrow agent	Deposit of the shares being sold in the OFS, typically before the RHP is filed , so they are available for transfer to allottees

3. Syndicate Agreement

Sets out the obligations between the BRLMs and the rest of the syndicate. Syndicate members collect bids from applicants other than retail investors and deposit them with SCsBs. The agreement lists each member's role and obligations; the issuer (and the sellers) are confirming parties.

4. Underwriting Agreement

Entered into among the issuer, the selling shareholders and the underwriters **after the IPO price is determined but before the Prospectus is filed with the RoC**. The underwriters agree to ensure payment or subscription for the shares allocated to investors they have procured; if any investor defaults, the underwriter must find purchasers or buy the shares to the extent of the default. It also contains conditions precedent, representations, covenants and indemnities.

5. Registrar Agreement

Among the issuer, selling shareholders and the Registrar: the appointment of the registrar and its rights and obligations — issuing procedural instructions, rejecting invalid bids, helping finalise the basis of allotment and coordinating refunds.

6. Service Provider / Advertising Agency Agreement

Among the issuer, the sellers, the BRLMs and the advertising agency: it sets out the agency's services in advertising and media relations, and requires it to provide certification so the BRLMs can submit their advertisement compliance certificate to SEBI.

7. Monitoring Agency Agreement

Between the issuer and the monitoring agency, defining the agency's obligations to monitor the use of IPO proceeds. Needed where the size of the IPO (excluding OFS) exceeds ₹100 crore.

8. Deemed agreements

The issuer does **not** sign agreements with SCSBs, Registrar and Share Transfer Agents, CDPs and registered brokers. It must however take cognisance of the **deemed agreements** arising from SEBI's rules, typically by clauses in the issue agreement.

When each is signed

Stage	Documents
Before DRHP filing	Issue Agreement; Registrar Agreement; Service Provider Agreement; (monitoring agency agreement if applicable); standard certificates and first comfort letter
Before RHP filing	Cash Escrow Agreement; Share Escrow Agreement (OFS); Syndicate Agreement; updated certificates and comfort letter
After pricing	Underwriting Agreement; final certificates and comfort letter; Prospectus filed with RoC

Certificates and comfort letters

The contracts are supported by a stack of confirmations, which BRLMs rely on to discharge their due diligence duty:

- **Standard certificates** from the issuer, its directors, subsidiaries, promoters, promoter group, group companies and selling shareholders, executed to give the underwriters a back-up for due diligence.

- **Comfort letters and certificates** from the statutory auditors, delivered at several points, and refreshed as the offer document is updated (Chapter 14).
- The **due diligence certificate** of the BRLMs, filed with SEBI.
- **Consents** of experts and other persons named in the offer document.

WARNING — THE INDEMNITY

The indemnity in the issue and underwriting agreements is broad. The issuer (and sellers) agree to compensate the BRLMs and underwriters for losses arising out of the offer document. Because the issuer's directors, promoters and selling shareholders sign the representations behind it, negotiation of its scope, caps and exceptions deserves senior attention, not just legal drafting time.

PRACTICAL NOTE — CONDITIONS PRECEDENT AND TERMINATION

Underwriting and issue agreements typically allow the bankers to terminate if certain events occur between signing and closing — material adverse change, market disruption, loss of an approval. Issuers should therefore keep the gap between pricing and allotment as short as possible, and should understand which events are in their control.

Chapter summary

- The Issue Agreement (before DRHP) is the core contract; cash and share escrow, syndicate and underwriting agreements follow as the timetable proceeds.
- Underwriting is signed after pricing and before the Prospectus is filed with the RoC.
- No agreement is signed with SCSBs, RTAs, CDPs and brokers; deemed agreements are recognised in the issue agreement.
- A web of certificates and comfort letters backs up the BRLMs' due diligence.

The Offer Document: Disclosure Standards

What the DRHP, RHP and Prospectus must contain — objects, directors, litigation, financial statements — and when SEBI may reject them.

IN THIS CHAPTER

- The disclosure standard and the key areas of an offer document
- Objects of the issue: loan repayment, working capital and acquisitions
- Directors and key management personnel
- Litigation disclosure and materiality
- Financial statements: periods, staleness, restatement and pro forma
- When SEBI can reject an offer document

The disclosure standard

Disclosure standards in India for the DRHP, RHP and Prospectus are **substantially at par with other securities markets in the world**, with certain additional requirements. The overriding rule is simple: every disclosure must be **true and adequate** to enable investors to make a well-informed decision about the investment.

Key areas covered

Alongside the customary sections — business and industry, risk factors (internal and external), financial statements, management’s discussion and analysis of results, and management — the SEBI Regulations require specific disclosures that Indian practitioners watch closely:

1. details of **promoters, promoter group members and group companies** (Chapter 6);
2. comprehensive details of the **use of proceeds** and how the amount has been ascertained;
3. the **build-up of the capital structure**, the shareholding pattern and shareholder arrangements;
4. **pending litigation** relating to the issuer, subsidiaries, promoters, directors and group companies; and
5. **government approvals** relevant to the business of the issuer and its material subsidiaries.

Objects of the issue

Investors are entitled to know exactly what their money will be used for and why the amount is what it is. The regulations require detailed disclosure of use of proceeds and the basis on which the amount has been determined — in certain cases supported by third-party reports.

If the objects include...	The offer document must disclose
Repayment of loans	The name of each lender, brief terms and conditions and the amount outstanding; and a certificate from the statutory auditor that the loan was used for the purpose for which it was availed
Funding working capital	A detailed assessment of historical and projected working-capital utilisation and requirements
Acquisition or downstream investment in a subsidiary	Disclosures about the subsidiary or target company and the manner in which funds will be infused into it

Vague objects are a common reason for SEBI queries. “General corporate purposes” may be listed, but investors and SEBI expect the specific items to carry most of the weight.

Directors and key management personnel

The offer document must describe each director and key management person fully:

- age, address, occupation, qualifications, nature of directorship or position held, term of directorship or date of appointment (for key management), role in the issuer, director identification number, other directorships, past experience and remuneration for the last fiscal;
- the number of securities held by directors in the issuer;
- changes in directors in the last three years with the reasons; and
- interests of directors in the issuer, including any agreements with the issuer.

Litigation disclosure

Litigation disclosure extends to the issuer, its subsidiaries, its promoters and its directors, and covers **all pending**:

1. criminal proceedings;
2. actions by statutory and regulatory authorities;
3. claims relating to direct and indirect taxes (in a *consolidated* manner); and
4. other litigation considered **material under the board’s materiality policy**.

Pending litigation involving **group companies** that may have a material impact on the issuer must also be disclosed. And any disciplinary action — including penalties — imposed by SEBI or the stock exchanges against the promoters in the **last five fiscals**, including outstanding action, must be disclosed.

PRACTICAL NOTE — THE MATERIALITY POLICY

Since 2018 the regulations have favoured a materiality-based approach: instead of listing every dispute, the board adopts a policy defining which matters are material, and the document discloses those individually plus aggregated summaries of the rest. The policy must be approved before filing and should be defensible — typically a quantitat-

ive threshold (a percentage of net worth, turnover or profit) plus a qualitative test (disputes that could affect the business or reputation).

Financial statements

Periods

The issuer must include **audited and consolidated (if relevant) financial statements for each of the three fiscals preceding the IPO and the latest stub period**, if required, so that the financial statements are **not more than six months old** from the date of the offer document and the Issue Opening Date.

Restatement

The historical audited accounts must be **restated** to ensure consistency of presentation, disclosure and accounting policies across all periods. For example, if a new accounting policy was adopted in the last year, earlier years are recast as if it had always applied.

Pro forma financial statements

Where there has been a **material acquisition or divestment** — including of a business of the issuer or its subsidiaries, and any deemed disposal — after the latest period for which financial information is disclosed, the offer document must include pro forma financial statements. Materiality is judged against **20% or more of turnover, net worth or profit before tax** in the issuer's latest consolidated financial statements.

Subsidiaries on the website

The separate audited financial statements for the past three full fiscals of the issuer and each **material subsidiary** (one contributing 10% or more of turnover, net worth or profit before tax in the annual consolidated statements for the respective year) must be made available on the issuer's website.

WORKED EXAMPLE — THE SIX-MONTH STALENESS TEST

Polaris Pharma Ltd has audited financials to 31 March 2019. It files its DRHP in August 2019 and expects to open the issue in February 2020.

The financial statements must not be more than six months old at the date of the offer document *and* at the Issue Opening Date. March 2019 statements go stale on 30

September 2019 — before the planned opening. Polaris must therefore add a **stub period** (say, six months to 30 September 2019, audited and restated). Statements to 30 September 2019 remain valid up to 31 March 2020, so an issue opening in February 2020 is fine. If delays push the opening beyond 31 March 2020, it needs a further update to 31 December 2019 or later.

Financial staleness is one of the most common causes of timetable slippage — plan audit and restatement work backwards from the target listing window.

When can SEBI reject an offer document?

SEBI may **reject** an offer document where it has reasonable grounds to believe that the **adequacy and quality of disclosures are not satisfactory**, or that an investor may not be able to assess the risks associated with the issue. Examples of grounds are **vague objects, a complex business model and unidentified promoters**. A company whose draft offer document is rejected is **barred from accessing the capital markets for at least one year**.

SINCE 2019

Disclosure expectations have grown, for example more granular disclosure of key performance indicators, related-party transactions, and the basis for price band and valuation; and the use of general corporate purposes and unidentified acquisitions as objects has been capped. Check the current Schedule VI-type content requirements in the ICDR Regulations. See Chapter 29.

Chapter summary

- Offer-document disclosure must be true and adequate; standards are close to global ones, with some Indian extras.
- Objects must be specific, with lender details and auditor certificates for loan repayments and a detailed assessment for working capital.
- Litigation, directors, promoters, group companies and approvals are all covered; litigation uses a board materiality policy.
- Three fiscals plus any stub period, restated, and not more than six months old; pro forma statements for material acquisitions or divestments (20% test).

- SEBI can reject documents with inadequate disclosure, triggering at least a year's bar.

Liability, Enforcement and Due Diligence

What happens when an offer document misleads: civil, criminal and regulatory consequences, and how due diligence protects the people who sign it.

IN THIS CHAPTER

- Civil and criminal liability under the Companies Act
- SEBI's enforcement powers
- Liability of BRLMs and other intermediaries
- Private actions by investors
- A real-world illustration
- How due diligence works as a defence in practice

An offer document is not marketing copy. It is a legal document on which investors will rely to commit money, and the law attaches serious consequences to statements in it that are false, misleading or incomplete — including omissions. This chapter summarises who can be held liable, by whom, and with what consequences.

Liability under the Companies Act

The Companies Act provides for both civil and criminal liability for misstatements in an offer document.

Type	Who is liable	When
Civil	(a) the issuer; (b) its directors; (c) its promoters; (d) every person who has authorised the issue of the Prospectus; and (e) experts	For any inclusion or omission in a Prospectus that mis-leads an investor and causes damage
Criminal	Every person who authorises the issue of the Prospectus	For any misstatement made with an intention to defraud ; punishable by imprisonment and/or fine

The relevant provisions include Sections 34 (criminal liability) and 35 (civil liability) of the Companies Act. Experts (such as auditors giving a report and valuers) are liable for their expert statements, which is why they must consent to being named.

SEBI's enforcement powers

Under Section 24 of the Companies Act, SEBI has the power to take **any enforcement action against an issuer undertaking an IPO and all other relevant persons** for violations of the Companies Act, including breaches of Sections 34 and 35. SEBI's action may include directions restraining persons from accessing the securities market, prohibiting dealings in securities, orders of disgorgement and monetary penalties.

KEY FACTS — A REAL-WORLD ILLUSTRATION

The handbook cites an instance in which a company, one of the leading players in its industry, and some of its directors were **restrained by SEBI from accessing the securities market and prohibited from dealing in securities for three years** on the ground of **active and deliberate suppression of material information** in its Red Herring Prospectus and Prospectus, so as to mislead and defraud investors. The case shows that scale and reputation offer no protection if material facts are suppressed.

Liability of intermediaries

The BRLMs must give SEBI a **due diligence certificate** on the contents of the offer document and can therefore be held liable by SEBI. The regulations state that their liability **continues even after the IPO process is complete** for matters relating to the IPO. More

generally, every intermediary can be held liable under the SEBI regulations under which it is registered — for example, the registrar for lapses in processing, banks for handling of money, and auditors under accounting and professional rules.

Private action by investors

Any person or group of persons who has sustained **loss or damage due to misstatements in a prospectus or fraudulent conduct** may approach any court of appropriate jurisdiction to claim compensation. The right is independent of any regulatory action.

Who is liable for what? A map

Person	Principal exposure
Issuer	Civil liability for the document as a whole; SEBI action; indemnity to BRLMs
Directors	Civil and criminal liability as authorisers of the Prospectus; personal signature on the document
Promoters	Civil liability for misstatements; SEBI action; bar on accessing markets
Selling shareholders	Statements about themselves and their shares; contractual indemnities
BRLMs	Due diligence certificate; regulatory action; continuing liability
Experts (auditors, valuers, engineers)	Liability for expert statements and reports

Due diligence in practice

Nobody can verify every word in an offer document, so the law and market practice rely on a structured process in which people can show they took reasonable steps. A well-run due diligence process typically includes:

1. **Kick-off and information request.** A detailed request list to management covering corporate records, contracts, licences, litigation, tax, employees, intellectual property, environmental and regulatory matters.

2. **Management due diligence calls and site visits.** Interviews with business heads and visits to major facilities.
3. **Legal due diligence.** Review of title, approvals, material contracts, litigation and compliance by counsel, culminating in a legal opinion.
4. **Financial and tax due diligence.** Work with the auditors and sometimes independent accountants, culminating in comfort letters.
5. **Verification (“bring-down”).** Each factual statement in the draft is checked against a source document or certified by a responsible person.
6. **Certificates.** Certificates from the issuer, directors, promoters and sellers; consents of experts; and finally the BRLMs’ due diligence certificate to SEBI.
7. **Bring-down due diligence calls.** Repeated just before the RHP, pricing and closing, to catch any change.

PRACTICAL NOTE — WHAT A DIRECTOR SHOULD DO BEFORE SIGNING

A director signing the DRHP should: read the whole document, not just the sections for their function; ask about every risk factor whether it is complete; check that facts about the director (shareholding, other directorships, interests) are right; ask how related-party transactions and litigation were identified; confirm that the audit committee has reviewed the financial statements; and keep a record of questions raised and answers received. These steps do not eliminate liability, but a record of diligent inquiry matters for any later challenge.

Chapter summary

- Misstatements and omissions in a prospectus attract civil liability (issuer, directors, promoters, authorisers, experts) and criminal liability (fraud).
- SEBI can act against issuers and all relevant persons under Section 24 of the Companies Act, as in the case where a company and directors were barred from the market for three years.
- BRLMs give a due diligence certificate; their liability continues after the IPO.
- Investors can sue for compensation in the courts.
- A structured due diligence process — legal, financial, verification, certificates and bring-downs — is the practical defence.

PART V

The IPO Journey



The step-by-step process, the rules on publicity and research, governance readiness, and life as a listed company.

CHAPTER 18

The IPO Process, Step by Step

Six stages from the first kick-off meeting to the first day of trading, with the documents and approvals at each stage.

IN THIS CHAPTER

- The five phases and six stages of a book-built IPO
- What happens, and who does it, at each stage
- SEBI's review and the 12-month validity of final observations
- The offer period and post-issue steps, with a worked calendar
- A responsibility matrix for the working group

The handbook describes an IPO as a sequence of five phases: **(i)** the period before filing the DRHP; **(ii)** filing the DRHP with SEBI; **(iii)** SEBI's review and final observations; **(iv)** events after final observations, including filing and registration of the RHP with the Registrar of Companies; and **(v)** the issue period and the post-issue phase. For practical planning it divides these into six stages, shown below.

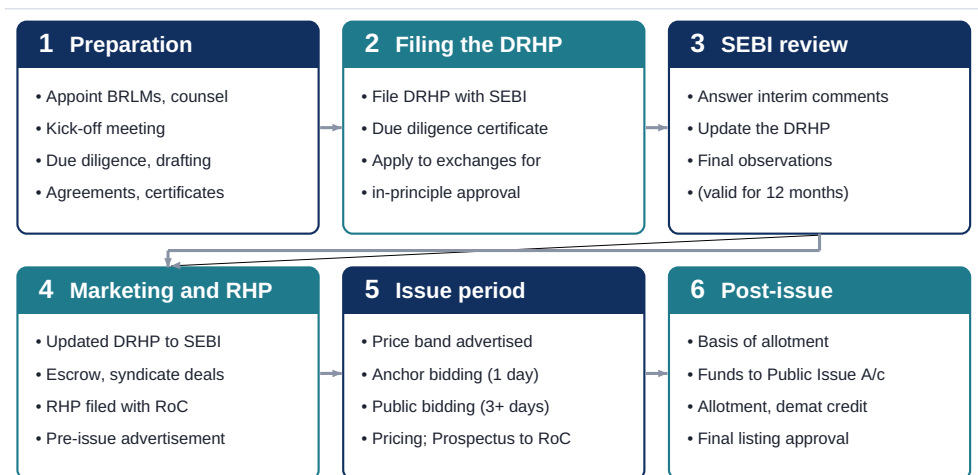


Figure. The six stages of a book-built IPO. In a fast-track issue stages 2 and 3 fall away (not available to a first-time IPO issuer).

Stage 1: The period before filing the DRHP

- **Appoint the BRLMs and legal counsel.** Engagement letters set fees; the working group is formed.
- **Kick-off meeting.** Senior management gives the BRLMs and counsel an overview of the issuer and its business, and the IPO timetable is discussed.
- **Due diligence and drafting.** The due diligence exercise starts together with drafting of the DRHP.
- **Agreements and certificates.** The issue agreement, registrar agreement and service-provider agreement are executed. The issuer, its directors, subsidiaries, promoters, promoter group, group companies and selling shareholders sign **standard certificates** as back-up for the underwriters' due diligence, and the auditors deliver a comfort letter and certificates.

Alongside, the company completes the preparatory work covered in earlier chapters: eligibility tests (Chapter 4), cap-table and lock-in planning (Chapter 7), board and committee set-up (Chapter 20), restated financials (Chapter 16), and corporate approvals (Chapter 5).

Stage 2: Filing the DRHP

- The **DRHP is filed with SEBI**, through a BRLM and with the **due diligence certificate**.
- Applications are filed with the stock exchanges for **in-principle listing approval**, together with the DRHP.

This stage does not apply to fast-track issues. The DRHP is typically made available for public comments on the websites of SEBI, the exchanges and the BRLMs.

Stage 3: SEBI review and final observations

- SEBI issues **interim observations**; the issuer and BRLMs reply and update the DRHP.
- SEBI issues its **final observations**, which are **valid for twelve months**.

The twelve-month validity gives the issuer a window: it can launch when the market is favourable, subject to refreshing the offer document. This stage too is not applicable in fast-track issues.

Stage 4: After final observations — RHP filed with the RoC

- The issuer files its reply to the final observations and an **updated DRHP** (incorporating SEBI's observations and updates required by the passage of time) with SEBI, and receives **noting of the changes** from SEBI.
- The **cash escrow agreement** (and share escrow agreement if there is an OFS) and the **syndicate agreement** are executed.
- Updated standard certificates and the comfort letter are delivered.
- The **RHP is filed with and registered by the RoC**.

A book-built issue has a three-stage filing (DRHP, RHP, Prospectus); a fixed-price issue has two (DRHP, Prospectus). The RHP must be filed with the RoC at least three days before the issue opens.

Stage 5: The issue period

- The issuer announces the **price band** at least two working days before the issue opens.
- **Anchor investors** bid for one day only, a day before the issue opens.
- The **bidding period** for all other investors is at least **three working days**.
- Bidding closes. The Registrar obtains the electronic bid details from the exchange.
- The **Issue Price is finalised** and the **underwriting agreement** is executed.
- The **Prospectus** is filed with and registered by the RoC.

Stage 6: The post-issue period

- The Registrar submits the **final basis of allotment** to the designated stock exchange for approval.
- The Registrar and BRLMs issue **funds-transfer instructions** to the collecting banks and SCSBs, crediting funds into the Public Issue Account.
- The issuer **allots** shares; credit to the demat accounts of successful bidders begins.
- The issuer makes the **listing and trading application** to the exchanges; they grant **final listing and trading approval**; trading commences.

WORKED EXAMPLE — ONE ISSUE CALENDAR (2019 FRAMEWORK)

Assume Vega Retail Ltd opens its issue on a Wednesday and the bidding period is the minimum three working days. All dates below are expressed as weekdays within the process.

Day	Event	Rule
Mon (week 1)	Price band advertised	At least two working days before opening
Tue	Anchor investor bidding and allocation	One day before opening; allocation completed the same day
Wed	Issue opens; RHP already on file	RHP filed at least three days earlier

Day	Event	Rule
Thu	Bidding continues	—
Fri	Issue closes; Registrar gets bid data	Minimum three working days (Wed, Thu, Fri)
Mon–Tue (week 2)	Pricing, underwriting agreement, Prospectus to RoC, basis of allotment	Days 1–2 after closing
By Thu (week 2)	Allotment completed; funds moved to Public Issue Account	Within four working days of closing
By the following Mon	Shares credited to demat accounts	Within two working days of allotment
Following Tue	Listing and trading begin (about six working days after closing)	Final exchange approvals obtained

Who does what? A responsibility matrix

Workstream	Lead	Support
Business and financial disclosure	Issuer management; BRLMs	Auditors, counsel
Legal due diligence, legal opinions	Issuer's and BRLMs' counsel	Issuer's legal team
Restated financials and comfort letters	Statutory auditors	CFO team
Regulatory filings (SEBI, exchanges, RoC)	BRLMs; company secretary	Counsel
Marketing, roadshows, anchor book	BRLMs	Issuer's CEO/CFO

Workstream	Lead	Support
Bid processing and allotment	Registrar	SCSBs, sponsor bank, exchanges
Publicity compliance	BRLMs and counsel	Advertising agency, issuer communications

PRACTICAL NOTE — PLAN BACKWARDS FROM THE LISTING WINDOW

Because financial statements go stale after six months and SEBI's observations lapse after twelve, the sensible way to plan is backwards from the intended listing window. Fix the target opening date, subtract the offer period, the RHP filing lead time and the updating work, and then check the latest date by which SEBI's final observations and audited stub accounts must be in hand. Most slippage in IPOs comes from financial updates and SEBI queries, not from the offer period itself.

Chapter summary

- An IPO runs through six stages: preparation, DRHP filing, SEBI review, RHP filing, issue period and post-issue.
- SEBI's final observation is valid for twelve months; the RHP is filed with the RoC at least three days before opening.
- Price band two working days before opening; anchor bidding one day before; public bidding for at least three working days.
- After closing: pricing, underwriting agreement, Prospectus, basis of allotment, allotment (within four working days), demat credit (within two), listing.

Publicity Restrictions and Research Analyst Rules

What a company may and may not say before and during an IPO, which advertisements are mandatory, and when research may and may not be published.

IN THIS CHAPTER

- Why publicity is restricted and for how long
- Rules for the pre-filing period and the post-filing period
- The four mandatory advertisements
- Research analyst regulations: who is covered, black-out periods and dealing restrictions
- A do-and-don't sheet for the issuer's communications team

Investors must decide on the basis of the offer document, not on hype. Indian law therefore restricts what an issuer says publicly during an IPO and what research can be published about it. The rules sit in Schedule IX of the SEBI Regulations and in the SEBI Research Analysts Regulations, 2014. A breach can delay the IPO and may attract SEBI action.

Part A: Publicity

When do the restrictions apply?

The restrictions apply to **all public communications and publicity material**, including corporate advertisements and advertisements for products or services, from the **date of commencement of the IPO process up to the date of allotment**. If the offering also takes place in other jurisdictions such as the United States, those jurisdictions may impose further publicity restrictions, including different periods.

The pre-filing period

- Advertisements must be **consistent with past practice**. If an advertisement is not consistent with past practice, it must carry a **disclaimer** that the issuer is proposing, subject to approvals, market conditions and other considerations, a public issue in the near future and is in the process of filing a DRHP with SEBI. The disclaimer must be legible and prominent, not disproportionate to the rest of the communication.
- The issuer must ensure that all advertisements to be released (including past ones that are circulated again) are **pre-cleared by the BRLMs and the legal counsel**.
- Advertisements must not refer to the IPO (other than the disclaimer), the valuation of the shares or **future projections** of financial performance.

The post-filing period

Do not...	Why / what to do instead
Speak about the IPO, future financial information or valuations	All public communications must contain only information not extraneous to the DRHP, RHP and Prospectus
Say anything untrue or misleading	Information must be truthful, fair and not manipulative, deceptive or distorted; no untrue statement, promise or forecast
Give press interviews, hold investor meetings or attend industry conferences without legal advice	Consult counsel first; do not respond to press inquiries without prior consultation
Discuss the IPO in pre-scheduled interviews	Previously scheduled interviews are permitted, so long as no information about the IPO is discussed
Run advertisements without the required disclaimer	All advertisements <i>other than</i> product and service advertisements, from DRHP filing to listing, must carry the prescribed disclaimer

Do not...	Why / what to do instead
Prepare or distribute research reports	The issuer should not participate in the preparation or distribution of research reports or analysis
Mention the IPO on the website	No mention in any form, including on the website
Let the website drift from the offer document	All website information must be consistent with the DRHP/RHP/Prospectus; no forecasts or valuation opinions

The four mandatory advertisements

1. **Pre-issue advertisement.** After registering the RHP (book-built) or the Prospectus (fixed price) with the RoC, the issuer publishes an advertisement in **one English national daily, one Hindi national daily and one regional-language newspaper** with wide circulation at the place of the registered office. It must comply with Section 30 of the Companies Act and Regulation 43 and Part A of Schedule X.
2. **Price band advertisement.** The floor price or price band must be announced (Regulation 29(4)) in all newspapers in which the pre-issue advertisement appeared, at least **two working days before** the issue opens.
3. **Issue opening and closing advertisements.** Optional but typically used (Regulation 43(3)): formats in Parts B and C of Schedule X.
4. **Post-issue advertisement.** The BRLMs must ensure that an advertisement giving the details of subscription, basis of allotment, number, value and percentage of applications (including ASBA), number, value and percentage of successful allottees, the date of completion of dispatch of refund orders or instructions to SCSBs, the date of credit of securities and the date of filing the listing application, is released within **ten days** of completing the relevant activities (Regulation 51).

WARNING — THE “INNOCENT” INTERVIEW

The most common violations are not formal advertisements but casual remarks: a founder telling a journalist the company will “list this year”, a chief executive giving a growth forecast at a conference, an HR campaign on social media that mentions the offering. All of these can attract SEBI’s attention and have, in the market’s experience,

delayed IPOs. The safe approach is a written communications protocol applying to every executive, signed off by counsel.

Part B: Research

Which law applies?

Research and related activity by research analysts must comply with the **SEBI Research Analysts Regulations, 2014** (in force from 30 November 2014). The Research Analysts Regulations, the SEBI Regulations and the Companies Act together govern the preparation and dissemination of research reports connected with an IPO.

To whom do they apply?

- the issuer;
- its associate companies, promoters, directors, officers and affiliates, and each of their affiliates;
- all persons acting on behalf of the issuer (including any public relations firm); and
- the BRLMs, their connected analysts, the syndicate members and their affiliates and associates.

Black-out periods

The black-out period for the distribution of research reports typically begins at **12.00 a.m. IST on the day before the DRHP is filed with SEBI**. Research reports cannot be distributed during:

Period	Rule
After pricing	40 days immediately following the day on which the securities are priced in the IPO
If a BRLM underwrites	25 days from the Issue Opening Date
Around a lock-up	15 days before and 15 days after the expiry, termination or waiver of a lock-up arrangement (or entering into it) between the research analyst or entity and the issuer

Restrictions on research reports

- BRLMs or affiliates may not distribute a research report anywhere in the world if the person responsible for it has had access to **material non-public information** that will not be in the offer documents.
- A report must present itself as an **outsider's view** and be independently produced; sources must be acknowledged.
- Reports **must not contain projections, expectations, forecasts, valuations or recommendations** on the securities.
- Reports are reviewed by counsel to the BRLMs before publication.
- Any conflict arising from a relationship between the research entity and the issuer must be disclosed.

Dealing restrictions on analysts

- Analysts employed by BRLMs, and their associates, must not **trade in the issuer's securities within 30 days before and five days after** the date of the research report.
- They must not trade in a manner contrary to their recommendations.
- They must not purchase or receive securities of the issuer **before the IPO** if they follow companies principally engaged in the same type of business as the issuer.

Other jurisdictions

Some foreign laws (for example, the United States securities laws applicable to offshore marketing) have extra-territorial effect and impose their own research and publicity restrictions. Offerings with an international tranche should be reviewed by international counsel.

KEY FACTS — PUBLICITY AND RESEARCH IN ONE GLANCE

- Publicity restrictions run from commencement of the IPO process to allotment.
- Pre-issue advertisement: English + Hindi + regional newspapers; price band two working days before opening; post-issue advertisement within ten days.
- No projections, valuation opinions or IPO mentions; website must match the offer document.
- Research black-out: from the day before DRHP filing; 40 days after pricing; 25 days after opening if a BRLM underwrites; 15 days either side of a lock-up event.

Chapter summary

- Public communications must be consistent with the offer document, truthful and free of projections or valuations; counsel must pre-clear.
- Four sets of advertisements: pre-issue, price band, opening/closing (optional) and post-issue.
- Research analysts are regulated; black-out periods and dealing restrictions limit reports and trading around an IPO.

Corporate Governance Readiness

The board, committees, policies and constitutional documents that must be in place when the DRHP is filed — not after listing.

IN THIS CHAPTER

- Why governance must be complete at the time of filing
- Board composition rules, with a worked table
- Constitution of the audit, nomination and remuneration, stakeholders' relationship and risk management committees
- Amendment of the memorandum and articles of association
- Clearing the capital structure: outstanding convertible securities
- A governance readiness checklist

Governance first, listing second

A listed company must comply with the Corporate Governance requirements of the SEBI Listing Regulations. The handbook is explicit that an **issuer should be in compliance at the time of filing the DRHP with SEBI and the stock exchanges**. This catches many first-time issuers by surprise: they assume they have until listing day. In practice, this means the board and committees must be reconstituted, and policies adopted, months before the IPO launch.

In concrete terms, the issuer must:

1. appoint **independent directors**;

2. constitute the necessary **committees** — audit, nomination and remuneration, stakeholders’ relationship, risk management (if applicable) and corporate social responsibility;
3. appoint **at least one woman director**;
4. appoint at least one independent director on the issuer’s board to the boards of its **material subsidiaries**; and
5. formulate the **policies** prescribed under the Listing Regulations (for example, materiality of related-party transactions, determination of materiality of events, archival and a whistleblower / vigil mechanism, and the insider trading codes).

Composition of the board

The board must be a mix of executive and non-executive directors, with **not less than 50% non-executive directors**. The proportion of independent directors depends on who chairs the board:

Chairman	Independent directors required
Non-executive	At least one-third of the board
Executive	At least one-half of the board
Non-executive and a promoter, or related to a promoter or to a person in management on or below the board	At least one-half of the board

WORKED EXAMPLE — SIZING THE BOARD

Cedar Industries has a board of nine directors. How many independent directors does it need?

Scenario	Calculation	Independent directors
Chairman is a non-executive, non-promoter professional	$1/3 \times 9 = 3.0$	3

Scenario	Calculation	Independent directors
Chairman is the executive promoter-managing director	$1/2 \times 9 = 4.5 \rightarrow$ round up	5
Chairman is the non-executive father of the promoter	$1/2 \times 9 = 4.5 \rightarrow$ round up	5

In every scenario, at least 50% of the board (five of nine) must also be non-executive; independent directors count as non-executive, so the second and third scenarios satisfy both tests with five independents. The first scenario needs at least two further non-executive directors (promoter nominees or investor nominees) besides the three independents to reach five non-executives.

Constitution of the committees

Committee	Size and composition	Chair
Audit Committee	Minimum three directors; two-thirds independent	Independent director
Nomination and Remuneration Committee	At least three directors, all non-executive ; at least half independent	Independent director
Stakeholders' Relationship Committee	At least three directors, with at least one independent director	Non-executive director
Risk Management Committee (if applicable)	Majority of members from the board	A member of the board

The audit committee is the most demanding: it oversees financial reporting, internal controls, related-party transactions and the auditors' independence, and in an IPO it reviews the draft financial information. A well-run audit committee with relevant financial expertise is the best evidence of governance quality.

Memorandum and Articles of Association

The issuer may have to amend its constitutional documents before filing:

- the **memorandum of association**, to alter the capital clause for the new capital structure;
- the **memorandum and articles**, to conform with the Companies Act and rules, if not already done;
- the **articles**, to conform to the articles mandated by the stock exchanges; and
- to **amend or delete special, management or ownership rights** that some shareholders hold — such as information rights or veto rights — before listing. A listed company cannot give some shareholders such rights, because all shareholders must stand on an equal footing.

PRACTICAL NOTE — SHAREHOLDERS' AGREEMENTS

Venture and private-equity investors usually hold special rights under shareholders' agreements that must fall away on listing. Typically, the agreement provides for automatic termination at the IPO, with specific rights (such as board nomination) surviving only in a form permitted for listed companies. Raise this with each investor early: their consent to the new articles and to the IPO itself is often needed.

Outstanding convertible securities

As explained in Chapter 4, an issuer cannot undertake an IPO if there are outstanding convertible securities or other rights entitling anyone to receive equity shares, except (i) options granted to employees under an employee stock option scheme (whether the employees are currently employed or not), and (ii) fully paid-up convertible securities that will be converted on or before filing of the RHP. The governance review must therefore include a clean-up of the capital structure — preference shares, convertible notes, warrants and side letters.

Governance readiness checklist

- ☐ Board size and independent-director count meet the chairman-based test
- ☐ At least one woman director appointed

- ☐ Audit Committee, Nomination and Remuneration Committee, Stakeholders' Relationship Committee constituted correctly; Risk Management Committee if applicable; CSR committee
- ☐ At least one independent director of the issuer on the board of each material subsidiary
- ☐ Required policies adopted (related-party transactions, materiality, whistleblower, insider trading, dividend, etc.)
- ☐ Memorandum and articles amended and conform to exchange requirements
- ☐ Special shareholder rights terminated or amended to listed-company form
- ☐ No outstanding convertibles other than permitted ESOPs and convertibles to be converted before RHP
- ☐ Company secretary and compliance officer in place

SINCE 2019

SEBI's governance requirements have continued to expand after the Kotak Committee reforms — for example on the minimum number of directors, independent-director appointments and approval of related-party transactions — and the Listing Regulations have been amended many times. Re-check every committee and board rule against the current regulation.

Chapter summary

- Governance must be in place when the DRHP is filed, not only at listing.
- Board: at least 50% non-executive; one-third independent if the chairman is non-executive, one-half if the chairman is executive or a promoter-related non-executive.
- Committees have prescribed sizes, independence thresholds and chairs; the audit committee requires two-thirds independent members.
- Amend the memorandum and articles, remove special shareholder rights and clean up convertible securities before filing.

CHAPTER 21

Life After Listing

The continuing obligations of a listed company: reporting, insider trading, change of objects, public shareholding and promoter duties.

IN THIS CHAPTER

- Periodic reporting under Regulation 33 of the Listing Regulations
- Event-based disclosures and the materiality policy
- Insider trading: the two mandatory codes
- Changing the objects of the issue
- Minimum public shareholding and promoter obligations
- A listed-company compliance calendar

Listing is not the finish line. From the day the shares begin trading, the company is under a continuous disclosure regime and is accountable to public shareholders, to the stock exchanges and to SEBI. The shift in tempo — from a few board meetings a year to quarterly results, event disclosures and constant scrutiny — is one of the biggest adjustments for new listed companies.

Periodic reporting

A listed company must report its **quarterly shareholding pattern** and its **quarterly and annual financial statements** to the stock exchanges. Under **Regulation 33** of the SEBI Listing Regulations:

Filing	Deadline
Quarterly and year-to-date standalone financial results	Within 45 days of the end of each quarter (except the last quarter)
Results for the last quarter (with annual results)	Within 60 days of the end of the quarter
Annual audited standalone and consolidated financial statements	Within 60 days of the end of the fiscal
Consolidated quarterly / year-to-date results (if the entity has subsidiaries)	Same quarterly timelines

WORKED EXAMPLE — A DEADLINE CALENDAR FOR A MARCH YEAR-END COMPANY

Fiscal ends 31 March. **Q1** (April–June): results due by 14 August (45 days after 30 June). **Q2** (July–September): by 14 November. **Q3** (October–December): by 14 February. **Q4 and annual** (to 31 March): by 30 May (60 days). The shareholding pattern is filed every quarter. A newly listed company therefore faces its first quarterly deadline soon after listing; the finance team should dry-run the close process during the IPO period.

Event-based disclosure

The Listing Regulations require listed companies to disclose three categories of events:

1. **Deemed material events** — events that the regulations treat as material without further assessment (for example, acquisitions, change in directors or key management, rating changes and outcomes of board meetings);
2. **Mandatory disclosures** — items that must be disclosed in prescribed form and within prescribed times; and

3. **Other disclosures** the board considers material under its **materiality policy**.

Insider trading

All listed companies, and companies about to list, must comply with the SEBI Insider Trading Regulations in respect of **unpublished price sensitive information (UPSI)** — that is, information about the company that is not generally available and that would likely affect the price of its securities. Each listed company must adopt two documents:

- a **Code of Conduct for Regulating, Monitoring and Reporting of Trading by Insiders**; and
- a **Code of Practices and Procedures for Fair Disclosure of Unpublished Price Sensitive Information**.

In practice these codes impose trading windows, pre-clearance requirements for designated persons, restricted lists and a structured digital database of persons with access to UPSI. Promoters and others must also make regular disclosures of their holdings (see below).

Changing the objects of the IPO

Money raised in an IPO must be used for the objects described in the Prospectus. If the issuer later wants to change these objects:

1. it must obtain shareholders' approval by **special resolution passed through a postal ballot**; and
2. the promoters or controlling shareholders must give an **exit opportunity** to the dissenting shareholders in accordance with Schedule XX of the SEBI Regulations.

The same exit-offer principle applies where the terms of a contract referred to in the offer document are varied. Where the monitoring agency applies (fresh issue above ₹100 crore), its reports track utilisation against objects.

Minimum public shareholding

If the public shareholding after listing is below 25% — as will be the case for large issuers allowed to dilute less (Chapter 5) — the issuer must raise it to **25% within three years of listing** through methods specified by SEBI (such as an OFS by promoters, a QIP by promoter-group sell-down, or an FPO).

Promoters after listing

- Regular and quarterly **shareholding disclosures** under the Takeover and Insider Trading Regulations.
- **Lock-in compliance** — locked shares cannot be sold or pledged except as permitted (Chapter 7).
- The label of “promoter” persists until a person is formally de-promoterised.
- Future offerings by the company carry the promoters’ continuing obligations.

Compliance calendar — first year after listing

When	What
Listing day	Trading begins; insider-trading codes in force; stabilisation window opens if a Green Shoe Option was used (30 days)
30 days	Anchor-investor lock-in ends (2019 framework); stabilisation period ends
Each quarter	Shareholding pattern; quarterly results within 45 days; governance report
60 days after year-end	Audited annual results (standalone and consolidated)
6 months (post-2019 rules)	Lock-in release for many pre-IPO shareholders (check current periods)
12 months	One-year lock-ins end for non-promoter pre-IPO holders and the balance promoter holding (2019 framework)
3 years	20% promoter contribution lock-in ends; target date for 25% public shareholding where applicable

PRACTICAL NOTE — EXPECT SCRUTINY AFTER THE IPO

In the months after listing, the first results are read against the offer-document narrative, the use of proceeds is tracked by the monitoring agency and analysts, and lock-in expiries are anticipated by the market. Treat the first two or three quarters as part of the IPO's credibility: consistent delivery against the prospectus builds the base for future QIPs and rights issues.

Chapter summary

- Quarterly results within 45 days (60 days for the last quarter and annual accounts); quarterly shareholding patterns.
- Deemed material events, mandatory disclosures and board-determined material events must be disclosed promptly.
- Two insider-trading codes are mandatory.
- Changing the IPO objects needs a special resolution by postal ballot and an exit opportunity for dissenters.
- Public shareholding must reach 25% within three years where initially lower; promoters keep disclosure and lock-in obligations.

PART VI

Other Ways to Raise Capital and List

QIPs, rights issues, preferential issues, listed debentures, REITs and InvITs — and how to choose between them.

Qualified Institutions Placement (QIP)

A fast route for listed companies to raise equity from institutions: eligibility, investor rules, pricing and disclosure.

IN THIS CHAPTER

- What a QIP is and who may use it
- Eligibility conditions and the six-month gap
- Who may subscribe and the allottee limits
- The pricing formula and the permitted discount, with a calculation
- Disclosure document and notification to the exchanges

What is a QIP?

A **Qualified Institutions Placement (QIP)** is the issue of eligible securities by a **listed issuer** to **QIBs only**, on a **private placement** basis, in accordance with the SEBI Regulations. It can also include an **Offer For Sale** of specified securities by the promoters or promoter group, on a private placement basis.

The QIP has become popular because it is quick. There is no draft offer document to file with SEBI for review; the issuer prepares a placement document in line with market standards and goes directly to institutional investors. A QIP can typically be completed in days rather than the months an IPO or rights issue may take, making it well suited to opportunistic fundraising or to repairing a balance sheet.

Eligibility

1. **Shareholder approval.** The QIP must be approved by the shareholders by **special resolution**, which states that the allotment is proposed through a QIP and specifies the **relevant date** for pricing. No shareholder approval is needed where the QIP is an OFS by promoters or promoter group to meet the minimum public shareholding requirement.
2. **Listing history.** Subject to some exceptions (such as a QIP to meet minimum public shareholding), the equity shares of the same class must have been **listed on a recognised stock exchange for at least one year** before the date of notice to shareholders for the special resolution.
3. **No fugitive economic offender.** Neither the promoters nor the directors may be a fugitive economic offender.
4. **Six-month gap.** A subsequent QIP cannot be undertaken until **six months have passed** since the prior QIP made under one or more special resolutions.

Who can subscribe?

Only **QIBs** as defined in the SEBI Regulations (Chapter 9) may participate. The Companies Act caps private placements at 200 persons in a financial year, but that cap excludes QIBs, so there is **no limit on the number of QIBs** that can participate in a QIP.

Condition	Rule
Mutual funds	At least 10% of the securities offered must be allotted to mutual funds; if any of it is unsubscribed, it may be allotted to other QIBs
Promoter-related persons	No allotment, directly or indirectly, to promoters or persons related to promoters — including any QIB with rights under a shareholders' or voting agreement with the promoter or promoter group, or with veto rights or a right to nominate a director
Minimum number of allottees	Two if the QIP size is up to ₹2,500 million (₹250 crore); five if above ₹250 crore
Maximum for one QIB	No single QIB may be allotted more than 50% of the QIP; QIBs in the same group or under the same control count as a single allottee

Pricing

A QIP must be made at a price **not less than the average of the weekly high and low of the closing prices** of the shares quoted on the exchange where the issuer's shares are traded during the **two weeks preceding the date on which the board decides to open the QIP**. The issuer may offer a **discount of up to 5%** on that price, with prior shareholder approval.

For convertible instruments, the issuer may fix the relevant date as the board meeting that approves opening of the QIP or the date on which the holder of the convertible securities becomes entitled to apply for the equity shares. The price of convertible instruments may be adjusted for corporate events such as bonus issues, rights issues, share splits or consolidations and reclassification.

WORKED EXAMPLE — COMPUTING THE QIP FLOOR PRICE

On the day its board approves opening a QIP, Meridian Steel Ltd looks at the closing prices on its exchange over the previous two weeks:

	Highest close (₹)	Lowest close (₹)
Week 1	210	200
Week 2	206	196

Floor price = $(210 + 200 + 206 + 196) \div 4 = 812 \div 4 = \text{₹}203.00$.

Maximum discount (5%) = $\text{₹}203 \times 0.95 = \text{₹}192.85$, available only if the shareholders' special resolution allowed a discount.

So the QIP can be priced anywhere at or above ₹192.85 if a discount was approved, or at or above ₹203 if not.

Allotment checks for a ₹400 crore QIP. Size above ₹250 crore, so at least five allottees. No single QIB can take more than 50% (₹200 crore). Mutual funds should receive at least 10% = ₹40 crore, unless they fail to subscribe it.

Disclosure and process

Unlike an IPO, the SEBI Regulations prescribe only **indicative disclosure requirements** for QIPs. Placement documents are typically prepared in accordance with customary market standards, together with Section 42 of the Companies Act read with the PAS Rules, which add some disclosures. Under the Companies (Amendment) Act, 2017, subscribers to a private placement must now **pay the subscription money along with the application**, in the prescribed form.

The SEBI Listing Regulations require the issuer to give the stock exchanges **prior intimation** of the board meeting at which the QIP and the determination of the issue price will be considered.

PRACTICAL NOTE — WHY QIP IS THE WORKHORSE FOR LISTED COMPANIES

Compared to a public follow-on offering, a QIP needs no SEBI review, lighter documents, and a shorter timetable; investors are institutions that can price risk themselves. The trade-off is that the investor base is limited to QIBs, so a very large raise may need a broader route. Because QIPs are priced off recent trading, they are best done when the share price is steady and the market is receptive.

SINCE 2019

The QIP regime remains in broad outline as above, though SEBI has amended detailed conditions over time (for example in respect of timelines, pricing details and the treatment of promoters' participation). Verify the current ICDR chapter on QIPs.

Chapter summary

- A QIP is a private placement of eligible securities by a listed issuer to QIBs only, with no limit on the number of QIBs.
- Needs a special resolution, a one-year listing history and a six-month gap between QIPs.
- At least 10% to mutual funds; no promoter-related allottees; at least two (up to ₹250 crore) or five allottees; no QIB above 50%.

-
- Price at or above the two-week average of weekly high and low closing prices; a discount of up to 5% with shareholder approval.

Rights Issues and Fast-Track Rights Issues

How a listed company raises capital from its existing shareholders — and the thirteen tests for the faster route.

IN THIS CHAPTER

- What a rights issue is
- The fast-track route and its eligibility conditions
- Limited disclosure: when it is permitted
- Pricing of a rights issue and the value of a right

What is a rights issue?

A **Rights Issue** is an offer of equity shares or other securities by a company to its **existing shareholders as on a specified record date**. The shareholder's "right" is to subscribe to new shares in a fixed ratio to existing holdings — for example, one new share for every four held. It is a way for a company to raise capital without bringing in new shareholders; and, because each existing holder can subscribe in proportion, there is no dilution for those who exercise their rights.

Rights are normally renounceable: a shareholder who does not wish to subscribe can sell the entitlement in the market. This makes rights issues useful for large, balance-sheet-repairing capital raises, when the issuer wants to keep control with existing holders, including the promoter, while giving minorities a fair chance to participate.

The fast-track route

An issuer that complies with the criteria in the SEBI Regulations may use the **fast-track mode**. In a fast-track issue, the **Draft Letter of Offer is not required to be filed with SEBI**; the issuer files the **Letter of Offer directly with the stock exchanges**. This saves months of review. The handbook lists the conditions:

#	Condition
1	Listing history: equity shares listed on a stock exchange for at least three years before the date of filing the Letter of Offer with the designated exchange (the “Reference Date”)
2	Promoter group demat: the entire shareholding of the promoter group held in dematerialised form on the Reference Date
3	Market capitalisation: average market capitalisation of the public shareholding at least ₹2,500 million (₹250 crore)
4	Trading turnover: annualised trading turnover during the six calendar months before the Reference Date month at least 2% of the weighted average number of shares listed in that period
5	Delivery-based turnover: annualised delivery-based trading turnover in the same six months at least 10% of the annualised trading turnover
6	Listing compliance: compliance with the listing agreement or SEBI Listing Regulations for at least three years before the Reference Date (lapses on board composition are deemed cured if disclosed and rectified by filing; a monetary fine alone is not a ground for ineligibility)
7	No suspension from trading as a disciplinary measure in the last three years
8	No SEBI proceedings: no prosecution or show-cause notices pending against the issuer, its promoters or whole-time directors on the Reference Date
9	Investor grievances: at least 95% of investor complaints received up to the end of the previous quarter redressed
10	No settlements: no consent or settlement of alleged securities-law violations by the issuer, promoters, promoter group or directors in the last three years
11	No conflict of interest between the BRLMs and the issuer or its group companies
12	Promoters must subscribe to their portion (except for renunciation within the promoter group or to meet minimum public shareholding)

#	Condition
13	No auditor qualifications on the audited accounts for the fiscals disclosed in the Letter of Offer

These conditions identify a stable, liquid, well-governed listed company that need not be re-reviewed by SEBI. Failing any one pushes the issuer onto the ordinary route, where a Draft Letter of Offer is filed with SEBI first.

Limited disclosure

Even outside the fast-track route, an issuer can provide **limited disclosures** in its Draft Letter of Offer and Letter of Offer if it satisfies all of the following:

1. it has been filing the periodic reports, statements and information required under the listing agreement or SEBI Listing Regulations for the **three years** before filing the Draft Letter of Offer with SEBI or the Letter of Offer with the designated exchange;
2. those reports are **available on the website of a stock exchange**;
3. it has an **investor grievance-handling mechanism** — frequent meetings of the stakeholders' relationship committee, appropriate delegation of power on share transfers and clear systems for timely redressal;
4. its management has **not changed pursuant to an acquisition of control** under the Takeover Regulations (and it is not undertaking its first rights issue after such a change); and
5. its shares have **not been listed under a relaxation granted by SEBI under the SCRR** pursuant to a court-sanctioned scheme (and it is not undertaking its first rights issue after such a listing).

The logic is that investors in such a company already have a continuous stream of public information, so the offer document does not need to repeat it.

Pricing

There are **no specific pricing requirements** for a rights issue. The board of directors decides the price, in consultation with the BRLMs (or lead managers). In practice rights are priced at a discount to the market price to induce subscription.

WORKED EXAMPLE — RIGHTS RATIO AND VALUE OF A RIGHT

Horizon Power Ltd announces a rights issue of **1 new share for every 4 held** at ₹80 per share. The market price before the announcement is ₹100.

Theoretical ex-rights price (TERP) = $(4 \times ₹100 + 1 \times ₹80) \div 5 = ₹480 \div 5 = ₹96$.

Value of one right (the per-share entitlement) = TERP – issue price = $96 - 80 = ₹16$ for each new share the right entitles the holder to buy.

A shareholder with 1,000 shares can subscribe to 250 new shares, paying $250 \times ₹80 = ₹20,000$. The holding becomes 1,250 shares worth $1,250 \times ₹96 = ₹1,20,000$ on a theoretical basis, against an investment of ₹1,00,000 (market value of the original shares) + ₹20,000 = ₹1,20,000. A holder who does not subscribe can sell the entitlement and receive approximately $₹16 \times 250 = ₹4,000$, which compensates for the fall in the share price from ₹100 to ₹96.

PRACTICAL NOTE — RIGHTS VERSUS OTHER ROUTES

A rights issue treats all shareholders alike and is often the preferred route where the promoter wants to maintain control and public investors are happy to follow. Its risks: success depends on the market price staying above the issue price during the offer, and large issues need underwriting or promoter backstops. The handbook notes that fiscal 2019 saw filings for two of the largest rights issues ever.

Chapter summary

- A rights issue offers new shares to existing holders in a fixed ratio; entitlements are normally tradable.
- Fast-track issuers skip SEBI's review and file the Letter of Offer with the exchanges, if they satisfy thirteen conditions on listing history, liquidity, compliance and governance.
- Limited-disclosure documents are allowed for companies with a clean three-year disclosure record.
- There is no regulatory pricing formula; the board sets the price with the BRLMs.

Preferential Issues

Allotting shares to a chosen group — eligibility, the 15-day window, the pricing floor, and lock-ins.

IN THIS CHAPTER

- What a preferential issue is
- Eligibility conditions and the 15-day completion rule
- Pricing: the 26-week and 2-week tests, with a worked calculation
- Lock-in requirements for promoters and for warrants

What is a preferential issue?

A **preferential issue** is an issue of specified securities by a **listed issuer** to a **select group of persons** — in preference to all the existing shareholders — in accordance with the Companies Act and the SEBI Regulations. It is the instrument for bringing in a strategic investor, converting dues into equity, increasing the promoters' holding or paying for an acquisition with shares.

Eligibility conditions

1. A **special resolution** of the shareholders, among other things specifying the **class of persons** to whom the allotment is proposed.
2. Compliance with the **conditions for continuous listing** under the SEBI Listing Regulations.
3. All equity shares already held by the proposed allottees in the issuer must be in **dematerialised form**.
4. All equity shares allotted must be **fully paid-up at the time of allotment**.

5. Subject to certain exceptions, no preferential issue may be made to any person who has **sold or transferred any equity shares of the issuer during the six months** preceding the relevant date.

Completion within 15 days

The allotment under the special resolution must be completed **within 15 days from the date of the resolution**. If it is not, the issuer must pass a **fresh special resolution**. The short window keeps the pricing in line with market reality.

Pricing

The “**relevant date**” is **30 days prior to the date of the shareholders’ resolution** approving the issue. If the shares have been listed for **26 weeks or more** as on the relevant date, the price must be **not less than the higher of**:

1. the average of the weekly high and low of the **volume-weighted average price (VWAP)** during the **26 weeks** preceding the relevant date; or
2. the average of the weekly high and low of the VWAP during the **two weeks** preceding the relevant date.

If the shares have been listed for **less than 26 weeks**, the price at which the shares were issued in the IPO (or the value per share determined in the scheme of compromise, arrangement or amalgamation under which the shares were listed) must also be considered.

WORKED EXAMPLE — FLOOR PRICE FOR A PREFERENTIAL ALLOTMENT

Tara Chemicals Ltd, listed for several years, plans a preferential issue to a strategic investor. Using exchange data before the relevant date:

Measure	Result (₹)
Average of weekly high and low of VWAP over the 26 weeks	148.00
Average of weekly high and low of VWAP over the 2 weeks	156.00
Minimum price = higher of the two	156.00

Even though the longer-term average is ₹148, the shorter-term average is higher, so the floor is ₹156. If the share price has just risen sharply, the two-week average protects existing shareholders against a cheap issue; if it has just fallen, the 26-week average protects them against an issue priced at a temporary low.

Timing check: if the shareholders' resolution is on 30 September, the relevant date is 31 August. The allotment must be completed by 15 October (15 days after the resolution).

Lock-in

- Securities allotted on a preferential basis to the **promoters or promoter group** are locked in for **three years** from the date of trading approval, but not more than **20% of the total capital** of the issuer is locked in for three years. Shares allotted in excess of 20% are locked in for **one year** from the date of trading approval.
- **Convertible securities or warrants** that are not listed on the stock exchanges are locked in for **one year from the date of allotment** of the instrument.

WORKED EXAMPLE — LOCK-IN ON A PROMOTER PREFERENTIAL ALLOTMENT

A company has total capital (post-issue) of 100 crore shares. Promoters receive 30 crore shares in a preferential allotment. Lock-in: 20% of total capital = 20 crore shares locked for **three years**; the remaining 10 crore shares are locked for **one year**.

PRACTICAL NOTE — KEEPING THE CLOCK

Because the price depends on market data and the allotment must follow the resolution within 15 days, preferential issues run to a tight calendar: board approval, notice to shareholders (with explanatory statement), shareholders' meeting, in-principle approval from the exchanges, receipt of funds and allotment. Plan the sequence so that the relevant date, the meeting date and the 15-day window fit together, and make sure that every allottee's demat holdings and trading history are checked against the six-month rule.

Chapter summary

- A preferential issue is a listed issuer's allotment to a chosen group, approved by special resolution.
- Allotment must be completed within 15 days of the resolution; otherwise a new resolution is needed.
- Minimum price is the higher of the 26-week and 2-week averages (of weekly high and low VWAP) at the relevant date; IPO or scheme price is considered for recently listed shares.
- Promoters' shares are locked in for three years (up to 20% of total capital) and one year (excess); warrants for one year.

Listing Non-Convertible Debentures (NCDs)

How companies list debt in India — private placement and public issue, the parties, the documents and the process.

IN THIS CHAPTER

- The two routes to list NCDs and the governing laws
- Corporate approvals for each route
- Disclosure documents
- The cast of intermediaries — trustee, rating agency, arranger and others
- Transaction documents and the step-by-step process for each route

Routes and rules

Listed debt is raised in India through **non-convertible debentures (NCDs)** — debt instruments that are not convertible into equity — which a company can list on a recognised stock exchange whether it issues them to the public or places them privately with selected investors. The governing rules are the **SEBI Debt Regulations**, which apply to public issues of NCDs and to private placements of NCDs that are to be listed; the **Companies Act and rules**; and requirements prescribed by the stock exchanges on which the NCDs will be listed.

	Private placement	Public issue
Audience	Selected investors (offer cum application letter addressed to named persons)	The public — retail, non-institutional and institutional investors

	Private placement	Public issue
Offer document	Disclosure document with Schedule I (SEBI Debt Regulations) content, latest annual report and the PAS form	Prospectus (or shelf prospectus with tranche prospectus) — Schedule I plus the Companies Act requirements
Public comments on draft	Not applicable	Draft prospectus filed with the designated exchange; posted for seven working days of public comments
Intermediaries	Arranger, trustee, RTA, depositaries, rating agency, electronic book provider	All those, plus lead merchant banker, consortium / syndicate, public issue account bank
Speed	Faster	Slower, but wider investor base

Corporate approvals

- **Private placement.** Board authorisation. The company also needs shareholder approval for its **borrowing limits under Section 180(1)(c)** of the Companies Act. If the NCDs are **secured**, shareholder approval under **Section 180(1)(a)** (to create security over its assets) is needed.
- **Public issue.** Similar requirements to a private placement.

Disclosure requirements

For a **private placement**, the offer document must contain the disclosures specified in Schedule I of the SEBI Debt Regulations, the latest annual report and the private placement offer cum application letter in the PAS Rules form.

For a **public issue**, the document must contain Schedule I disclosures and those under Chapter III of the Companies Act. The handbook notes a transitional wrinkle: the Companies (Amendment) Act, 2017 removed the prospectus disclosure requirements of Section 26, and the 2018 amendments removed some disclosures under the PAS Rules; but BSE and NSE circulars of June 2018 said that, until the revised guidelines come into effect, issuers must keep complying with the Companies Act prospectus disclosures as they stood before the amendments.

Intermediaries

Role	Function	Route
Debenture Trustee	Acts on behalf of and for the benefit of NCD holders; must be eligible under the SEBI Debenture Trustees Regulations and SEBI-registered; mandatory appointment	Both
Arranger	SEBI-registered merchant banker, broker or RBI-registered primary dealer that facilitates and leads a group of investors in a private placement	Private
Depositories	NSDL and CDSL; the issuer must open demat accounts with both	Both
Registrar and Transfer Agent	Processes investment and transfers, interest and principal payments, maintains records, coordinates between depositories, regulators, exchanges, issuer, holders and lead managers	Both
Credit Rating Agency	Assigns credit rating — mandatory for listed NCDs; rates ability to repay	Both
Electronic Book Provider	For issues of ₹2,000 million (₹200 crore) or more (including any Green Shoe), bids must be entered on the electronic book; BSE and NSE are recognised providers (usable for smaller issues too)	Private (mainly)
Lead Merchant Banker	At least one SEBI-registered merchant banker as lead; files draft prospectus with the designated exchange; addresses public comments; files due diligence certificate	Public
Syndicate / brokers / designated intermediaries	Collect application forms during the issue period	Public
Public Issue Account Bank / Refund Bank	Escrow and refund functions; net proceeds moved to the issuer after prescribed conditions	Public

The **statutory auditors** deliver a report on the audited financial statements, **reformatted to show the last five years together** in a columnar manner for the draft prospectus and the prospectus, prepared per the Companies Act and applicable accounting standards. They also prepare a **statement of tax benefits** for NCD holders and give **comfort letters** to the lead merchant bankers.

Transaction documents

Document	Purpose	Route
Disclosure document / Prospectus	Offer document with prescribed disclosures; may be a stand-alone or a shelf prospectus with tranche prospectus	Private / Public
Debenture Trustee Agreement	Appoints the trustee for NCD holders; signed before the offer closes	Both
Debenture Trust Deed	Creates the trust and sets terms and security-management mechanics; executed within 60 days of allotment ; as near as possible to the format in the Debenture Rules	Both
Debt Listing Agreement	SEBI-prescribed agreement with the exchange for continuous disclosures	Both
Credit rating letter	Rating and rationale, disclosed in the offer documents	Both
Depository agreements	Tripartite agreements with NSDL and CDSL for demat	Both
Registrar agreement / letter of appointment	Monitoring and collecting amounts; allotting NCDs	Both
Security documents	Deed of hypothecation, share pledge agreement, mortgage documents	Both (if secured)
Public Issue Account Agreement	Collection of application money; transfers to refund account or issuer	Public
Issue Agreement	Between merchant bankers and issuer, before the draft prospectus is filed	Public

Document	Purpose	Route
Consortium / Lead Broker Agreement	Roles of merchant bankers and consortium members	Public

The process

Private placement

1. Obtain corporate approvals for the issue and borrowing limits.
2. Appoint intermediaries and finalise term sheets.
3. Commence due diligence; obtain consents from existing lenders, regulators, statutory authorities and third parties.
4. Finalise the disclosure document under the SEBI Debt Regulations and the PAS Rules.
5. Obtain **in-principle approval** from the exchange.
6. Sign tripartite agreements with the depositories and obtain the ISINs (open demat accounts).
7. Sign the debt listing agreement with the exchange.
8. Issue the disclosure document and application forms (serially numbered, addressed to named persons).
9. Receive applications with subscription money through **banking channels**.
10. Credit the NCDs into investors' demat accounts.
11. Obtain **final listing approval**.
12. Maintain a complete record of the private placement offer in Form PAS-5.
13. File the return of allotment within **15 days** of allotment. The company may access the net issue proceeds only **after filing the return of allotment**.

Public issue

1. Obtain corporate approvals; appoint intermediaries.

2. Start due diligence and drafting of the draft prospectus; obtain consents from lenders, regulators and others; obtain certificates and consents from the issuer, directors and key managerial personnel, and relevant third parties.
3. Execute the issue agreement, registrar agreement and debenture trustee agreement; obtain comfort letters from the current and previous statutory auditors and from the independent chartered accountant.
4. **File the draft prospectus** with the designated exchange through the lead merchant banker, simultaneously forwarded to SEBI. It is posted on the exchange's website for **seven working days** for public comments, and the lead merchant banker ensures that all comments are suitably addressed.
5. Apply for and obtain **in-principle approval** from the exchanges; sign the debt listing agreement; execute the public issue account agreement and consortium agreement.
6. File the **prospectus with SEBI** for its records along with the due diligence certificate; file the prospectus with the **RoC** and obtain its approval.
7. The debenture trustee files its **due diligence certificate** before the issue opens.
8. Publish an **issue advertisement** in a national daily newspaper with wide circulation.
9. The issue opens and closes; applications are received.
10. The issuer allots the NCDs in consultation with the designated exchange; file the final listing application; exchanges give final listing and trading approval.
11. Execute the debenture trust deed within the applicable timelines.

PRACTICAL NOTE — EQUITY LISTING VERSUS DEBT LISTING

Debt investors care about **security and cash flows**, not upside. A rating, a trustee and a clear security package matter more than the equity story. Debt listing is also the only route by which an **unlisted** company can list any securities without a public offer, and companies often list NCDs first and equity later. A listed debt issuer is bound by the Debt Listing Agreement and continuing disclosure norms even though its equity is unlisted.

Chapter summary

- NCDs can be listed through a private placement or public issue under the SEBI Debt Regulations, the Companies Act and exchange rules.
- A debenture trustee and a credit rating are mandatory; the debt must be dematerialised with both depositories.
- Private placements follow an offer-letter process and need a return of allotment within 15 days before proceeds can be used; public issues need a draft prospectus with seven working days of public comments and RoC registration.
- The debenture trust deed must be executed within 60 days of allotment.

Real Estate Investment Trusts (REITs)

How income-producing real estate is packaged into a listed trust: parties, eligibility, offer and investment rules.

IN THIS CHAPTER

- What a REIT is and which laws apply
- Sponsor, manager and trustee: roles and eligibility tests
- Offer and listing requirements
- Disclosure — including forward-looking projections
- The 80/20 investment restriction, with a worked example

What is a REIT?

A **Real Estate Investment Trust (REIT)** is a trust, set up under the Indian Trusts Act, 1882 and registered under the Registration Act, 1908, that invests in real-estate properties in accordance with the SEBI REIT Regulations. A REIT must be **registered with SEBI**. Other laws that apply include the FEMA and the 2017 non-resident securities regulations, and the Income-tax Act, 1961.

The idea is familiar from other markets: owners of large, rent-yielding properties — typically office parks and malls — transfer them into a trust, and investors buy **units** of the trust on the exchange. The trust distributes most of its rental income to unitholders. For investors, a REIT offers exposure to commercial real estate with liquidity and professional management; for developers it releases capital for new projects. Fiscal 2019 saw India's first listed REIT (Chapter 1).

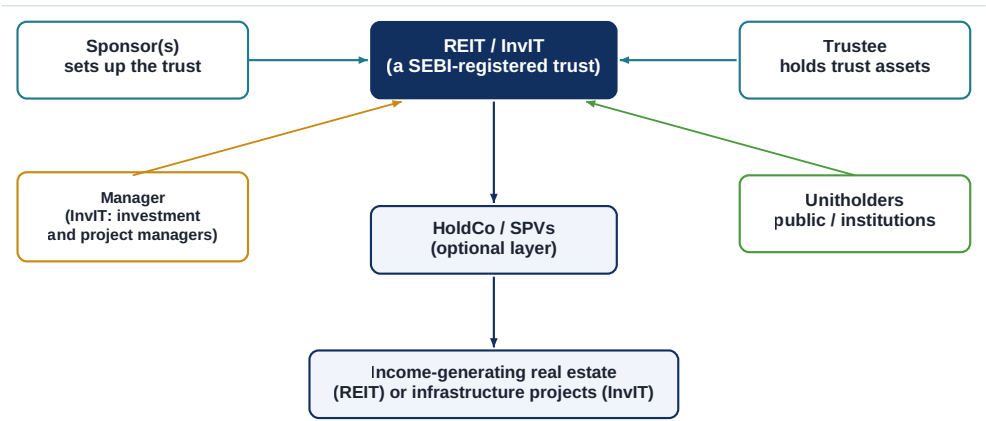


Figure. Typical structure of a REIT or InvIT: the trust owns assets directly or through holdcos/SPVs and distributes income to unitholders.

Parties

Party	Role
Sponsor(s)	Sets up the REIT and is designated as sponsor in the application to SEBI; appoints the trustee
Manager	A company, LLP or body corporate incorporated in India that manages the assets and investments of the REIT and undertakes its operational activities
Trustee	A SEBI-registered entity that holds the REIT’s assets in trust for unitholders
Professional advisers	Auditors, valuers, merchant bankers, to ensure compliance with the REIT Regulations

Eligibility criteria

Requirements	
Sponsor	Minimum individual net worth ₹200 million (₹20 crore) and collective net worth ₹1,000 million (₹100 crore) ; at least five years’ experience in development of real estate or fund management in the real-estate industry; if the sponsor is a developer, at least two projects completed

Requirements	
Manager	Individual net worth of ₹100 million (₹10 crore) if a company or body corporate, or net tangible assets of ₹100 million if an LLP; the manager or its associate must have five years' experience in fund management, advisory services, property management or development; at least two employees with five years' experience; at least 50% of directors (or governing board members) independent
Trustee	Registered as a debenture trustee under SEBI Debenture Trustee Regulations; must not be an associate of the sponsor or manager

Offer and listing

A REIT can make its **initial offer of units only by a public issue**. Conditions include owning assets worth **₹5,000 million (₹500 crore)** and a minimum offer size of **₹2,500 million (₹250 crore)**. Later issues can be by follow-on offer, preferential allotment, qualified institutional placement, rights issue, bonus issue, offer for sale or other mechanisms specified by SEBI.

Disclosure

As with an equity IPO, the REIT Regulations require detailed disclosure in the offer documents. But, unlike company IPOs, REIT offer documents must include **forward-looking disclosures**: properties intended to be acquired, estimated monthly market rent, expected completion of under-construction projects, and **projections of cash flows and income for the next three years**. The filing and IPO process is similar to an equity IPO.

Investment restrictions

Investments by the REIT, directly or through holding companies and special purpose vehicles, are restricted:

- **At least 80%** of the value of the REIT's assets must be invested in **completed, rent-generating or income-generating properties**, subject to conditions.
- **Not more than 20%** may be invested in other permissible assets, including **under-construction projects** and **completed but not rent-generating properties**, in accordance with the REIT Regulations.

WORKED EXAMPLE — TESTING THE 80/20 RULE

Crest REIT has assets valued at ₹6,000 crore: completed and fully leased office parks ₹4,700 crore; a completed mall not yet leased ₹600 crore; an under-construction tower ₹700 crore.

Rent-generating completed assets = ₹4,700 crore = 78.3% of ₹6,000 crore — **below 80%**. The permitted ceiling for the “other” bucket is 20% = ₹1,200 crore; but the actual other bucket is $600 + 700 = ₹1,300$ crore (21.7%), exceeding the ceiling by ₹100 crore. To comply, the REIT could (i) lease the mall so that its value counts as rent-generating — raising the rent-generating share to $(4,700 + 600) \div 6,000 = 88.3\%$ — or (ii) acquire further stabilised, rent-generating assets of value X, where $(4,700 + X) \div (6,000 + X) \geq 80\%$ requires $X \geq ₹500$ crore.

SINCE 2019

Several REIT parameters have been revised since 2019 — including the minimum asset size and offer size, the permitted investment in under-construction assets, leverage and distribution rules and the introduction of a framework for small and medium REITs. Always check the current SEBI REIT Regulations.

Chapter summary

- A REIT is a SEBI-registered trust owning income-producing real estate, with sponsor, manager and trustee, each meeting eligibility tests.
- Initial units are offered by public issue: assets of ₹500 crore and a minimum offer of ₹250 crore.
- Offer documents include three-year forward-looking projections.
- At least 80% of value must be in completed, income-generating assets; no more than 20% in other permitted assets.

Infrastructure Investment Trusts (InvITs)

The listed-trust model for infrastructure assets: parties, public and private offerings, and investment limits.

IN THIS CHAPTER

- What an InvIT is and who the parties are
- Requirements to offer and list units
- Investment restrictions for public and private InvITs
- Public issue versus private placement
- Disclosure requirements, and comparison with REITs

What is an InvIT?

Like a REIT, an **Infrastructure Investment Trust (InvIT)** is a trust set up under the Indian Trusts Act, 1882 and registered under the Registration Act, 1908, but it invests in **infrastructure projects** — roads, power transmission, pipelines, renewable energy and similar — in accordance with the SEBI InvIT Regulations. It must be registered with SEBI, and the same additional laws (FEMA and the 2017 non-resident securities regulations, Income-tax Act) apply.

InvITs give the owners of mature, cash-generating infrastructure assets a way to recycle capital and give investors a yield-oriented product with predictable cash flows, which is why the handbook describes them as “the Indian equivalent of a business trust” and a “new asset class with a focus on yield”. In 2018 India saw the listing of the first privately placed InvIT, followed by two public InvITs (Chapter 1).

Parties

Party	Role
Sponsor	A company, LLP or body corporate that sets up the InvIT and is designated as such in the application
Investment manager	A company, LLP or body corporate that manages the assets and investments of the InvIT and undertakes its activities
Trustee	Holds the InvIT's assets in trust for the benefit of unitholders
Project manager	Responsible for achieving execution of a project; in PPP projects, may be the entity responsible for execution or management under the concession agreement
Advisers	Auditors, valuers and merchant bankers for compliance with the InvIT Regulations

Note the difference from a REIT: an InvIT has a **project manager** as a separate role, reflecting that infrastructure projects often need execution and operation expertise distinct from financial asset management.

Offer and listing

An InvIT may offer and list its units if its **asset size is at least ₹5,000 million (₹500 crore)** and the **offer size is at least ₹2,500 million (₹250 crore)**. The offering can be made through a **private placement** or a **public offer**.

Investment restrictions

	Publicly offered InvIT	Privately placed InvIT
Core rule	At least 80% of asset value in completed and revenue-generating projects	At least 80% of asset value in eligible infrastructure projects (directly or through holdcos/SPVs)

	Publicly offered InvIT	Privately placed InvIT
Other assets	Up to 20% in other eligible investments, including under-construction projects, which must not exceed 10% of asset value	Under-construction projects may exceed 10%; in that case the InvIT can be offered only by private placement
Minimum investment per investor	—	Where the InvIT invests at least 80% as above, the minimum investment from an investor is ₹250 million (₹25 crore) ; otherwise ₹10 million in a private placement

Public issue versus private placement

	Public issue	Private placement
Public offer / float	Units offered to the public: at least 25% of total outstanding units	No public float requirement
Minimum subscription	75% of the issue size	—
Number of investors	At least 20 subscribers	At least five and not more than 1,000
Who may invest	Public	Institutional investors and body corporates, Indian and foreign
Minimum investment	—	₹10 million (₹1 crore)
Process	Similar to an equity IPO	Similar to a QIP

WORKED EXAMPLE — CAN THIS INVIT GO PUBLIC?

Northway Roads InvIT proposes to hold assets worth ₹2,000 crore: operating toll roads ₹1,500 crore; roads under construction ₹500 crore.

Revenue-generating share = $1,500 \div 2,000 = 75\%$ — below 80%. **Under-construction share** = $500 \div 2,000 = 25\%$ — above the 10% cap for public InvITs.

Conclusion: it does not qualify for a public offer. It can, however, be a **privately placed** InvIT because under-construction exposure above 10% forces the private route. If it invests at least 80% of asset value in eligible infrastructure projects (here, 100%), minimum investment per investor would be ₹25 crore, and it needs 5–1,000 institutional investors. To go public later, it would need to complete its under-construction roads or restructure the portfolio so that at least 80% of value is in completed and revenue-generating projects and under-construction assets do not exceed 10%.

Disclosure requirements

The InvIT Regulations prescribe **limited disclosures** compared with an equity IPO: material litigation and regulatory actions, summary financial statements and projections for three years. Like REIT documents, InvIT offer documents must include **forward-looking disclosures** — projected revenue and operating cash flows over the next three years, details of the holdcos or project SPVs, and expected completion of under-construction projects. The process for a public InvIT is similar to an equity IPO; for a private InvIT it is similar to a QIP.

REIT and InvIT compared

	REIT	InvIT
Underlying assets	Real estate (offices, malls)	Infrastructure projects
Initial offer	Public issue only	Public or private
Asset size / offer size	₹500 crore / ₹250 crore	₹500 crore / ₹250 crore
80/20 rule	80% completed rent-generating	80% completed revenue-generating (public)
Project manager	No separate role	Yes
Disclosure	Detailed, with 3-year projections	Limited, with 3-year projections

SINCE 2019

InvIT and REIT regulations have been amended since 2019, including relaxed thresholds, expanded investor classes and changes to leverage limits. Confirm current thresholds in the SEBI InvIT Regulations before structuring.

Chapter summary

- An InvIT is a SEBI-registered trust owning infrastructure assets, with sponsor, investment manager, trustee and project manager.
- Asset size at least ₹500 crore and offer size at least ₹250 crore; public or private offering.
- Public InvITs: 80% in completed, revenue-generating assets, under-construction $\leq$ 10%, at least 25% public, 75% minimum subscription, 20+ subscribers.
- Private InvITs: 5–1,000 institutional investors, minimum ₹1 crore (₹25 crore where 80%+ is invested).

Choosing the Right Route

A side-by-side comparison of every route in the book, and a decision guide for common situations.

IN THIS CHAPTER

- A comparison table of IPO, FPO, rights issue, QIP, preferential issue and NCD listing
- The questions that decide the route
- Six scenarios with recommended routes
- Combining routes over a company's life

Side-by-side comparison

Routes to raise capital (as at 31 July 2019, per the handbook)

	IPO / FPO	Rights is- sue	QIP	Preferen- tial	Listed NCD
Who can use it	Unlisted (IPO) or listed (FPO) company	Listed company	Listed company (listed ≥ 1 year)	Listed company	Any eligible company
Audience	The public	Existing shareholders	QIBs only	Selected persons	Public or selected investors
SEBI review	DRHP review (not for fast-track FPO)	Draft Letter of Offer (not for fast-track)	None (placement document)	None; exchange in-principle approval	Draft prospectus to exchange (public)

	IPO / FPO	Rights is- sue	QIP	Preferen- tial	Listed NCD
Pricing	Fixed price or book built	Board de- cides	Formula floor, up to 5% dis- count	Formula floor (26-week / 2-week)	Coupon set by issuer
Typical speed	Slowest — months	Moderate	Fast — days to weeks	Fast	Fast (private) / moderate (public)
Shareholder ap- proval	Special resolution (fresh is- sue)	Board; as per law	Special resolution	Special resolution	Borrowing limit ap- provals
Lock-in	Promoters, pre-IPO holders, anchors	None spe- cific	None specific (resale restric- tions)	Promoter allotments	—
Dilution for exist- ing holders	Yes	None if they sub- scribe	Yes	Yes (tar- geted)	No

Questions that decide the route

1. **Is the company listed?** If not, the only way to list equity is a public issue (IPO). Debt can be listed without an equity IPO.
2. **Whose money?** Retail and institutions (IPO/FPO); existing shareholders (rights); institutions only (QIP); a strategic or financial investor (preferential); lenders (NCDs).
3. **How quickly?** QIPs and preferential issues are fast; IPOs and FPOs are slow.
4. **Who must keep control?** A rights issue protects proportionate ownership; a preferential issue can change it.
5. **How much?** Very large amounts may need public markets or rights; small, targeted amounts suit a preferential issue.

6. **What does the market prefer now?** Institutional appetite favours QIPs; weak markets favour rights with promoter support or debt.

Scenarios

SIX SITUATIONS AND THE NATURAL ROUTE

1. **A profitable, unlisted manufacturer wants growth capital and an exit for a PE investor.** IPO with a fresh issue and an OFS (Chapters 5 and 8). Check the track-record route.
2. **A listed company needs ₹800 crore within six weeks to take advantage of an acquisition.** QIP: no SEBI review, institutional demand, pricing off the two-week average (Chapter 22).
3. **A listed company with a stable, widely held base needs ₹3,000 crore to reduce debt; the promoter wants to keep their percentage.** Rights issue — fast-track if it meets the thirteen conditions (Chapter 23).
4. **A listed company wants a strategic partner to take 10% and sign a long-term supply agreement.** Preferential issue to the partner; check pricing floor, six-month rule and 15-day window (Chapter 24).
5. **An unlisted infrastructure company wants a source of long-term funds, not equity.** Public issue or private placement of listed NCDs, with a rating and a debenture trustee (Chapter 25).
6. **A developer owns ₹1,000 crore of leased office parks and wants to release capital.** Sponsor a REIT: public issue of units; check the 80/20 rule and sponsor eligibility (Chapter 26).

Combining routes over time

Routes are not exclusive: they form a ladder across a company's life. A company may begin with private equity, list its NCDs, then execute an IPO; after listing, it may use a QIP for opportunistic growth, a rights issue to repair its balance sheet, a preferential issue to bring in a strategic partner, and an OFS by promoters to build public shareholding. Each step builds on the disclosure and governance infrastructure created for the IPO.

PRACTICAL NOTE — THE COST OF DELAY

Market windows are narrow. A company that expects to need capital in the next 12–24 months should complete the lengthy preparation (governance, restated accounts, cap-table clean-up) in advance, so that it can choose a route when conditions are right instead of being forced by need.

Chapter summary

- The right route depends on whether the company is listed, who the investors are, speed, control and amount.
- Equity can be listed only through a public issue; debt can be listed privately or publicly.
- Rights issues preserve control; QIPs are fastest for large institutional demand; preferential issues serve strategic investors.
- A company's capital-raising typically uses several routes over time.

PART VII

Beyond the Handbook



What has changed since 2019, practice problems with worked solutions, and reference material.

CHAPTER 29

What Has Changed Since 2019

The handbook is a snapshot at 31 July 2019. This chapter flags the main later developments so you know exactly where to verify.

IN THIS CHAPTER

- Why a 2019 snapshot must be re-checked before any real transaction
- Principal developments in IPO regulation and market practice since 2019
- Which chapters of this book each development affects
- A verification routine and where to find current rules

READ THIS BEFORE RELYING ON ANY FIGURE

The handbook behind this book was updated until **31 July 2019**. Indian securities regulation moves quickly: SEBI amends the ICDR Regulations several times a year and issues circulars that change procedure. The items below are drawn from the author's general knowledge of later developments, **not from the handbook**. They are indicative, not exhaustive, and the detailed parameters (percentages, periods, thresholds) should always be confirmed in the current text of the regulations and circulars before they are used.

The big picture

Since 2019, the direction of change has been consistent: **faster timelines, more digital processes, more room for new-economy companies, tighter rules on the use of proceeds and on promoters' exits, and shorter lock-ins**. The basic architecture of the IPO — DRHP, SEBI observations, RHP, book building, ASBA, Prospectus — has been preserved.

Principal developments

Topic	Position in the hand-book (2019)	Later development (verify)	Affects
Listing timeline	Allotment within 4 working days of closing; credit within 2 more; listing about 6 working days after closing ("T+6")	Shortened to listing within 3 working days of closing ("T+3"), first voluntary, then mandatory for issues opening after the transition date	Ch. 12, 18
UPI bidding	Retail may bid using UPI from 1 January 2019, as an option	UPI-based ASBA became the standard retail route, with later extensions and technical standards; the process is largely digital	Ch. 12
Non-institutional investors	One undifferentiated category (all non-QIB, non-retail bidders)	Split into two sub-categories by bid size (above and below ₹10 lakh), with a defined share reserved for the smaller bids	Ch. 9
Anchor investor lock-in	30 days from allotment for all anchor shares	Split lock-in: part for 30 days and part for 90 days; reservation for domestic mutual funds, and later for other institutions, refined	Ch. 7, 10
Promoters' lock-in	20% contribution locked for 3 years; excess promoter holding 1 year	Periods shortened (broadly to 18 months and 6 months respectively), with the applicable period depending on the objects of the issue	Ch. 7
Pre-IPO shareholders' lock-in	1 year (with exceptions)	Shortened to 6 months	Ch. 7
Pre-IPO placement	Permitted between DRHP and RHP; maximum disclosed	Capped as a percentage of the fresh issue, with its own lock-in	Ch. 5
Objects of the issue	Detailed disclosure of objects	Caps on "general corporate purposes" and on unidentified acquisitions as a share of proceeds; tighter monitoring and variation rules	Ch. 16

Topic	Position in the handbook (2019)	Later development (verify)	Affects
Superior-voting shares	Not addressed	A framework for issuers with shares carrying superior voting rights (SR shares) was introduced for technology companies and later extended in conditions	Ch. 4, 5
Confidential filing	DRHP filing is public	A confidential pre-filing route for the DRHP, with later public disclosure, was introduced in 2022	Ch. 18
Minimum public offer for very large issuers	Sliding scale up to ₹4,000 crore, then 10%	Relaxed further for the very largest issuers by amendments to the securities contracts rules, with an extended timeline to reach 25% public shareholding	Ch. 5
Rights issue timelines	Longer timelines	Compressed considerably by SEBI circulars	Ch. 23
REITs and InvITs	Thresholds as in Ch. 26–27	Amendments on thresholds, borrowing, investor categories; a framework for small and medium REITs (SM REITs)	Ch. 26, 27
Governance (LODR)	Kotak Committee reforms in progress	Continued amendments: board composition, independent-director appointments, related-party transaction approvals, enhanced disclosure of events	Ch. 20, 21
Other platforms	Main board listing only	SME platforms, and routes for startups, exist and have grown (not covered in the handbook)	Ch. 4

What did not change

- The need for restated, audited financials, a due diligence certificate and SEBI observations on the DRHP.

- The role of SEBI-registered merchant bankers as BRLMs, registrars, bankers and auditors.
- The book-building structure with a price band, and the basic QIB / NII / retail architecture.
- Core liability provisions under the Companies Act.
- The principle that equity listing is possible only by a public issue.

A verification routine

1. **Identify the instrument.** For an IPO, start with the current consolidated SEBI (ICDR) Regulations, 2018, and its schedules.
2. **Read the latest circulars.** SEBI issues master circulars that consolidate procedures. Check any circular relating to the stage you are at: filing, bidding, allotment, listing.
3. **Check the exchanges.** Listing requirements and bidding procedures are also in BSE and NSE notices.
4. **Check the Companies Act and rules.** MCA notifications may change prospectus or private placement mechanics.
5. **Confirm with counsel.** Ask the BRLMs' and issuer's counsel to confirm the current rule against the specific fact pattern and to flag any pending amendments.

WHERE TO LOOK

Primary sources: the SEBI website (legal framework: regulations, circulars, master circulars); BSE and NSE websites (listing and public-issue notices); the Ministry of Corporate Affairs (Companies Act, rules and notifications); and the Gazette of India for notified amendments. Secondary sources: law-firm updates and practitioner commentaries — useful for explanation but never a substitute for the text.

Chapter summary

- The handbook reflects 31 July 2019; many numbers have since been amended.
- Main trends: shorter timelines (T+3), digital bidding (UPI), refined NII and anchor rules, shorter lock-ins, caps on certain objects, confidential filing and wider access for new-age companies.

-
- Always confirm current parameters in the regulations, circulars and exchange notices.

Practice Problems with Worked Solutions

Twenty problems that turn the rules into arithmetic and judgement. All rules are as at 31 July 2019; all entities and numbers are hypothetical.

HOW TO USE THIS CHAPTER

- Attempt each problem before reading the solution beneath it
- Problems follow the order of the book: eligibility, structure, lock-ins, allocation, pricing, other routes, governance, calendars
- Amounts in ₹ crore unless stated; “lakh” = 1,00,000; “crore” = 1,00,00,000 (₹10 million)
- Use the 2019 rules, as presented in the earlier chapters, even though some have since changed (Chapter 29)

A. Eligibility and structure

Problem 1 — Track-record test

Quanta Tools Ltd has the following restated, consolidated figures (₹ crore) for the three preceding full years: net tangible assets 4, 5, 12; of which monetary assets 3, 2, 5; operating profit 18, 9, 20; net worth 3, 4, 9. Can it undertake an IPO on the track-record route?

Solution. NTA exceeds ₹3 crore in all years ✓. Monetary share: $3 \div 4 = 75\%$ (Year 1), $2 \div 5 = 40\%$, $5 \div 12 = 41.7\%$. Year 1 exceeds 50%, so the company needs firm commitments to use the excess monetary assets (or the IPO must be a pure OFS). Operating profit average = $(18 + 9 + 20) \div 3 = 15.67 \geq ₹15$ crore ✓ and positive each year ✓. Net worth exceeds ₹1 crore ✓. **Conclusion:** eligible, subject to the Year 1 monetary-asset condition.

Problem 2 — Minimum offer to the public

Three companies expect post-IPO market capitalisation (at the IPO price) of ₹800 crore, ₹2,000 crore and ₹5,000 crore. What is the minimum offered to the public in each case?

Solution. ₹800 crore (up to ₹1,600 crore): 25% = **₹200 crore**. ₹2,000 crore (between ₹1,600 and ₹4,000 crore): offer must be worth ₹400 crore = $400 \div 2,000 = 20\%$. ₹5,000 crore (above ₹4,000 crore): 10% = **₹500 crore**. For the second and third companies the initial public holding is below 25%, so they must raise it to 25% within three years of listing.

Problem 3 — Promoters' contribution

Post-IPO fully diluted capital will be 25 crore shares. The promoters hold 12 crore shares, of which 2 crore were acquired six months ago at ₹10 per share (IPO price ₹150) and 1 crore are pledged to a lender. How many shares are eligible, how many must be locked in for three years, and how many for one year (assume the promoters sell no shares in the IPO)?

Solution. Ineligible shares: acquired in the preceding year below the IPO price (2 crore) and pledged (1 crore) = 3 crore. Eligible = $12 - 3 = 9$ crore. Required contribution = $20\% \times 25 = 5$ crore, so eligibility is sufficient. **Three-year lock-in:** 5 crore. **One-year lock-in:** the remaining promoter shares = $12 - 5 = 7$ crore. (The pledged shares need special attention because the lender's rights must be reconciled with the lock-in.)

Problem 4 — Lock-in of a venture fund

A SEBI-registered Category I AIF bought 3 crore shares of the issuer eight months before the date of allotment in the IPO. For how long are its shares locked in after allotment?

Solution. AIF shares are locked in for one year *from the date of purchase*, not from allotment. Eight months have already passed, so the remaining lock-in is $12 - 8 = 4$ months after allotment.

Problem 5 — Promoter group

Ravi is the promoter. (a) His brother holds 25% of Brookline Ltd. (b) His uncle holds 40% of Corner Foods Ltd. (c) Ravi's spouse and a firm in which Ravi is a member hold 15% of Delta Traders each (total 30%). Which entities are in the promoter group, and which can only be group companies?

Solution. (a) Brookline: an immediate relative (brother) holds 20% or more → **promoter group**. (b) Corner Foods: an uncle is not an immediate relative (spouse, parent, brother, sister,

child of the person or spouse) → **not promoter group** by this limb; it could be a **group company** if it had related-party transactions with the issuer in the disclosure period or the board considers it material. (c) Delta Traders: the promoter, immediate relatives and a firm in which he is a member together hold 30% ($\geq 20\%$) → promoter group.

B. Allocation, anchors and bidding

Problem 6 — Splitting the offer

A company that does **not** meet the track-record conditions has a net offer of ₹600 crore. Compute the maximum or minimum allocation to each category, the maximum anchor portion, the mutual-fund reservation in the anchor portion, and the maximum number of anchor investors.

Solution. QIB at least 75% = **₹450 crore**; NII at most 15% = **₹90 crore**; retail at most 10% = **₹60 crore**. Anchor up to 60% of QIB = $0.60 \times 450 = \text{₹270 crore}$. One-third reserved for Indian mutual funds = **₹90 crore**. ₹270 crore exceeds ₹250 crore: 5–15 anchors for the first ₹250 crore plus up to 10 more for the excess → **maximum 25**, minimum ₹5 crore each.

Problem 7 — Anchor price difference

Anchor investors were allocated 40 lakh shares at ₹250. Compute the additional payment if the final IPO price is ₹260, and the position if it is ₹240.

Solution. At ₹260: extra $₹10 \times 40 \text{ lakh} = ₹4 \text{ crore}$ payable by the anchors. At ₹240: no refund; anchors keep the shares at ₹250 (a higher cost than the public pays by $₹10 \times 40 \text{ lakh} = ₹4 \text{ crore}$ in aggregate).

Problem 8 — Bid options

In a band of ₹100–₹110, a bidder submits three options: 80 shares at ₹110, 100 shares at ₹108, and 120 shares at ₹106. (a) What amount is blocked? (b) What is considered for allotment if the Issue Price is ₹108? (c) If ₹110?

Solution. Values: $80 \times 110 = 8,800$; $100 \times 108 = 10,800$; $120 \times 106 = 12,720$. (a) The highest value, **₹12,720**, is blocked. (b) At ₹108, options at or above ₹108 are the first two; the maximum number of shares is **100** at ₹108 = ₹10,800 (subject to allotment); ₹1,920 is released. (c) At ₹110, only the first option qualifies: **80 shares** = ₹8,800.

Problem 9 — Price discovery

An offer of 50 lakh shares has a price band of ₹100–₹110. Bids (lakh shares) at each price: ₹110: 30; ₹108: 15; ₹106: 25; ₹104: 30; ₹102: 20; ₹100: 20. (a) Build the cumulative demand. (b) What is the highest price at which the offer is fully covered? (c) What coverage would ₹104 give?

Solution. Cumulative at or above: ₹110: 30; ₹108: 45; ₹106: **70**; ₹104: **100**; ₹102: 120; ₹100: 140. (b) Demand first exceeds 50 lakh at **₹106** (70 lakh, 1.4× coverage); at ₹108 only 45 lakh (0.9×). (c) At ₹104: $100 \div 50 = 2.0\times$.

Problem 10 — Green Shoe Option

The base IPO is 80 lakh shares at ₹150. The issuer has a Green Shoe Option for the maximum permitted over-allotment. The stabilising agent buys 9 lakh shares in the market. What is the over-allotment, the cash held for it, and how is the shortfall met?

Solution. Over-allotment = $15\% \times 80 = 12$ lakh shares; cash raised for them = $12 \text{ lakh} \times ₹150 = ₹18$ crore. 9 lakh shares are bought and returned to the lender; the shortfall of $12 - 9 = 3$ lakh shares is met by **fresh issue** of equity shares by the issuer to the lender.

Problem 11 — Offer for sale expenses

Total expenses of an IPO are ₹36 crore. The IPO has a fresh issue of 4 crore shares and an OFS of 2 crore shares. Who bears what?

Solution. Total shares offered = 6 crore. Company share = $4 \div 6 = 2/3 \rightarrow ₹24$ crore. Selling shareholders = $2 \div 6 = 1/3 \rightarrow ₹12$ crore.

C. Other routes**Problem 12 — QIP pricing and allotment**

Closing prices in the two weeks before a board meeting: Week 1 high ₹520, low ₹500; Week 2 high ₹512, low ₹496. The shareholders approved a 5% discount. (a) Compute the floor price and the lowest permissible price. (b) For a ₹300 crore QIP, state the minimum number of allottees, the maximum to one QIB and the minimum to mutual funds.

Solution. (a) Floor = $(520 + 500 + 512 + 496) \div 4 = ₹507$; with 5% discount = $507 \times 0.95 = ₹481.65$. (b) Size above ₹250 crore $\rightarrow$ at least **five** allottees; no single QIB above 50% = **₹150 crore**; mutual funds at least 10% = **₹30 crore** (if undersubscribed by mutual funds, the balance may go to other QIBs).

Problem 13 — Preferential issue

The shareholders' resolution for a preferential issue is on 12 June 2019. (a) What is the relevant date? (b) By what date must allotment be completed? (c) If the 26-week average is ₹85 and the 2-week average ₹92, what is the minimum price?

Solution. (a) 30 days before 12 June 2019 = **13 May 2019**. (b) 15 days after the resolution = **27 June 2019**; otherwise a fresh special resolution is needed. (c) The higher of the two = **₹92**.

Problem 14 — Rights issue

A company offers 2 new shares for every 5 held at ₹60; the market price is ₹90. Compute the theoretical ex-rights price, the value of the right per new share, and the cost to a holder of 500 shares who subscribes fully.

Solution. TERP = $(5 \times 90 + 2 \times 60) \div 7 = 570 \div 7 = \text{₹}81.43$. Value of the right = $81.43 - 60 = \text{₹}21.43$ per new share. A holder of 500 shares is entitled to $500 \times 2/5 = 200$ new shares, costing $200 \times 60 = \text{₹}12,000$.

Problem 15 — NCD timetable

NCDs are allotted on 10 January 2019 after a private placement. By which dates must the return of allotment be filed and the debenture trust deed be executed? Is an electronic book required for a ₹250 crore issue?

Solution. Return of allotment within 15 days → **25 January 2019** (the issuer may use net proceeds only after filing). Debenture trust deed within 60 days of allotment → **11 March 2019**. For issues of ₹200 crore (₹2,000 million) or more the electronic book mechanism applies, so **yes** for ₹250 crore.

Problem 16 — InvIT eligibility

An InvIT holds assets of ₹1,200 crore, of which ₹950 crore are completed and revenue-generating and ₹250 crore are under construction. Can it make a public offer?

Solution. Revenue-generating share = $950 \div 1,200 = 79.2\%$ ($< 80\%$); under-construction = $250 \div 1,200 = 20.8\%$ ($> 10\%$ cap). **No** — not for a public offer. Because under-construction investment exceeds 10%, units may be issued only by **private placement** (5 to 1,000 institutional investors and body corporates, minimum ₹1 crore each).

D. Governance, documents and calendars

Problem 17 — Board composition

A company has a board of 12. How many independent and non-executive directors does it need if (a) the chairman is an executive director; (b) the chairman is a non-executive, non-promoter director?

Solution. At least 50% non-executive in both cases: **6** of 12. (a) Executive chairman → at least half independent = **6** (independents count among the six non-executives). (b) Non-executive chairman unrelated to promoters → at least one-third independent = **4**; the board needs at least two more non-executive directors ($6 - 4$) to meet the 50% non-executive test.

Problem 18 — Audit committee

The board constitutes a six-member audit committee. How many must be independent, and who chairs it?

Solution. Two-thirds independent: $6 \times 2/3 = 4$ independent directors. The chairman must be an independent director.

Problem 19 — Financial staleness

The DRHP is dated 1 October 2019 with audited financials to 31 March 2019. The issue opens on 20 December 2019. Are the financials adequate? What if the opening slips to 15 January 2020?

Solution. Statements to 31 March 2019 become more than six months old after 30 September 2019, so they are stale on 1 October. A stub period to **30 June 2019** or later is needed. Statements to 30 June 2019 are valid up to 31 December 2019, so a 20 December opening is fine, but **15 January 2020** is outside that window: the issuer needs statements to 30 September 2019 or later.

Problem 20 — Research black-out

The DRHP is filed on 10 October 2019 and the IPO is priced on 5 March 2020. (a) When does the research black-out begin? (b) When does the post-pricing black-out end?

Solution. (a) At 12.00 a.m. IST on the day before filing — **9 October 2019**. (b) 40 days following the pricing day: 5 March 2020 + 40 days = **14 April 2020**. (If a BRLM also underwrites, no report may be distributed for 25 days from the Issue Opening Date, and 15 days either side of any lock-up event.)

Chapter summary

- Every rule in this book becomes an arithmetic or date calculation: eligibility ratios, dilution percentages, lock-ins, allocation splits, price coverage, pricing floors and statutory deadlines.
- When solving, write the rule first, then substitute; most errors come from using the wrong base (post-IPO capital, QIB portion or total offer) or the wrong date convention.

Master Checklists

Working lists for each phase of an IPO, and for the other routes.

These checklists condense the book into action lists. They are starting points: tailor them to the issuer, and verify every item against current regulations (Chapter 29).

1. Eligibility and structure

- ☐ No SEBI debarment of issuer, directors, promoters, promoter group or selling shareholders
- ☐ No wilful defaulter or fugitive economic offender among directors or promoters
- ☐ No director or promoter linked to a debarred company
- ☐ Track-record tests (NTA $\geq$ ₹3 crore, average operating profit $\geq$ ₹15 crore, net worth $\geq$ ₹1 crore, each over three full years) — or institutional route chosen with $\geq$ 75% to QIBs
- ☐ Monetary assets $\leq$ 50% of NTA (or commitments made, or pure OFS)
- ☐ Name-change revenue test satisfied if the name changed within the last year
- ☐ No outstanding convertibles or option rights (except ESOPs and convertibles to be converted before RHP)
- ☐ Minimum offer to public computed for the expected post-IPO market value
- ☐ Offer structure fixed: fresh issue / OFS / combination; pre-IPO placement considered

2. Promoters and capital structure

- ☐ Promoters, promoter group and group companies identified and documented
- ☐ All promoter shares dematerialised

- ☐ Promoters' contribution (20% of post-IPO fully diluted capital) computed using eligible shares only
- ☐ Pledged, recently acquired, non-cash and bonus shares from revaluation reserves excluded from the contribution
- ☐ Lock-in schedule drawn for promoters, pre-IPO holders, VC/AIF/FVCI, ESOP holders and anchors
- ☐ Selling shareholders meet the one-year holding rule or an exception

3. Governance

- ☐ Board composition meets non-executive and independent-director proportions for the type of chairman
- ☐ At least one woman director
- ☐ Audit, nomination and remuneration, stakeholders' relationship, risk management (if applicable) and CSR committees constituted
- ☐ Independent director of the issuer on the board of each material subsidiary
- ☐ Policies adopted: related-party transactions, materiality, whistleblower, insider trading codes, dividend and others as required
- ☐ Memorandum and articles amended; special shareholder rights terminated
- ☐ Peer-reviewed statutory auditor appointed

4. Approvals and appointments

- ☐ Board resolution for the issue and the offer documents
- ☐ Special resolution of shareholders for a fresh issue
- ☐ Selling shareholders' own corporate authorisations
- ☐ Lender, JV-partner and shareholder-agreement consents
- ☐ RBI / sector-regulator approvals where required
- ☐ BRLMs, legal counsel, registrar, banks, advertising agency and (if applicable) monitoring agency appointed
- ☐ Engagement letters signed

5. Offer document and documents

- ☐ Audited, restated and consolidated financials for three fiscals plus stub period; not more than six months old
- ☐ Pro forma statements for material acquisitions or divestments (20% test)
- ☐ Statement of special tax benefits
- ☐ Objects of the issue supported by lender details, auditor certificate (for loan repayment) and working-capital assessment
- ☐ Litigation disclosures per board materiality policy; five-year disciplinary-action history of promoters
- ☐ Directors' and KMP's disclosures
- ☐ Government approvals mapped
- ☐ Issue agreement, registrar agreement, service provider agreement executed before DRHP
- ☐ Standard certificates from issuer, directors, promoters, group companies and sellers; comfort letters
- ☐ DRHP filed through BRLM with due diligence certificate; in-principle applications to exchanges

6. SEBI review to RHP

- ☐ Interim observations answered; DRHP updated
- ☐ Final observations received (valid for 12 months)
- ☐ Cash escrow, share escrow (OFS) and syndicate agreements executed
- ☐ Updated certificates and comfort letter delivered
- ☐ RHP registered with RoC at least three days before issue opening
- ☐ Pre-issue advertisement (English, Hindi and regional newspapers)

7. Offer period

- ☐ Price band announced at least two working days before opening
- ☐ Anchor bidding completed one day before opening; CANs issued
- ☐ Bidding open for at least three working days; ASBA/UIP processes tested

-
- ☐ Bids reconciled with exchange data by the Registrar
 - ☐ Issue Price fixed; underwriting agreement signed; Prospectus registered with the RoC

8. Post-issue

- ☐ Basis of allotment approved by the designated exchange
- ☐ Funds transferred to the Public Issue Account; refunds / unblocking done
- ☐ Allotment within four working days of closing; demat credit within two working days (2019 framework)
- ☐ Listing and trading application filed; final approvals received
- ☐ Post-issue advertisement within ten days (Regulation 51)
- ☐ Monitoring agency reporting and insider-trading codes in place

9. Quick checklists for other routes

QIP

- ☐ Special resolution with relevant date; listed ≥ 1 year; six-month gap since last QIP
- ☐ No promoter or promoter-related allottees; at least 10% to mutual funds; minimum allottees; no QIB above 50%
- ☐ Price $\geq$ two-week average of weekly high and low closing prices (discount $\leq 5\%$ if approved)
- ☐ Prior intimation to exchanges of board meeting

Rights issue

- ☐ Record date, ratio and price decided
- ☐ Fast-track conditions (13) tested; otherwise draft letter of offer to SEBI
- ☐ Limited-disclosure conditions tested
- ☐ Promoters' intention to subscribe confirmed

Preferential issue

- ☐ Special resolution naming the class of allottees; allottees' demat holdings and six-month sale history checked
- ☐ Price floor calculated at the relevant date (30 days before resolution)
- ☐ Allotment within 15 days; shares fully paid; lock-in applied

NCD listing

- ☐ Credit rating, debenture trustee, depositories, RTA appointed
- ☐ Borrowing-limit and security approvals (Sections 180(1)(c), 180(1)(a))
- ☐ Disclosure document / prospectus; in-principle approval; debt listing agreement
- ☐ Return of allotment within 15 days (private); trust deed within 60 days

APPENDIX B

Key Numbers at a Glance

*The thresholds, percentages and periods in this book, in ₹ crore, in one place.
Position at 31 July 2019.*

CHECK BEFORE USE

These are the 31 July 2019 figures as presented in the handbook. Many have since been amended (Chapter 29). Always verify against the current regulations.

IPO eligibility

Item	Number	₹ crore
Net tangible as- sets (each of 3 years)	₹30 million	₹3 crore
Max monetary as- sets in NTA	50%	—
Average operat- ing profit (3 years)	₹150 million	₹15 crore
Net worth (each of 3 years)	₹10 million	₹1 crore
Name-change rev- enue test	50% of revenue	—
Financials must not be older than	6 months	—
SEBI final obser- vations valid for	12 months	—

Item	Number	₹ crore
Ban after rejection of offer document	at least 1 year	—

Dilution, promoters and lock-ins

Item	Number
Post-IPO capital up to ₹1,600 crore	Offer at least 25%
₹1,600–₹4,000 crore	Offer worth ₹400 crore
₹4,000 crore and above	Offer at least 10%
Time to reach 25% public holding	3 years from listing
Promoters' contribution	20% of post-IPO fully diluted capital
Lock-in of the contribution	3 years
Other promoter shares	1 year
Non-promoter pre-IPO shares	1 year (VC/AIF/FVCI: 1 year from purchase)
Anchor investors	30 days
Selling shareholder holding period	1 year before DRHP (with exceptions)

Allocation and anchors

Item	Number
Retail definition	Up to ₹2 lakh (₹0.2 million) per option
Regime 1: RII / NII / QIB	$\geq 35\%$ / $\geq 15\%$ / $\leq 50\%$
Regime 2: RII / NII / QIB	$\leq 10\%$ / $\leq 15\%$ / $\geq 75\%$
Mutual-fund share of QIB portion	5%
Anchor portion of QIB portion	up to 60% (one-third for mutual funds)
Minimum anchor bid	₹10 crore (₹100 million)
Anchors up to ₹10 crore	max 2
Anchors ₹10–₹250 crore	2 to 15; min ₹5 crore each
Anchors above ₹250 crore	5 to 15 + 10 per extra ₹250 crore (or part); min ₹5 crore each
Green Shoe over-allotment	up to 15% of issue size; 30-day stabilisation

Process timing

Item	Number
Price band advertised before opening	≥ 2 working days
RHP filed with RoC before opening	≥ 3 days

Item	Number
Anchor bidding	1 day before opening
Public bidding period	≥ 3 working days
Allotment after closing	≤ 4 working days
Demat credit after allotment	≤ 2 working days
Post-issue advertisement	within 10 days
Monitoring agency threshold	Fresh issue > ₹100 crore (₹1,000 million)

Publicity and research

Item	Number
Research blackout begins	12.00 a.m. IST on the day before DRHP filing
After pricing	40 days
If a BRLM underwrites	25 days from Issue Opening Date
Around a lock-up	15 days before and after
Analyst dealing restriction	30 days before and 5 days after report

Governance

Item	Number
Non-executive directors	$\geq 50\%$ of board

Item	Number
Independent directors	$\geq 1/3$ (non-exec chair) / $\geq 1/2$ (exec chair, or promoter-related non-exec chair)
Audit committee	≥ 3 members; $2/3$ independent; independent chair
Nomination & remuneration committee	≥ 3 non-executive directors; $\geq 1/2$ independent; independent chair
Stakeholders' relationship committee	≥ 3 directors; ≥ 1 independent; non-executive chair
Quarterly results	45 days; last quarter / annual: 60 days

Other routes

Route	Key numbers
QIP	Listed ≥ 1 year; 6-month gap; $\geq 10\%$ mutual funds; ≥ 2 allottees ($\leq ₹250$ crore) / ≥ 5 ($> ₹250$ crore); no QIB $> 50\%$; discount $\leq 5\%$
Fast-track rights	Listed ≥ 3 years; public float market cap $\geq ₹250$ crore; turnover $\geq 2\%$; delivery $\geq 10\%$; grievances $\geq 95\%$ redressed
Preferential	Allot within 15 days; relevant date 30 days before resolution; 26-week vs 2-week price test; promoter lock-in 3 years ($\leq 20\%$) / 1 year
NCD	Return of allotment 15 days; trust deed 60 days; electronic book $\geq ₹200$ crore; draft prospectus comments 7 working days
REIT	Sponsor net worth ₹20 crore individual / ₹100 crore collective; manager ₹10 crore; assets ₹500 crore; offer ₹250 crore; 80% / 20%
InvIT	Assets ₹500 crore; offer ₹250 crore; public: 25% public, 75% minimum subscription, 20 subscribers; private: 5–1,000 investors, ₹1 crore min (₹25 crore at 80%+)

APPENDIX C

Frequently Asked Questions

Short answers to the questions founders, finance teams and students ask most often. Position at 31 July 2019.

Basics

Can an unlisted company list its equity without an IPO?

No. An unlisted company can list its equity shares (or securities convertible into equity) only pursuant to a public issue. Debt securities can be listed by private placement.

What is the difference between an IPO and an FPO?

An IPO is the first public offer by an unlisted company; an FPO (further public offer) is a public offer by an already listed company.

What is an OFS?

An Offer For Sale: existing shareholders sell shares to the public through the IPO. Proceeds go to the sellers, not the company.

What are the three offer documents?

DRHP (filed with SEBI), RHP (filed with the RoC before the issue), and the Prospectus (final, with the Issue Price).

Must shares be in demat form?

Yes — every issuer making a public offer must issue securities in dematerialised form only.

Eligibility

Who cannot do an IPO?

Issuers (or their directors, promoters, promoter group or selling shareholders) debarred by SEBI; those linked to debarred companies; wilful defaulters; fugitive economic offenders; and issuers with outstanding convertibles or option rights (with ESOP and conversion-before-RHP exceptions).

What profit track record is needed?

Average operating profit of at least ₹15 crore over the preceding three years, with operating profit in each year; plus NTA of ₹3 crore and net worth of ₹1 crore in each year.

What if we do not meet the track-record test?

You may still list through a book-built IPO with at least 75% of the offer to QIBs (retail $\leq 10\%$, NII $\leq 15\%$).

How much of the company must be offered to the public?

25% (post-IPO capital up to ₹1,600 crore); an amount equal to ₹400 crore (₹1,600–₹4,000 crore); or 10% (₹4,000 crore and above). If below 25%, reach 25% within three years.

Can we do a pre-IPO placement?

Yes, between filing the DRHP and filing the RHP, up to a maximum number or amount disclosed in the DRHP; convertibles must convert before the RHP.

Promoters and lock-ins

Who is a promoter?

A person named as promoter in the offer document or annual return, who has control, or whose advice the board is accustomed to follow. Certain institutions are exempt.

Can a company list without a promoter?

Yes, if no one controls it (a “professionally managed” company). It is a factual test decided case by case.

How much must promoters contribute and lock in?

20% of post-IPO fully diluted capital, locked in for three years; the rest of promoters' shares for one year.

Are other shareholders locked in?

Yes: all pre-IPO shares held by non-promoters are locked in for one year, with exemptions for ESOP shares and for VC/AIF/FVCI shares (one year from purchase).

Who can sell in an OFS?

Holders who have held the shares for at least one year before the DRHP, with exceptions (government/infrastructure entities, court-approved scheme shares, certain bonus shares).

Investors, price and bidding**Who are QIBs?**

Institutions such as mutual funds, FPIs, banks, insurers, public financial institutions, AIFs, VCFs, FVCIs and large provident/pension funds.

What is a retail investor?

An individual (including HUFs and NRIs) bidding for up to ₹2 lakh in any option.

How is the offer split among investors?

Qualifying issuers: retail $\geq 35\%$, NII $\geq 15\%$, QIB $\leq 50\%$. Others: retail $\leq 10\%$, NII $\leq 15\%$, QIB $\geq 75\%$.

Who is an anchor investor?

A QIB bidding at least ₹10 crore, allocated before the issue opens; up to 60% of the QIB portion; one-third for mutual funds; 30-day lock-in.

What is ASBA?

Application Supported by Blocked Amount: the money stays in your bank account (blocked) until allotment. Mandatory for all but anchor investors.

How is the price decided in book building?

Bids at prices within the band are collected; after closing, the issuer, sellers and BRLMs analyse the demand and set the Issue Price and category allocations.

What happens to bids below the final price?

Only the maximum number of shares bid at or above the Issue Price counts; the rest are rejected.

What is a Green Shoe Option?

An over-allotment of up to 15% from borrowed shares with 30 days of stabilisation purchases by a BRLM. Rarely used in India.

Process, documents and liability**How long is SEBI's final observation valid?**

Twelve months.

Who are the intermediaries?

BRLMs, registrar, escrow collection bank, sponsor bank, advertising agency, monitoring agency (if applicable), syndicate members, SCSBs, brokers, CDPs, RTAs, auditors and legal counsel.

When is a monitoring agency needed?

If the fresh issue (excluding OFS) exceeds ₹100 crore.

What agreements are signed?

Issue, registrar and service-provider agreements before the DRHP; cash escrow, share escrow (OFS) and syndicate agreements before the RHP; underwriting agreement after pricing.

How old can the financial statements be?

Not more than six months old at the date of the offer document and the Issue Opening Date.

What happens if the offer document is misleading?

Civil and criminal liability under the Companies Act, SEBI enforcement, BRLM liability, and private actions by investors.

Can SEBI reject an offer document?

Yes, if disclosure is inadequate (vague objects, complex business, unidentified promoters). The issuer is then barred for at least a year.

Publicity, governance and after listing

Can management give interviews during an IPO?

Not about the IPO, financial forecasts or valuation, and only after consulting legal counsel. Previously scheduled interviews are allowed if the IPO is not discussed.

When can research be published?

Not from the day before DRHP filing (black-out), nor for 40 days after pricing; 25 days from opening if a BRLM underwrites; 15 days around a lock-up.

What governance must be in place at filing?

Independent directors, committees, at least one woman director, independent director on material subsidiaries, and policies under the Listing Regulations.

What are the results deadlines?

Quarterly results within 45 days; last quarter and annual results within 60 days.

Can we change the use of IPO proceeds?

Yes, with a special resolution by postal ballot and an exit offer for dissenting shareholders.

Other routes

What is a QIP?

A private placement to QIBs only by a listed company: special resolution, one-year listing, six-month gap, discount up to 5%.

What is a fast-track rights issue?

A rights issue where the Letter of Offer is filed with the exchanges, not SEBI, for companies meeting 13 listing, liquidity and compliance conditions.

How is a preferential issue priced?

At not less than the higher of the 26-week and 2-week average of weekly high and low VWAP, measured from the relevant date.

What do I need to list NCDs?

A credit rating, a debenture trustee, dematerialisation with both depositories, a disclosure document or prospectus, exchange approvals and a debt listing agreement.

What are REITs and InvITs?

SEBI-registered trusts that own real estate (REITs) or infrastructure assets (InvITs) and issue listed units to investors.

APPENDIX D

Glossary

Terms used in this book, drawn from the handbook's glossary and extended.

Terms are listed alphabetically. Defined terms in the SEBI Regulations (such as Bid, Issue Period and Price Band) have the meanings below as used in the handbook. Rupee thresholds are given in rupees with crore equivalents.

Term	Meaning
AIF	Alternative Investment Fund registered with SEBI under the SEBI AIF Regulations, 2012.
Allotment	Issue or transfer of equity shares to successful bidders pursuant to the issue.
Anchor Investor	A QIB that bids for ₹10 crore (₹100 million) or more in a book-built IPO before the issue opens to the public; allocation is discretionary within limits (Chapter 10).
ASBA	Application Supported by Blocked Amount: an application containing an authorisation to block the application money in the investor's bank account until allotment.
ASBA Bidder	An investor who applies through the ASBA process.
Banker to an Issue	A bank registered under the SEBI (Bankers to an Issue) Regulations, 1994 that handles issue money (escrow, refund, public issue account).
Basis of Allotment	The pattern in which securities are allotted among different categories of applicants, finalised by the registrar with the designated exchange.
Bid	An indication to make an offer, during the issue period, to subscribe to shares at a price within the price band, including all revisions.

Term	Meaning
Bid Amount	The highest value of the optional bids indicated in the Bid cum Application Form and payable on submission.
Bid cum Application Form	The form by which a bidder offers to subscribe to shares; it serves as the application for allotment.
Bidder	Any prospective investor who makes a bid under the Red Herring Prospectus.
Book Building Process	A process by which demand for securities is elicited and built up and the price is assessed to determine the quantum of securities to be issued.
BRLM	Book Running Lead Manager: SEBI-registered merchant banker responsible for due diligence and other IPO activities.
BSE	BSE Limited, a recognised stock exchange.
CAN	Confirmation of Allocation Note: advice of allocation sent to anchor investors on finalisation of the allocation.
Cap Price	The upper end of the price band, above which the Issue Price will not be fixed and no bids accepted.
CDP	Collecting Depository Participant: a depository participant eligible to collect bids at designated locations.
Comfort letter	A letter from the auditors to BRLMs giving negative assurance on changes in line items after the date of the last audit and confirming financial data in the offer document.
Companies Act	Companies Act, 2013 and the rules made under it.
Corporate Governance	The way in which companies run themselves and are accountable to those with a vested interest in their performance, especially shareholders.
Debenture Rules	Companies (Share Capital and Debenture) Rules, 2014.
Debenture Trustee	A SEBI-registered trustee that acts for and on behalf of NCD holders.
Dematerialisation	The conversion of securities held in physical form into electronic form through a depository participant.
Depositories Act	Depositories Act, 1996.

Term	Meaning
Depository	An organisation that holds securities in electronic form for its depositories; in India, NSDL and CDSL.
Depository Participant	An agent of a depository through which the investor interfaces with the depository.
Designated Date	The date on which funds are transferred from the Escrow Account to the Public Issue Account after the Prospectus is filed with the RoC; the board then allots the shares.
DRHP	Draft Red Herring Prospectus: draft offer document filed with SEBI that does not contain complete particulars of the issue price.
Due diligence certificate	A certificate from BRLMs to SEBI confirming that they have exercised due diligence on the offer document.
Electronic Book Provider	A stock-exchange platform for secure electronic bidding, used for NCD issues of ₹200 crore or more.
Equity Shares	Shares of the issuer carrying residual ownership and voting rights.
Escrow Account	An account with an Escrow Collection Bank into which anchor investors pay their bid amounts.
Escrow Agreement	Agreement for collection of bid amounts and refund of amounts collected (excluding ASBA bidders).
Escrow Collection Bank	The bank at which the Escrow Account is opened.
FEMA	Foreign Exchange Management Act, 1999.
Fiscal	Twelve months ending 31 March.
Floor Price	The lower end of the price band, below which the Issue Price will not be fixed and no bids accepted.
FPI	Foreign Portfolio Investor registered under the SEBI FPI Regulations.
FPO	Further Public Offer: a public offer by a listed company.
Fugitive Economic Offender	An individual declared to be a fugitive economic offender under Section 12 of the Fugitive Economic Offenders Act, 2018.
FVCI	Foreign Venture Capital Investor registered with SEBI.

Term	Meaning
Green Shoe Option	An option to over-allot up to 15% of the issue size and operate a post-listing price stabilisation mechanism through a stabilising agent.
Group companies	Companies (other than promoters and subsidiaries) with related-party transactions in the disclosure period, plus others the board considers material.
Ind-AS	Indian Accounting Standards.
Insider trading	Dealing in securities by persons holding unpublished price-sensitive information.
Institutional Investors	Organisations that invest, such as insurance companies, depository institutions, pension funds, investment companies and endowments.
InvIT	Infrastructure Investment Trust.
IPO	Initial Public Offering.
Issue Closing Date	The date after which syndicate members shall not accept any bids.
Issue Opening Date	The date on which syndicate members begin accepting bids.
Issue Period	The period between the Issue Opening Date and the Issue Closing Date, inclusive.
Issue Price	The price at which allotment is made, determined by the issuer in consultation with BRLMs on the Pricing Date.
LLP	Limited Liability Partnership.
Lock-in	A restriction on selling, transferring or pledging shares for a specified period.
Merchant Banker	A person engaged in issue management — arranging, selling, buying or subscribing to securities or acting as manager, consultant or adviser.
Monitoring Agency	A public financial institution or scheduled commercial bank that monitors the use of IPO proceeds where the fresh issue exceeds ₹100 crore.
NCDs	Non-convertible debentures.

Term	Meaning
NII	Non-Institutional Investor: any bidder that is neither a QIB nor a Retail Individual Investor.
NSE	National Stock Exchange of India Limited.
Offer For Sale	An offer of securities by existing shareholders to the public through an offer document.
PAS Rules	Companies (Prospectus and Allotment of Securities) Rules, 2014.
Pre-IPO placement	Issue of shares or convertibles after filing the DRHP and before filing the RHP.
Preferential allotment	Issue of shares to a select group of persons in preference to all existing shareholders.
Price Band	The range between the Floor Price and Cap Price (both inclusive), including revisions.
Pricing Date	The date on which the Issue Price is finalised.
Promoter	A person identified as promoter in the offer document or annual return, who controls the issuer, or on whose advice the board is accustomed to act.
Promoter group	Persons and entities related to the promoter by family or by 20% ownership links, as defined in the SEBI Regulations.
Prospectus	The final offer document filed with the RoC containing the Issue Price, issue size and other information.
Public Issue Account	Account opened with the Bankers to the Issue to receive money from the Escrow Account on the Designated Date.
QIB	Qualified Institutional Buyer: public financial institutions, FPIs, scheduled commercial banks, mutual funds, VCFs, AIFs, FVCIs, state industrial development corporations, insurers, provident and pension funds with corpus of at least ₹25 crore, multilateral and bilateral development financial institutions, the National Investment Fund and certain government insurance funds.
QIB Portion	The portion of the issue available for allocation to QIBs.
QIP	Qualified Institutions Placement.

Term	Meaning
Red Herring Prospectus	Offer document without complete particulars of price and size; filed with the RoC at least three days before the issue opens and becomes the Prospectus after pricing.
Registered Brokers	Stock brokers registered with exchanges having nationwide terminals, other than syndicate members.
Registrar of Companies	The registrar with whom the issuer is registered.
Registrar to the Issue	SEBI-registered registrar that processes applications and coordinates allotment and refunds.
REIT	Real Estate Investment Trust.
Restatement	Re-presentation of historical financial statements to ensure consistency of accounting policies and presentation.
Retail Individual Investor	Individual bidder (including HUFs and NRIs) bidding for up to ₹2 lakh in any option.
Rights Issue	An issue of new securities to existing shareholders in a fixed ratio.
RTA	Registrar and Share Transfer Agent.
SCRA / SCRR	Securities Contracts (Regulation) Act, 1956 / Rules, 1957.
SCSB	Self-Certified Syndicate Bank: a banker to an issue offering the ASBA service.
SEBI	Securities and Exchange Board of India.
SEBI Regulations (ICDR)	SEBI (Issue of Capital and Disclosure Requirements) Regulations, 2018.
Sponsor Bank	A banker to the issue that acts as the conduit between the stock exchanges and NPCI for UPI mandates.
SPV	Special purpose vehicle.
Stabilising agent	The BRLM that manages post-listing price stabilisation under a Green Shoe Option.
Syndicate members	SEBI-registered intermediaries who collect bids and may underwrite.

Term	Meaning
Underwriting Agreement	Agreement under which underwriters ensure payment or subscription for shares allocated to investors they procure.
UPI	Unified Payments Interface, used by retail investors to block funds for an IPO bid.
VCF	Venture Capital Fund registered with SEBI.
Wilful defaulter	A borrower declared a wilful defaulter by a bank or financial institution under RBI guidelines.

APPENDIX E

Provisions Cited and Where to Look

An index of the specific provisions, schedules and instruments cited in the handbook, and the chapter where each is discussed.

The handbook cites a limited number of provisions by number. This appendix collects them so that a reader can go from a rule to the chapter that explains it, and from there to the primary text. It is an aid to navigation, not a substitute for reading the provisions.

Specific provisions cited

Provision	Subject	Chapter
Companies Act, Section 24	SEBI's powers over issues and transfers of securities	17
Companies Act, Section 26	Matters to be stated in a prospectus (amended 2017)	25
Companies Act, Section 28	Offer for sale — expenses borne by sellers	8
Companies Act, Section 30	Advertisement of prospectus	19
Companies Act, Section 32	Red herring prospectus	2, 18
Companies Act, Sections 34 and 35	Criminal and civil liability for misstatements in a prospectus	17
Companies Act, Section 42	Private placement	22, 25

Provision	Subject	Chapter
Companies Act, Section 180(1)(a)	Shareholder approval to create security over assets	25
Companies Act, Section 180(1)(c)	Shareholder approval for borrowing limits	25
ICDR Regulation 29(4)	Announcement of floor price or price band	11, 19
ICDR Regulation 42 and Schedule IX	Publicity restrictions; advertisement compliance certificate	14, 19
ICDR Regulation 43 and Schedule X	Pre-issue and issue opening/closing advertisements	19
ICDR Regulation 51	Post-issue advertisement within ten days	12, 19
ICDR Schedule XX	Exit opportunity for dissenting shareholders on variation of objects	21
SEBI Debt Regulations, Schedule I	Disclosures for NCD offer documents	25
Fugitive Economic Offenders Act, 2018, Section 12	Declaration as fugitive economic offender	4
SEBI Regulation 33 of the Listing Regulations	Quarterly and annual financial results	21

Instruments and the topics they govern

Instrument	Main topics in this book
SEBI (ICDR) Regulations, 2018	Eligibility, allocation, anchors, lock-ins, publicity, QIP, rights, preferential issues (Ch. 4–13, 16, 18–19, 22–24)

Instrument	Main topics in this book
SEBI (LODR) Regulations, 2015	Corporate governance and continuing disclosure (Ch. 20–21)
SEBI (Merchant Bankers) Regulations, 1992	BRLMs (Ch. 14)
SEBI (Bankers to an Issue) Regulations, 1994	Escrow and refund banks, SCSBs (Ch. 12, 14)
SEBI (Research Analysts) Regulations, 2014	Research and black-out (Ch. 19)
SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011	Promoters, control, inter-se transfers (Ch. 6)
SEBI (Prohibition of Insider Trading) Regulations, 2015	UPSI and codes of conduct (Ch. 21)
SEBI (Issue and Listing of Debt Securities) Regulations, 2008	NCDs (Ch. 25)
SEBI (REIT) / (InvIT) Regulations, 2014	REITs and InvITs (Ch. 26–27)
Securities Contracts (Regulation) Act and Rules	Minimum public offer and shareholding (Ch. 5, 21)
FEMA and the 2017 non-resident securities regulations	Foreign investment (Ch. 3, 26–27)

How to find the current text

1. Search the SEBI website's legal framework section for the instrument by name and use the latest consolidated version.
2. Check master circulars on public issues, debt, REITs/InvITs and listing obligations.
3. Check BSE and NSE circulars for bidding and listing procedure.
4. Check the Ministry of Corporate Affairs for Companies Act rules and amendments.
5. Confirm with counsel; ask whether any amendment is pending or recently notified.